



PAKISTAN

May 2026

THIRD REVIEW UNDER THE EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY AND SECOND REVIEW UNDER THE RESILIENCE AND SUSTAINABILITY FACILITY ARRANGEMENT—PRESS RELEASE; STAFF REPORT; AND STATEMENT BY THE EXECUTIVE DIRECTOR FOR PAKISTAN

In the context of the Third Review Under the Extended Arrangement Under the Extended Fund Facility and Second Review Under the Resilience and Sustainability Facility Arrangement, the following documents have been released and are included in this package:

- A **Press Release** including a statement by the Chair of the Executive Board.
- The **Staff Report** prepared by a staff team of the IMF for the Executive Board's consideration on May 8, 2026, following discussions that ended on March 2, 2026, with the officials of Pakistan on economic developments and policies underpinning the IMF arrangement under the Extended Fund Facility. Based on information available at the time of these discussions, the staff report was completed on April 23, 2026.
- A **World Bank Assessment Letter** for the Resilience and Sustainability Facility
- A **Staff Supplement** updating information on recent developments.
- A **Statement by the Executive Director** for Pakistan.

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IMF Executive Board Completes Third Review of the Extended Arrangement under the Extended Fund Facility and Second Review of the Arrangement under the Resilience and Sustainability Facility with Pakistan

FOR IMMEDIATE RELEASE

- The IMF Executive Board completed the third review of the Extended Arrangement under the Extended Fund Facility (EFF) and the second review of the arrangement under the Resilience and Sustainability Facility (RSF), allowing the authorities to draw the equivalent of about US\$1.1 billion and about US\$220 million, respectively. This brings total disbursements under the two arrangements to about \$4.8 billion (SDR 3,348 billion).
- The authorities' strong implementation, despite the Middle East war, has maintained economic stability and improved financing and external conditions. The shocks emanating from the Middle East war underline the continued importance of maintaining strong policies to continue building resilience and of moving ahead with structural reforms to achieve sustainable long-term growth.
- Policy priorities remain centered on maintaining macroeconomic stability and advancing reforms to strengthen public finances, enhance competition, raise productivity and competitiveness, bolster the social safety net and human capital, reform SOEs, and improve public service provision and energy sector viability.

Washington, DC – May 8, 2026: Today, the Executive Board of the International Monetary Fund (IMF) completed the third review of Pakistan's economic reform program supported by the EFF and the second review of Pakistan's RSF arrangement. This decision allows for an immediate disbursement of around US\$1.1 billion (SDR 760 million) under the EFF arrangement and around US\$220 million (SDR 154 million) under the RSF arrangement, bringing total disbursements under the two arrangements to about \$4.8 billion (SDR 3,348 billion).

Pakistan's 37-month EFF arrangement was approved on September 25, 2024, and aims to build resilience and enable sustainable growth. Key priorities include (i) entrenching macroeconomic stability through consistent implementation of sound macro policies, including rebuilding international reserve buffers and broadening the tax base; (ii) advancing reforms to strengthen competition and raise productivity and competitiveness; and (iii) reforming SOEs and improving public service provision, developing human and physical capital by expanding health, education, and social protection spending, restoring energy sector viability, and intensifying anti-corruption efforts.

Pakistan's policy efforts under the EFF arrangement have delivered significant progress in stabilizing the economy and rebuilding confidence amid a challenging global environment, including the ongoing Middle East war. Fiscal performance has been strong, with a primary surplus of 1.6 percent of GDP expected to be achieved in FY26, in line with targets. Inflation has increased as higher global commodity prices have passed through to domestic energy

prices. Gross reserves stood at \$16 billion at end-December, up from \$14.5 billion at end-June 2025, and are projected to continue to be rebuilt in the next year and over the medium term.

The 28-month RSF arrangement was approved on May 9, 2025, and is supporting the authorities' efforts to reduce vulnerabilities to natural disasters and to build economic and climate resilience. The authorities' reforms prioritize: (i) building resilience to natural disasters and strengthening public investment processes at all levels of government; (ii) making scarce water resource usage more efficient, including through better pricing; (iii) strengthening federal-provincial coordination of natural disaster response; (iv) improving the information architecture for, and disclosure of, climate-related risks by banks and corporates; and (v) supporting Pakistan's efforts to meet its mitigation commitments and reduce related macro-critical risks.

Following the Executive Board discussion, Mr. Nigel Clarke, Deputy Managing Director and Acting Chair, made the following statement:

"Pakistan's strong program implementation under the EFF arrangement has continued, which has supported macroeconomic stability and the rebuilding of fiscal and foreign exchange buffers. GDP growth accelerated, inflation remained contained, and the current account was broadly balanced in the first nine months of FY26. Amid a more challenging and highly uncertain external environment since the onset of the war in the Middle East, Pakistan needs to maintain strong macroeconomic policies while accelerating reform efforts, which are critical to managing further shocks and fostering higher sustainable medium-term growth.

"The authorities' commitment to the FY26 and FY27 primary balance targets will help strengthen fiscal sustainability and policy credibility. Gradual fiscal consolidation remains appropriate to strengthen resilience and should be supported by continued efforts to boost revenue mobilization—through broadening the tax net and improving compliance—and strengthen spending efficiency and public financial management. These efforts would also create space for scaling up social assistance, human capital development, and productive public investment, while addressing tax policy distortions.

"The State Bank of Pakistan has acted proactively to maintain an appropriately tight monetary policy stance aimed at keeping inflation expectations anchored and should continue to carefully monitor potential second-round effects on domestic prices, wages, and expectations. Exchange rate flexibility should be the main shock absorber, particularly given the need to continue rebuilding reserves. Efforts to deepen the FX market should continue, including through a carefully-sequenced medium-term FX liberalization. Proactive efforts to support financial stability remain important, including ensuring all banks continue to be adequately capitalized, and addressing microfinance banks' capital shortfalls.

"In an environment of high and volatile commodity prices, recent improvements in energy sector finances need to be sustained by keeping domestic fuel, electricity, and gas prices in line with costs, while protecting the most vulnerable consumers with targeted support. Continued reform efforts to reduce costs and address inefficiencies will safeguard the sector's viability and improve Pakistan's competitiveness.

"Advancing and deepening structural reforms is essential to generate sustainable economic growth and attract high-impact private investment. Efforts should continue to deliver on the Economic Governance Reform actions aimed at bolstering anti-corruption institutions. Other priorities include completing SOE reforms and privatization and enhancing the business environment by eliminating distortions and unnecessary regulations.

“Reducing Pakistan’s vulnerability to climate shocks will enhance macroeconomic and fiscal sustainability. Reforms supported by the RSF are helping to strengthen natural disaster response and financing coordination, improve the use of scarce water resources, reflect climate considerations in project selection and budgeting, and improve the climate information architecture.”

Table 1. Pakistan: Selected Economic Indicators, FY2024–FY2026 1/

Population: 240.5 million (2024/25)	Per capita GDP: US\$1,676.7 (2024/25)		
Quota: SDR 2,031 million	Poverty rate: 21.9 percent (national line; FY2019)		
Main exports: Textiles (US\$17.3 billion, 2024/25)			
Key export markets: European Union, United States, UAE			
	<u>FY2025</u>	<u>FY2026</u>	<u>FY2027</u>
		Proj.	Proj.
Output (% change)			
Real GDP at factor cost	3.1	3.6	3.5
Employment (%)			
Unemployment rate	7.1	6.9	6.5
Prices (%)			
Consumer prices, period average	4.5	7.2	8.4
Consumer prices, end of period	3.2	11.5	7.0
General government finances (% GDP)			
Revenue and grants	15.8	15.8	15.3
Expenditure	21.2	19.0	18.4
Budget balance, including grants	-5.4	-3.2	-3.4
Budget balance, excluding grants	-5.4	-3.2	-3.5
Primary balance, excluding grants	2.4	2.5	2.0
Underlying primary balance (excluding grants) 2/	1.3	1.6	2.0
Total general government debt excl. IMF obligations	70.5	67.5	64.5
External general government debt	22.5	21.6	20.8
Domestic general government debt	48.0	45.9	43.6
General government debt incl. IMF obligations	72.8	70.1	67.2
General government and government guaranteed debt incl. IMF	76.6	73.8	70.7
Monetary and credit (% change, unless otherwise indicated)			
Broad money	13.7	14.7	14.6
Private credit	12.0	15.4	16.0
Six-month treasury bill rate (%) 3/	13.4	...	...
Balance of Payments (% GDP, unless otherwise indicated)			
Current account balance	0.5	-0.4	-0.9
Foreign direct investment	0.6	0.5	0.5
Gross reserves (millions of U.S. dollars) 4/	14,506	17,529	20,907
Months of next year's imports of goods and services	2.2	2.5	2.8

Total external debt	30.7	29.7	29.0
Exchange rate (% change)			
Real effective exchange rate	-3.2	...	...
<i>Sources: Pakistani authorities; World Bank; and IMF staff estimates and projections.</i>			
<i>1/ Fiscal year ends June 30.</i>			
<i>2/ Excludes one-off transactions, including asset sales.</i>			
<i>3/ Period average.</i>			
<i>4/ Excluding gold and foreign currency deposits of commercial banks held with the State Bank of Pakistan.</i>			



PAKISTAN

April 23, 2026

THIRD REVIEW UNDER THE EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY AND SECOND REVIEW UNDER THE RESILIENCE AND SUSTAINABILITY FACILITY ARRANGEMENT

EXECUTIVE SUMMARY

Recent Developments. Strong policy implementation has continued to support Pakistan's economic recovery, build confidence, and bolster its resilience to shocks. GDP growth accelerated in FY26H1, while inflation remained contained, the current account was broadly balanced, and reserve rebuilding exceeded earlier projections. However, the impact of the war in the Middle East clouds Pakistan's near-term outlook and there is great uncertainty about how developments will unfold. Under the baseline scenario, the war is expected to put upward pressure on inflation and weigh on growth and the balance of payments, but the overall impact is expected to be contained. However, downside risks are high.

Program Performance. The 37-month Extended Arrangement under the Extended Fund Facility (EFF), approved on September 25, 2024, is on track, underpinned by strong performance. All seven QPCs and six of eight ITs were met at end-December. Most continuous and other SBs were met. Completion of the third EFF review would make available SDR 760 million (about US\$1.1 billion), bringing total disbursements under the EFF to SDR 3,040 million. The 29-month Resilience and Sustainability Facility (RSF) arrangement, approved on May 9, 2025, is also on track. Both RMs due for this (second) RSF review (RMs 7 and 8) have been met. Completion of the second RSF review would make available SDR 153.8 million (about US\$220 million).

EFF and RSF Policies. Amidst a very uncertain international environment and against domestic concerns about the still elevated poverty rate and subdued growth, strong policy and steadfast reform efforts remain paramount to safeguarding economic stability and supporting sustained higher growth. The authorities remain committed to program policies and objectives, including: (i) the gradual fiscal consolidation plan and accelerating efforts to broaden the tax base to generate resources needed for higher social and development spending, alongside reforms to improve spending efficiency

and public financial management; (ii) an appropriately tight monetary policy to ensure inflation expectations remain anchored in the face of volatile commodity prices; (iii) maintaining a flexible exchange rate as the key shock absorber to support the rebuilding of reserves; (iv) keeping fuel and energy tariffs in line with cost recovery to avoid unaffordable subsidies and fiscal costs, while protecting vulnerable consumers with targeted support and continuing to implement reforms to address the high costs of energy; and (v) advancing and deepening structural reforms to sustainably boost long-term growth, including delivering on the Economic Governance Reform actions and strengthening anti-corruption institutions, advancing SOE reforms and the privatization agenda, and eliminating distortions and unnecessary regulations. Policies adopted under the RSF arrangement will reduce economic vulnerabilities from climate shocks, improve the climate information architecture, and help facilitate climate-focused investment.

Approved By
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Policy discussions were held in Islamabad and Karachi during February 25–March 2, 2026 and continued virtually. The staff team comprised Iva Petrova (head); Tom Best, Kareem Ismail, Jan Möller, Jason Weiss (all MCD); Karim Foda (SPR); Emre Balibek (MCM); Sergejs Saksonovs (FAD); Yao Deng and Emre Ender (both LEG); Mahir Binici (Resident Representative); and Zafar Hayat and Saihan Mohammad (both Islamabad office). Rhea Gupta (MCD) provided research assistance and Afraa Mohamed (MCD) assisted with document preparation.

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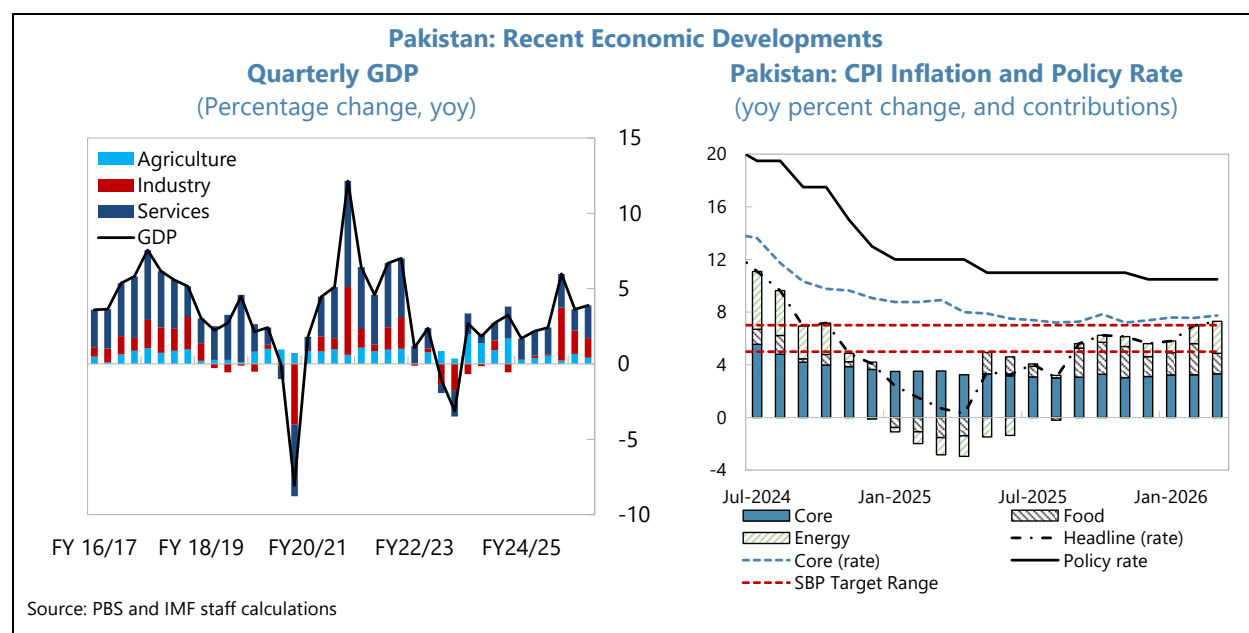
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RECENT DEVELOPMENTS

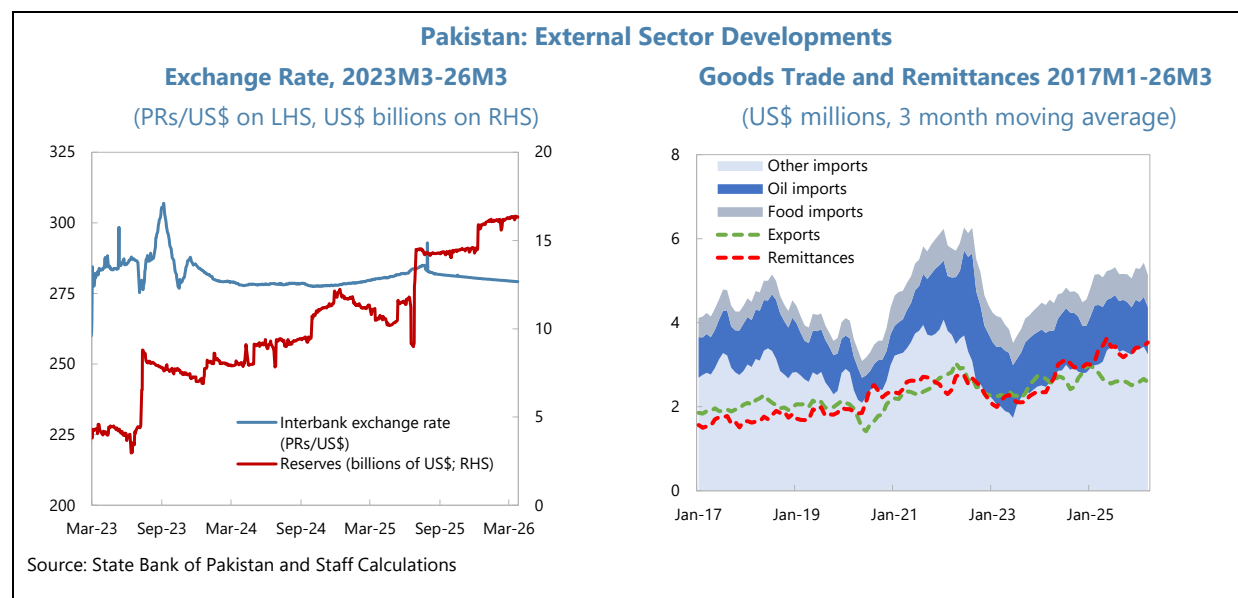
1. Pakistan's recovery gained momentum in the first eight months of FY26, but the impact from the Middle East war weighs on the near-term outlook (Box 1):

- Economic activity and inflation.** Despite the floods in July–August, GDP growth picked up in FY26 H1, averaging 3.8 percent (yoy), driven by the auto, construction, and garment industries. High-frequency indicators remained robust in January–February 2026. Headline inflation increased to 7.3 percent (yoy) in March, as higher commodity prices began passing through to domestic energy prices. Core inflation (7.6 percent (yoy) in March) has so far remained contained, after stabilizing at around 7½ since early FY26.



- Monetary policy.** Following the stabilization in inflation, the Monetary Policy Committee (MPC) cut the policy rate by 50 basis points in December and held it at 10.5 percent in January and March. The State Bank of Pakistan (SBP) lowered the cash reserve requirement (CRR) for banks from 6 to 5 percent effective January 30, to promote greater private sector lending. Lending to the private sector has started to recover—albeit from a low base—posting growth of 15 percent (yoy) in February 2026.
- External conditions and the FX market.** The current account was broadly balanced over the first nine months of FY26. Remittance inflows remained robust, partially offsetting a wider trade deficit due to higher import demand and slower export growth. Gross reserves continued to exceed program targets, reaching \$16 billion at end-December 2025, benefiting from SBP FX purchases, and the rupee has remained broadly stable, at around PRs 280 per dollar. After the Middle East war started, Pakistan faced some capital outflows and sovereign spreads temporarily widened to around 500bps. However, spreads returned to near pre-war levels by mid-April, and

Pakistan returned to the Eurobond market for the first time since 2022 with a private placement of a \$750 million, 3-year bond.



- Fiscal developments.** The end-December primary balance target was met with a comfortable margin, and a primary surplus of PRs 4.1 trillion (3.2 percent of GDP) was recorded in FY26H1 against an adjusted program target of PRs 3.3 trillion (2.5 percent of GDP), mainly on account of expenditure compression. Tax revenues were broadly in line with expectations, as strong petroleum development levy (PDL) collections (reflecting rate increases in late FY25) and provincial tax revenues broadly offset a shortfall in Federal Board of Revenue (FBR) collections, which missed the end-December 2025 IT by 0.3 percent of GDP, in part due to a decline in tax collection from the power, oil, and gas sectors. Albeit exceeding 1 percent of GDP, a lower SBP dividend than in FY25 resulted in lower non-tax revenues. All provincial fiscal targets were met. The overall balance improved by 1.7 percent of GDP, helped by lower interest payments, and public debt has continued to gradually decline.

Text Table 1. Pakistan: General Government Primary Balance, FYs25–26 1/

	Jul - Dec 2024 / 2025		Jul - Dec 2025 / 2026		Jul - Dec Program Targets	
	PRs billion	(% GDP)	PRs billion	(% GDP)	PRs billion	(% GDP)
Revenue (excl. grants)	9,766	8.6	10,684	8.4	10,774	8.5
Federal	9,181	8.1	9,960	7.8	10,195	8.0
FBR	5,626	4.9	6,161	4.8	6,490	5.1
Other (incl. non-tax)	3,554	3.1	3,799	3.0	3,705	2.9
Provincial	585	0.5	723	0.6	579	0.5
Tax	442	0.4	569	0.4	488	0.4
Non-tax	143	0.1	155	0.1	91	0.1
Primary Spending	6,161	5.4	6,578	5.2	7,579	6.0
Current	4,978	4.4	6,027	4.7	6,506	5.1
Federal	2,503	2.2	3,206	2.5	3,346	2.6
Provincial	2,475	2.2	2,822	2.2	3,159	2.5
Development and Net Lending	744	0.7	964	0.8	1,074	0.8
Federal (incl. net lending)	104	0.1	14	0.0	339	0.3
Provincial	639	0.6	950	0.7	735	0.6
Statistical discrepancy /2	440	0.4	(413)	(0.3)	-	-
Primary Balance (excl. grants)	3,604	3.2	4,106	3.2	3,194	2.5
Memo: Nominal GDP (PRs trillion)	113.9		127.3		127.3	

Source: Pakistani authorities; IMF staff estimates and projections

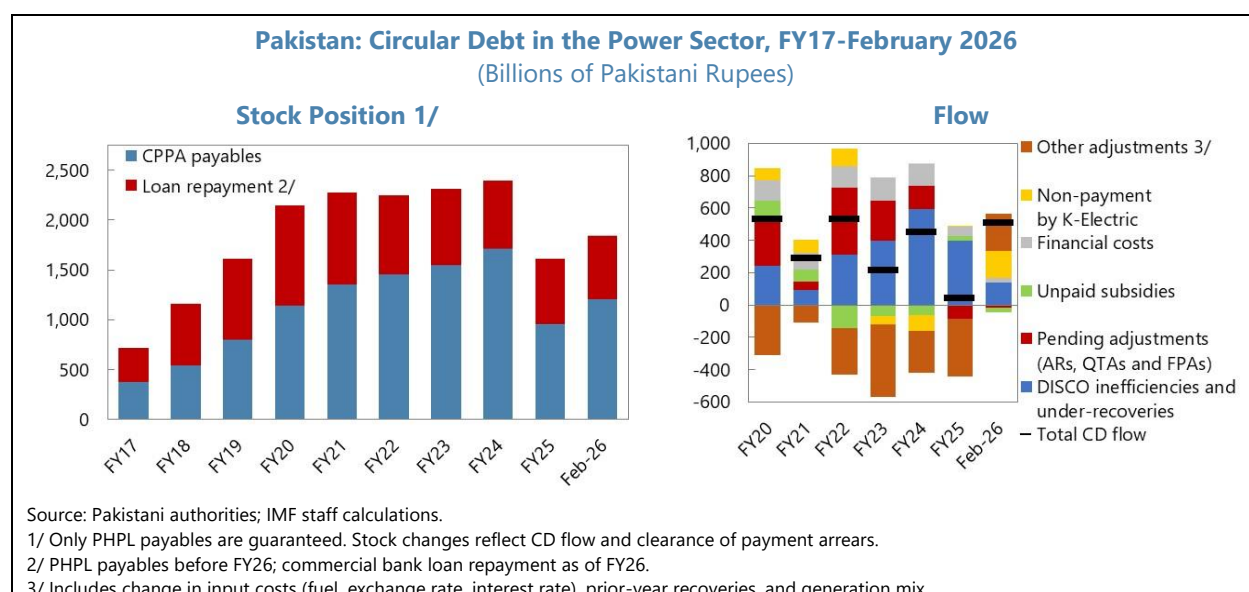
1/In percent of full-year GDP

2/Reflects changes in account balances of autonomous entities, - = increase balances

- Power sector.** The end-December 2025 circular debt (CD) flow target was met, supported by strong collection performance in the context of improved DISCO management and enforcement.

Industrial power consumption remained very strong through February 2026 (averaging 25 percent yoy), driven by the ongoing captive power plant (CPP) transition to the grid and, likely, stronger underlying industrial activity. More recently, other sectors also saw a jump in consumption, with overall consumption growth reaching 9 percent (yoy) in December-February.

- **Gas sector.** Regular tariff adjustments in line with costs have prevented additional accumulation of principal CD. However, late payment surcharges on the large existing stock caused further overall CD accumulation, to PRs 3.4 trillion (2.7 percent of GDP) as of December 2025. Gas companies' financial health has been challenged by weak domestic consumption, lower power sector demand, and the CPP transition despite industrial consumption growth of 29 percent in H1 FY27 (yoy).



PROGRAM PERFORMANCE

2. Program implementation has remained in line with commitments (MEFP Tables 1–2):

- **Performance Criteria (PCs).** The authorities met all seven quantitative PCs for end-December 2025: the floors on (i) the net international reserves of the SBP; (ii) the number of new tax returns; and (iii) targeted cash transfer spending (BISP); and the ceilings on (iv) the net domestic assets of the SBP; (v) the SBP's stock of net foreign currency swaps/forward position; (vi) the general government primary budget deficit; and (vii) the amount of government guarantees. They also met both continuous PCs on (i) zero new flow of SBP credit to the government; and (ii) zero external public payment arrears.
- **Indicative Targets (ITs).** Six of eight end-December 2025 ITs were met, including: the floors on (i) the weighted average time-to-maturity of the local currency domestic debt securities stock; (ii) general government health and education spending; (iii) consolidated net tax revenues collected by provincial revenue authorities; and the ceilings on (iv) the aggregate provincial

primary budget deficit; (v) net accumulation of tax refund arrears; and (vi) power sector payment arrears. However, end-December ITs were missed for the floors on: (i) net tax revenues collected by the FBR; and (ii) tax revenues collected by the FBR from retailers.

- **Structural Benchmarks (SBs).** Five of six SBs were met, including on the publication of a governance action plan based on the findings of the Governance Diagnostic Assessment; the implementation of priority actions (covering taxpayer audits, digital invoicing, and production monitoring) from the FBR transformation plan; preparation of a phaseout plan for fiscal incentives to Special Technology Zones; implementation of the annual inflation-adjustment of the UCT (Kafaalat) program; and the notification of the semi-annual gas tariff adjustment. The end-March 2026 SB on amendments to the SWF Act to adopt governance mechanisms and safeguards following international standards was not met, but the amendments are pending Cabinet approval. Two of three continuous SBs were met, but the continuous SB on not granting preferential tax treatments was missed due to an extension of the tax exemption for sugar imports, which was subsequently repealed without any utilization.
- **Reform Measures (RMs).** Both RMs due under the second RSF review – on (i) the issuance of SBP guidelines for management of climate-related financial risks (**RM7**); and (ii) issuance of SECP guidelines for disclosure of climate-related risks and opportunities (**RM8**) – were met.

OUTLOOK AND RISKS

3. The updated macroeconomic projections reflect the more challenging outlook as a result of the Middle East war, which is expected to push up inflation and weigh on growth and the BOP (Box 1, Tables 1–7):

Text Table 2. Pakistan: Selected Economic Indicators, FYs 25–31 1/

	2024/25	2025/26		2026/27		2027/28	2028/29	2029/30	2030/31
	Est.	Prog.	Proj.	Prog.	Proj.	Proj.			
Real GDP growth (%)	3.1	3.2	3.6	4.1	3.5	4.3	4.5	4.5	4.5
Consumer prices (period average, % change)	4.5	6.3	7.2	7.0	8.4	6.6	6.5	6.5	6.5
Gen. gov. overall balance (incl. grants, % of GDP)	-5.4	-4.0	-3.2	-3.8	-3.4	-3.2	-2.9	-3.7	-4.7
Gen gov. primary balance (underlying, excl. grants, % of GDP) 2/	1.3	1.6	1.6	2.0	2.0	2.0	2.0	1.0	0.0
Gen. gov. debt (incl. IMF obligations, % of GDP)	72.8	72.4	70.1	69.9	67.2	64.5	61.4	59.6	58.9
Current account balance (% of GDP)	0.5	-0.6	-0.4	-0.4	-0.9	-0.8	-0.9	-0.9	-1.0
Gross official reserves (billions of US\$)	14.5	17.8	17.8	23.3	21.1	22.9	25.7	28.9	31.7
Gross official reserves (months of next year's G&S imports)	2.2	2.7	2.5	3.2	2.8	2.9	3.1	3.2	3.1
Gross official reserves (% of IMF Fixed ER ARA metric)	37.4	45.5	44.3	55.6	49.6	51.8	55.6	59.0	63.1
Gross official reserves (% of IMF Floating ER ARA metric)	53.3	64.9	63.3	78.9	70.4	74.4	80.9	85.6	94.7

Source: Pakistani authorities; IMF staff estimates and projections.

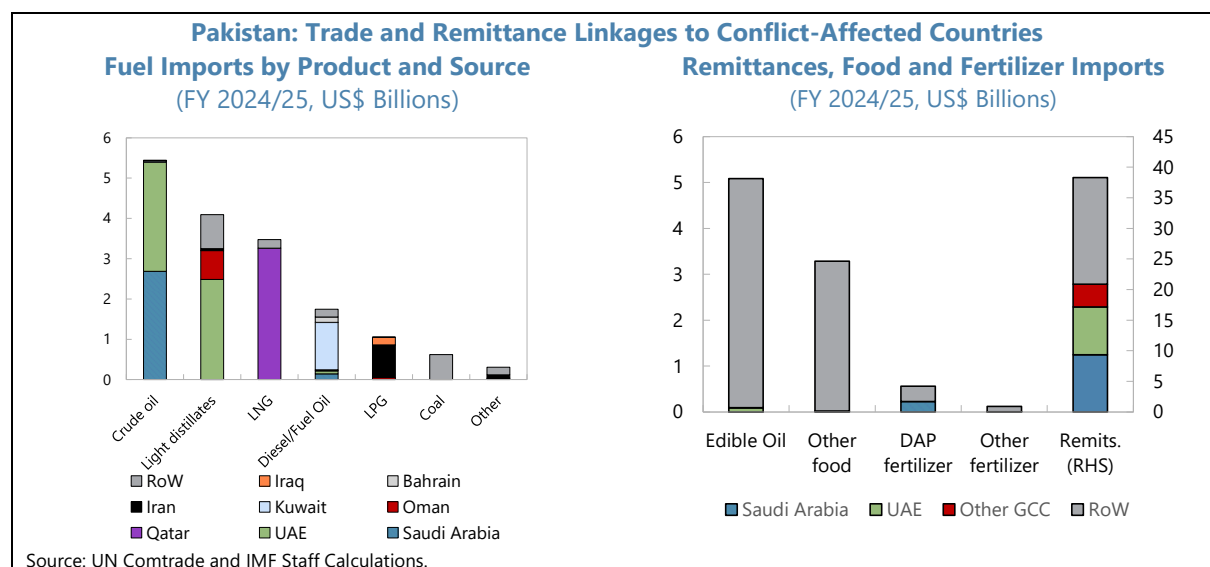
1/ The fiscal year (FY) runs from July 1 through June 30.

2/ Excludes one-off transactions, incl. asset sales, and in FY25 and FY26, the windfall from exceptionally high SBP dividends (Tables 4a and b).

Box 1. Impact of the Middle East War

Pakistan's economy is highly exposed to spillovers from the war in the Middle East:

- **Energy imports.** As a net oil and gas importer, Pakistan is heavily reliant on GCC supplies, with 81 percent of fuel imports coming from the region, and is being impacted by both higher international prices and the rise in regional price premia over Brent/WTI, particularly for refined products. In the event of sustained disruptions to the physical availability of fuel imports, impacts on economic activity would likely be even larger than implied by the increase in international prices.
- **Food and fertilizer imports.** Immediate exposures to fertilizer trade disruptions appear manageable, as Pakistan has been largely self-sufficient in urea production in recent years, but a prolonged disruption to DAP supply chains could potentially impact the Kharif planting season in June-July. Food import prices could also be impacted in the event of prolonged fertilizer trade disruptions.
- **Remittances.** Pakistan receives annual remittances amounting to about 9 percent of GDP, of which 55 percent come from the GCC. A significant disruption to the GCC economies and/or return of migrant workers could weigh on these flows, a major source of financing for consumption and the BOP.
- **Capital flows.** The deterioration in global financial conditions has already resulted in capital outflows, which are likely to continue to intensify if the crisis extends. Access to short-term commercial financing, which is largely from GCC banks, could also be impacted if risk sentiment deteriorates significantly.



The authorities responded to the crisis by temporarily delaying fuel price increases to develop a targeted subsidy scheme. After passing through an initial 20 percent price increase on March 7, the government delayed further fuel price rises by providing a temporary subsidy to oil marketing companies at a cost of 0.1 percent of GDP, funded by a package of saving measures (MEFP ¶6). This subsidy was unwound on April 3 (though a temporary 80 Rs/L reduction in PDL on diesel remained), resulting in initial increases of 18 and 55 percent for gasoline and diesel prices, respectively. The authorities also shifted to weekly adjustments of gasoline and diesel prices. At the same time, the federal and provincial governments announced a targeted relief package for vulnerable groups impacted by the price rise, including (limited) transfers for motorbike owners and small farmers, and subsidized public transport in Punjab and Islamabad. All relief measures are expected to be budget neutral. The government has also announced temporary fuel saving measures, including a 4-day work week for the public sector and mandatory remote work for 50 percent of public and private sector employees.

Box 1. Impact of the Middle East War (concluded)

Under the updated baseline scenario, which follows the April 2026 WEO reference scenario assumptions for the duration of the war, the impact on Pakistan's outlook is expected to be moderate:

- **GDP** growth is projected to slow by 0.2 percent in FY26 and 0.6 percent in FY27, due to the drag on external and domestic demand.
- **CPI Inflation** (average) is pushed up by about ½ pp in FY26 and 1½pp in FY27, mostly through pass-through to consumer energy prices, with more modest impacts expected on food and core inflation.
- The **current account** is projected to worsen by around 0.2pp in FY26 and 0.4pp in FY27, as higher fuel imports are expected to be partially offset by compression of non-oil imports, particularly in FY27.
- With **fiscal space** very limited, the authorities plan to offset the cost of absorbing the delayed adjustment of fuel prices and targeted relief to households by constraining primary expenditures.

The outlook would deteriorate further under an adverse scenario. Under the April 2026 WEO adverse scenario, the cumulative hit to GDP would rise to around 1½ pp by FY27, while the FY27 projected impact for inflation and the current account deficit would increase by around 2½ pp and 1½ percent of GDP, respectively, relative to a pre-conflict baseline.

Sound policies should anchor the response to any adverse scenario to safeguard economic and financial stability. With government revenues impacted by lower domestic demand and non-oil imports, further expenditure compression and reprioritization would be needed to remain within the program's fiscal envelope and ensure debt sustainability while providing temporary and targeted transfers to protect the most vulnerable. The exchange rate should remain the primary shock absorber, while the SBP should maintain appropriately tight monetary policy to prevent deanchoring of inflation expectations.

- **GDP and Inflation.** GDP growth is projected to reach 3.6 percent in FY26, reflecting strong activity through February (13). However, growth in FY27 is revised down due to higher commodity prices and weak external demand resulting from the Middle East conflict. Amid higher commodity prices, CPI inflation is expected to exceed 10 percent in Q4, and to reach 8.4 percent in FY27, before returning to the SBP target range in FY28.
- **Balance of Payments.** The current account is projected to record a small deficit in FY26, with an acceleration in import growth over the remaining months due to the spike in global energy prices. The current account is expected to further deteriorate in FY27 on account of elevated oil and gas prices, although lower domestic demand is expected to mitigate the impact on the trade deficit from energy imports. Over the medium-term, the current account deficit is expected to remain around 1 percent of GDP, reflecting an expected normalization of non-oil import demand and tariff cuts under the National Tariff Policy (NTP). Remittances are expected to remain an important source of inflows. Access to market financing is expected to continue following the recent market re-entry.
- **Public Debt.** Under the baseline, public debt remains sustainable over the medium-term (Annex I). Medium-term risks remain high, reflecting Pakistan's large gross financing needs and challenges in obtaining external financing (including high-quality foreign investment).

4. The outlook is clouded by significant risks. Key downside risks include geopolitical tensions and intensification of conflicts (including a more extended war in the Middle East), commodity price volatility, tightening in global financial conditions (including higher long-term

interest rates and rising risk premia), lower remittances due to economic disruptions or tighter immigration policies in key destination countries, and escalating global protectionism and trade disruptions. The risk of policy, including fiscal, slippages also remains high. There are also upside risks for a faster recovery benefiting from the consistent implementation of policies and strengthening confidence, and from reaping economic dividends from Pakistan's enhanced relations with bilateral partners.

EFF POLICY DISCUSSIONS

Policy discussions focused on the implementation of the gradual fiscal consolidation plans in FY26 and FY27, with due support to vulnerable households, and the entrenchment of monetary and financial stability in the context of a significant supply shock and high uncertainty about the global environment in the months ahead. Discussions also focused on the need to accelerate the reform momentum to support stronger growth by improving governance, domestic competition and the business environment, reducing the state footprint, strengthening the energy sector, and boosting climate resilience.

A. Fiscal Policy

5. The authorities remain committed to the FY26 underlying primary balance target of 1.6 percent of GDP. To mitigate the projected FBR collection shortfall and ensure that the primary balance target is achieved mostly through revenue mobilization efforts, **as a prior action**, the authorities plan to collect overdue tax revenue resulting from recent court rulings in favor of FBR (0.3 percent of GDP, largely stemming from “super tax”).¹ They will also revise FY26 expenditure ceilings (0.1 percent of GDP) related to unutilized emergency response allocations. As subsidies seeking to prevent domestic fuel price adjustment have proven distortionary and fiscally unsustainable, any fiscal policy response to high fuel prices should be targeted, limited, temporary, and budget neutral (MEFP ¶5-6). To this end, the authorities plan to align domestic fuel prices with international prices as **a prior action**, while provincial authorities have introduced targeted support to vulnerable households (Box 1).

6. To ensure a sustainable medium-term fiscal position, the FY27 budget (end-June 2026 SB) will remain in line with the program target of 2 percent of GDP (MEFP ¶7). This is appropriate given Pakistan's limited fiscal space and the need to continue to reduce public debt to more sustainable levels, amid recurrent shocks to the global economy. Achieving the FY27 target requires additional revenue collection measures of 0.6 percent of GDP (Box 2) to address Pakistan's low tax buoyancy and ensure that the fiscal effort is achieved through sustained growth of the tax revenue ratio. At the federal level, revenue mobilization will focus on gains from the implementation of the FBR's transformation plan and streamlining tax expenditures (0.3 percent of GDP in revenues in FY27) in line with recent IMF CD recommendations. In this regard, an FBR revenue collection floor is proposed to be set as a QPC starting in December 2026. At the provincial level, revenue mobilization will continue to focus on broadening the GST tax base on services and the application

¹ A tax on corporate taxpayers and high earners originally announced in the FY23 budget.

of higher income tax rates on agricultural income. Expenditure restraint will also be essential, with primary spending remaining flat as a share of GDP in FY27, while increasing targeted cash transfers and health and education spending ratios (¶14-15). Further expenditure compression (including lower-priority capital spending) may be needed if risks to revenue mobilization materialize. Amid exceptionally high budget uncertainty, setting aside an adequate contingency reserve would be critical to buffer fiscal risks, including those related to assumptions about the impact of the war in the Middle East. Any potential interest-bill savings should also be set aside to safeguard the gradual consolidation path and build fiscal buffers.

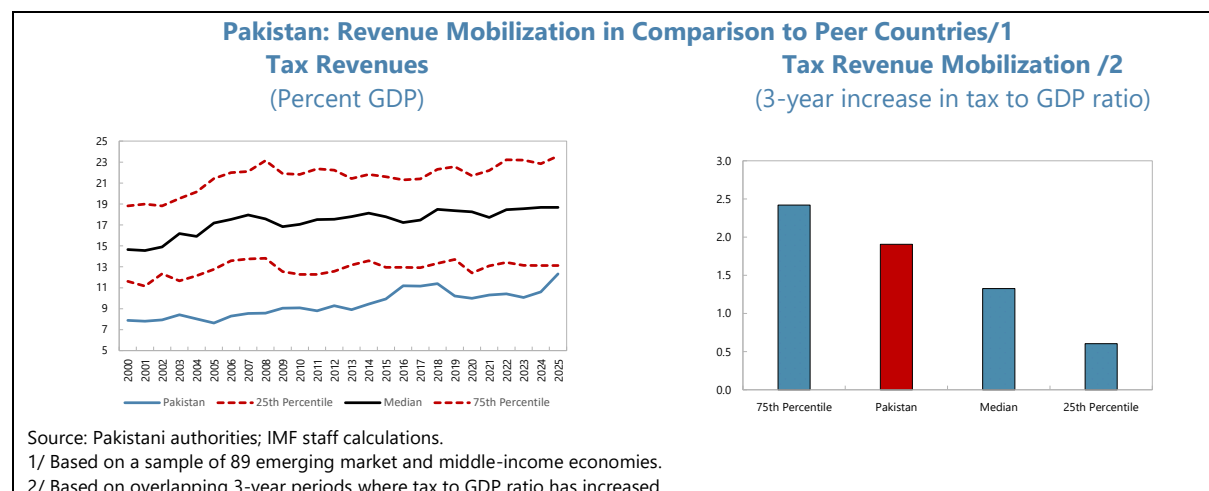
7. Persistent shortfalls in FBR tax revenues underscore the risks of a narrow tax base and call for base broadening via revenue administration reforms. The FBR has implemented priority areas of its transformation plan (end-March 2026 SB) including: (i) strengthening taxpayer audits by deploying the Compliance Risk Management (CRM) system, (ii) expanding and eventually making mandatory the use of digital invoicing, and (iii) enhancing production monitoring (MEFP ¶9). To ensure even-handed treatment of taxpayers, the FBR will prepare an audit manual and audit policy centralizing the audit case selection process via administrative prioritization and monitoring of high-risk cases through the CRM system (new proposed end-August 2026 SB, MEFP ¶10). Revenue gains from these interventions are likely to materialize in FY27, but they continue to target primarily existing taxpayers. Revenue administration efforts need to shift toward intensifying the retailer tax registration scheme and empowering the FBR to restrict specified high value transactions to individuals who have filed an income tax return.

8. Work on a medium-term tax reform strategy is ongoing. The newly created Tax Policy Office (TPO) should be fully staffed by end-May 2025. A data sharing arrangement governing the relationship between the TPO and FBR has been signed and the office has reached out to relevant stakeholders soliciting tax reform proposals. However, any tax reform proposals must be carefully calibrated, tested, and communicated to ensure long-term tax policy stability and consistency with the overall fiscal objectives (MEFP ¶11).

9. Expanding the Treasury Single Account (TSA) is a key priority of public financial management reforms. As a first step, the authorities are adding 70 new accounts to 149 accounts already covered in the sweeping arrangement, roughly doubling the balances available to the TSA. There is scope to further broaden the inclusion criteria, which would help improve the government's liquidity position and reduce borrowing costs.

Box 2. Potential for Further Revenue Mobilization

Although thanks to the authorities' efforts, tax revenues to GDP in Pakistan have reached their highest level since at least 2000, they remain considerably below those of peer countries. The increase since 2022 has been higher than a typical 3-year increase in peer countries, however, the tax revenue ratio (including provincial taxes and the PDL) only reached 12.3 percent of GDP in FY2025, still below the 25th percentile of peer countries. Given Pakistan's large social and development needs as well as high public debt, the revenue mobilization effort needs to be sustained.



Pakistan's tax base remains concentrated in a few sectors. An analysis based on input-output tables (2007-2022) suggests that agriculture is the single largest undertaxed sector. Despite contributing 24.6 percent of value added, the effective tax rate of the agricultural sector is just 0.3 percent. Agricultural income is taxed by the provinces. In 2025, agricultural income tax rates were increased significantly to align with tax rates for other income; however, revenues remained below expectations reflecting implementation delays and enforcement challenges. Textiles, real estate, and business services also account for a large share of value added compared to net tax collection. At the other extreme, petroleum products carry an effective tax rate of 166 percent, leaving revenues heavily reliant on fuel taxation and vulnerable to shocks.

GST efficiency is low. The GST C-efficiency ratio¹ has declined from 27.4 percent to 22.8 percent over the past ten years. Pakistan's 18 percent standard GST rate is not low by regional standards; however, barely one-quarter of the theoretical base is taxed. A broad set of basic goods remains exempt or concessionally taxed, historical zero-rating in export sectors has narrowed the base, and post-devolution fragmentation of GST on services has added compliance and administrative complexity through four separate provincial regimes. Raising C-efficiency to 35 percent (still well below peers such as Turkey, Morocco, and Indonesia) would imply roughly Rs 2.1 trillion in additional GST revenue (1.8 percent of GDP) on a FY2024-25 base.

The authorities can advance tax revenue mobilization by (i) eliminating sales tax expenditures, (ii) improving compliance, and (iii) increasing provincial revenues. FBR's 2025 Tax Expenditure report estimates that around 1.2 percent of GDP in various tax exemptions remain in place (notably on sales of residential property and certain foods). Sales tax compliance could be increased through production monitoring, adoption of digital invoicing and FBR retailer registration. Provinces should accelerate the collection of GST on services by strengthening enforcement. To ensure that gains from the agricultural income tax (AIT) reform materialize, provinces should take advantage of data sharing with the FBR, increase the automation of AIT procedures and dedicate additional human and IT resources to enforcement. IMF CD has been providing regular tailored advice to provinces to address their specific implementation challenges.

1/ The C-efficiency ratio, defined as actual GST revenue divided by the product of the standard rate and private final consumption, captures the combined effect of exemptions, zero-rating, compliance gaps, and base erosion.

10. Progress in strengthening debt management is continuing. Efforts to extend domestic maturities are ongoing and the average time to maturity (ATM) of the local currency domestic debt stock increased to around 4 years (end-December 2025), up from 2.7 years at the program's outset. Transparency regarding provincial participation in T-bill auctions has improved. Analysis is underway to develop reform options for the retail financing program, including through use of digital technologies. With investor base diversification a priority, especially given the significant sovereign-bank nexus, the authorities are advancing their work to publish an action plan for local currency bond market development (**end-September 2026 SB**). The new fiscal risk monitoring framework, published in December 2025, establishes a consistent approach for monitoring and reporting contingent liabilities in PPP projects. Regular updates of the summary of outstanding contingent liabilities will enhance accountability and risk management (MEFP ¶16). Amid heightened uncertainty in the coming period, market communication efforts should be strengthened to clearly articulate the authorities' debt management strategy, while fully respecting market-determined interest rates.

11. The authorities are committed to greater transparency and competition in public procurement. Application of the digitalized procurement system (e-PADS) continues to be expanded, including through the roll-out of an upgraded system and its application to federal and provincial agencies (MEFP ¶15). The authorities will also encourage SOEs to develop procurement rules that would help incorporate SOE procurement in e-PADs. Finally, the adoption of recently drafted legal amendments of the relevant provisions of the Public Procurement Regulatory Authority (PPRA) rules will eliminate preferences for SOEs in awarding public procurement contracts without competition, subject to limited and reasonable exceptions (**new proposed end-September 2026 SB**). An external audit of the e-PADS system has been completed by the Auditor General and is expected to be approved soon.

B. Poverty Reduction and Social Protection

12. Strengthening social protection and human capital investment is critical to create sustained gains in poverty reduction, employment, productivity, and long-term GDP growth. Pakistan's poverty headcount rate increased to 25.3 percent in FY24, up from 18.3 percent in FY22, exacerbated by overlapping crises (COVID, floods, economic instability and inflation).² Health and education outcomes remain very weak compared with lower middle-income countries.³ A strong social safety net and more effective human capital investment are a prerequisite to building a more sustainable and productive growth path for Pakistan, and to buffering Pakistan's most vulnerable from shocks, including commodity price shocks. A dollar of cash transfers generates a real income multiplier of 2.37 in Pakistan, likely through greater demand and employment creation for low-income Pakistanis.⁴

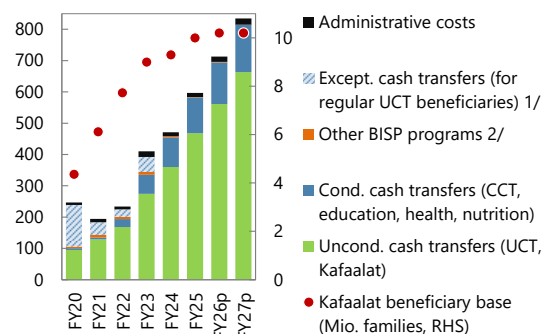
² World Bank, 2025, "Reclaiming Momentum Towards Prosperity: Pakistan's Poverty, Equity, and Resilience Assessment".

³ IMF, 2024, "Pakistan: 2024 Article IV Consultation and Request for an Extended Arrangement under the Extended Fund Facility" (CR 24/310).

⁴ Kagin, J., and Taylor, J., 2026, "Economy-Wide Impacts of Social Cash Transfers in Pakistan: An Integrated CGE-LEWIE Analysis".

13. Recognizing the importance of social protection, the authorities continue efforts to scale up social support, including through an increase in unconditional cash transfer (UCT) generosity (with an estimated 0.1 percent of GDP expansion in social protection spending in FY27). They successfully implemented an inflation adjustment for the UCT Kafaalat program in January 2026 (**SB**) and are on track to fully execute their UCT and conditional cash transfer (CCT) budgets for FY26 while expanding Kafaalat and CCT coverage (MEFP ¶121). The FY27 BISP budget will target an increase in UCT generosity beyond an inflation adjustment, from PRs 14,500 to PRs 18,000, moving toward the authorities' objective of quarterly UCT benefits equivalent to 15 percent of the lowest quintile family consumption. In parallel, CCT program spending should be maintained as a share of GDP.

Pakistan: Composition of BISP Spending, FY20-27
(Billions of Pakistani rupees)



Source: BISP; IMF Staff calculations.

1/Provide exceptional support, such as for the floods in FY23 or the Covid-19 pandemic in FYs20-22.

2/Includes regular BISP programs for nutrition, undergraduate scholarships, skills development, and complementary initiatives.

14. The authorities will also target greater health and education spending in FY27. The end-December target on aggregate health and education spending was comfortably met, although some provinces missed individual targets. The 0.3 percent of GDP increase in health and education spending for FY26 (to 2.8 percent of GDP) appears on track to be fully executed. A similarly ambitious increase of 0.2 percent of GDP (to 3.0 percent of GDP) is targeted for FY27.

C. Monetary, Exchange Rate, and Financial Sector

15. The SBP's monetary policy has helped contain inflation and inflation expectations, but in view of potential price pressures from the ongoing energy and food shock, the SBP would need to continue maintaining an appropriately tight stance. Benign inflation developments in FY26H1 gave the SBP room to cut the policy rate to 10.5 percent in December, before prudently holding rates flat in early March following the outbreak of the Middle East war. However, with inflation projected to increase on the back of higher international commodity prices, the SBP should carefully monitor and assess the pass-through to domestic prices, wages, and expectations and stand ready to tighten policy as needed to ensure inflation remains anchored around its inflation objective. At the same time, the SBP should remain attentive to the recent momentum in private credit, as further acceleration could add to demand pressures. Against the current challenging external backdrop, the SBP's ongoing review of MPC communication (MEFP ¶123) presents an important opportunity to further improve the market's understanding of the monetary policy reaction function—including how the SBP deploys and sequences its instruments—and enhances the credibility of the inflation target.

16. The exchange rate should remain the key shock absorber, while longer-term reforms to deepen and liberalize the FX market should continue. While the SBP's proactive approach to reserve accumulation has helped increase foreign exchange buffers, reserve cover remains too low by standard reserve metrics, and certainly inadequate to support any specific exchange rate. With the economy now facing the largest external shock since 2022-23, exchange rate flexibility remains the first line of defense should exchange pressures emerge, to allow the interbank market to balance supply and demand efficiently. Efforts to deepen the FX market should continue, including by improving the infrastructure for cross-border payments based on the SBP's comprehensive assessment of remittance costs **(end-May 2026 SB)**. Over the medium term, careful liberalization of the foreign exchange market could support a deeper FX market, attract new inflows, and ease the operating environment for domestic firms. To this end, the SBP has committed to preparing a roadmap for gradual, phased and conditions-based liberalization of the foreign exchange market **(new proposed end-March 2027 SB)**. Furthermore, the authorities should unwind the January 2022 shortening of the repatriation period for export proceeds (assessed as an outflow CFM under the IMF Institutional View on the Liberalization and Management of Capital Flows) once macroeconomic and balance of payments stability is restored.

17. Continued enforcement and monitoring of the regulatory framework is critical to maintaining financial stability. As of end-December 2025, the previously undercapitalized private bank has met applicable capital requirements. Close supervisory oversight should ensure the maintenance of adequate capital buffers against potential adverse developments. Overall, the banking sector remains liquid and profitable, although this is largely driven by significant exposures to government securities, which also pose risks to financial stability and call for advancing bond market development and investor base diversification. Undercapitalization continues to be a challenge for microfinance banks, with four of eleven banks remaining undercapitalized, driving the sector's overall negative capital adequacy ratio. The SBP is committed to addressing the capital shortfall and should take decisive actions to review microfinance banks' business models (MEFP ¶27a).

18. Clear guidance on the financial system's structure post-2027 will help align market expectations and support financial stability. The authorities' financial sector strategy will provide a detailed roadmap for the transition to a constitutionally mandated "riba" (interest) free economy **(end-June 2026 SB)**. In addition to outlining the legal, regulatory, and strategic implications for monetary policy, public debt and financial management, and bank and nonbank financial institution supervision, the strategy should establish, without ambiguity, the implementation trajectory for financial institutions and the approach to addressing outstanding conventional liabilities. The Virtual Assets Bill approved by Parliament in March 2026 formally established the Pakistan Virtual Assets Regulatory Authority (PVARA). The authorities have committed to addressing any remaining gaps relative to international standards through comprehensive secondary regulations. In general, efforts to integrate virtual assets should align with broader macro-financial policies (MEFP ¶28).

19. The authorities continue to strengthen the effectiveness of the AML/CFT framework and address trade-based money laundering (TBML). Informed by the ongoing update of the 2023 National Risk Assessment, the National AML/CFT Authority is coordinating and prioritizing reforms of

the AML/CFT framework in several key areas, including: (i) enhancing the effectiveness of AML/CFT supervision of, and application of preventive measures by, designated non-financial businesses and professions (DNFBPs); (ii) improving the availability and accuracy of beneficial ownership (BO) information, particularly in SECP's central registry; and (iii) strengthening efforts to combat TBML, including developing a price verification database. Greater inter-agency data sharing and use of policy instruments remain areas of further improvement, including to more closely coordinate foreign exchange reporting of import payments and customs data to better monitor and mitigate macro- and transaction-level TBML risks.

D. Energy Sector

20. Amid significant fuel price volatility, the authorities reaffirmed their commitment to ensuring energy sector viability. The authorities have made significant progress in recent years in aligning domestic energy prices with cost recovery, with regular automatic tariff adjustments. To prevent any distortions in domestic demand patterns and safeguard cost recovery, the authorities have committed to aligning domestic fuel prices with international markets at each fortnightly adjustment period while also keeping power and gas tariffs in line with costs (see Box 3).⁵ In parallel, progress is continuing on structural reforms to improve efficiency and reliability and reduce cost pressures.

Box 3. Energy Pricing in Pakistan

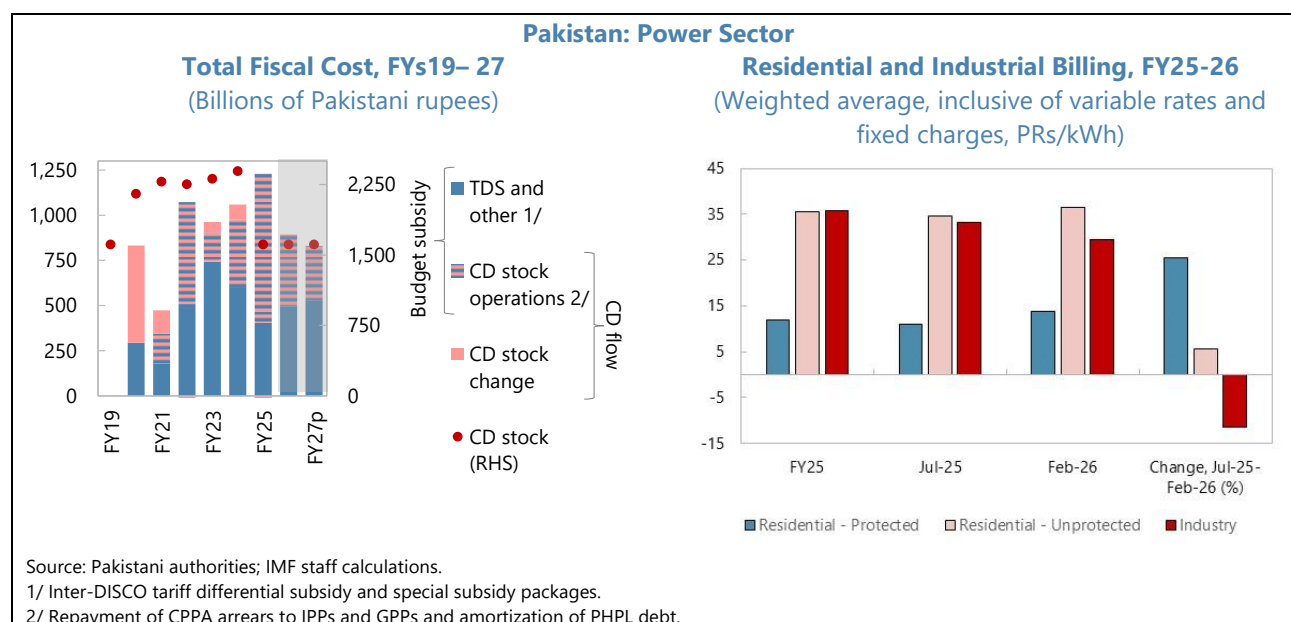
Global energy prices pass through to local energy prices in a number of ways:

- **Fuel prices:** Ex-refinery petroleum and diesel prices are benchmarked against global prices and converted to rupees. Additional (relatively small) charges are added to account for import and inland freight costs, marketing company margins, and dealer commissions. A federal petroleum development levy is then added to arrive at the final cost.
- **Electricity prices:** During its annual rebasing process (recently shifted from July to January), NEPRA determines an overall sectoral revenue requirement and associated uniform weighted average tariff consistent with cost recovery based on DISCOs' cost forecasts and its own assumptions, including the global crude oil price. The government then notifies a schedule of base tariffs per consumer category, including a tariff differential subsidy and policy choices regarding consumer categories (e.g., lower tariffs for protected consumers). To the notified base tariffs are added (1) quarterly tariff adjustments (QTAs) to fill gaps between projected capacity charges at the time of rebasing and actual charges; (2) monthly fuel charge adjustments (FCAs) to fill gaps between projected generation input costs (including global crude oil prices) at the time of rebasing and actual charges; (3) a debt service surcharge (DSS, which finances power sector debt payments); and (4) federal taxes. QTAs, FCAs, and DSS are not applied to the "lifeline" most-vulnerable consumers' bills.
- **Gas prices:** OGRA carries out tariff adjustments in January and June of each year. OGRA determines an overall sectoral revenue requirement and associated average tariff consistent with cost recovery based on Suis' inputs and its own assumptions, including the cost of RLNG. The government then notifies a schedule of base tariffs per consumer category, which includes progressively lower tariffs for protected consumers. Unlike the power sector, there are neither intra-year adjustments nor subsidies applied, although OGRA is directed to apply any prior-year surpluses to tariffs to finance CD stock reduction.

⁵ The authorities shifted to weekly adjustments in March 2026.

21. Power DISCO operations have continued to improve, and some progress has been made on the power sector structural reform agenda, but vulnerable consumers must remain protected and non-operational sources of CD flow need to be tackled.

- **Tariff adjustment.** Continued timely intra-year tariff adjustments have kept the overall power tariff structure in line with costs, and it is critical that these adjustments continue in the context of global fuel price shocks, including to avoid a resurgence in CD flow (see below).⁶ A large tariff reduction for industrial consumers in February maintained system cost-recovery by unwinding industrial consumers' cross-subsidy to residential consumers, which was balanced out by increasing or introducing fixed charges on residential consumers, including some protected consumers. Any further tariff adjustments should preserve the progressive nature of the power tariff structure, alongside greater progress on power subsidy reform (¶126), to enable better targeting of vulnerable electricity consumers.
- **CD flow.** The FY27 CD flow target has been set at PRs 300 billion, PRs 100 billion lower than FY26, reflecting continued improvement in operational performance. However, non-operational CD flow pressures remain (¶13), with greater progress needed on the delayed settlement of penalty payment arrears with remaining IPPs as part of the FY25-26 CD stock reduction plan. Lower expected CD flow will allow for a lower planned FY27 power subsidy, from 0.7 percent of GDP to 0.6 percent of GDP.



- **Advancing power sector reforms.** The authorities remain committed to full implementation of the power structural reform agenda (MEFP ¶133) to reduce costs for residents and businesses in a sustainable fashion. The DISCO private sector participation process, which will lead to further operational improvements, is proceeding, albeit with a delay. Furthermore, a second wave of

⁶ The annual power rebasing period was successfully shifted from July to January this year, in order to deliver the annual base tariff adjustment at a time of low demand, thus delivering a smoother price path for most consumers.

DISCOs is also being launched in parallel (preconditions for which are an **end-December 2026 SB**). The transmission network restructuring has been finalized and the first wholesale electricity auctions should start in mid-2026. NEPRA's recently introduced reform to shift solar consumers from a net metering to a net billing model, more in line with international practice, would allow for a greater balance between solar and grid consumption.⁷ However, the exemption of existing solar consumers from the new model retains a significant, and likely regressive, near-term cross subsidy from electricity grid to solar consumers.

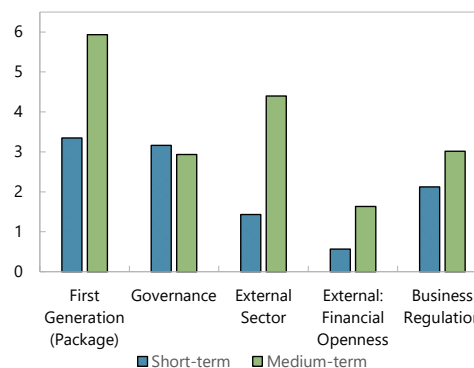
22. The global commodity shock will complicate efforts to address vulnerabilities in the gas sector.

- Disrupted LNG shipments from the Gulf have shifted the authorities' attention to ensuring sufficient supply in the near term. Nonetheless, the RLNG surplus resulting from long-term contracts and falling demand remains to be addressed, and efforts to coordinate among relevant government stakeholders on a solution should continue. To this end, the recent establishment of a National Integrated Energy Plan secretariat, to be led by the Petroleum and Power Ministries, is a positive step toward better coordination of supply and demand across the energy sector.
- The authorities are focused on reducing the large and growing stock of CD (₹13). To this end, they continue with timely tariff adjustments to recover costs and maintain a progressive tariff structure. The recent finalization of an audited and reliable data set of gas CD, and its quarterly dissemination to stakeholders, is a welcome step toward developing a viable plan to address the issue. In parallel, ongoing efforts to reduce unaccounted for gas (UFG) (MEFP ₹134.d) should continue.

E. Other Structural Policies

23. Amid growing concerns about Pakistan's growth challenges, deeper structural reforms are urgently needed to improve governance, reduce the footprint of the state, and improve the business environment. Cross-country evidence⁸ suggests that implementing a comprehensive package of structural reforms could boost near-term output by up to 3½ percent, and medium-term output by almost 6

Pakistan: Impact of Major Structural Reforms 1/
(Impact on Level of GDP, percent)



Source: Budina et al. (2023); IMF staff calculations.

1/ First generation includes governance, external sector, and business regulation reforms. Major reform corresponds to a 2-standard deviation improvement in underlying structural indicators. Short-term impact is the change in GDP one year after the reform, medium-term impact is based on the maximum change in GDP 3-4 years after the reform. All impacts reported are significant at 5 percent confidence level.

⁷ The strong uptake of solar energy in recent years, driven by increasing electricity tariffs, low solar panel costs, and very generous export rates to the grid, has been a strong factor behind recent years' weak electricity consumption and associated power sector financial strains.

⁸ Budina, Ebeke, Jaumotte, Medici, Panton, Tavares, and Yao, 2023, "Structural Reforms to Accelerate Growth, Ease Policy Trade-offs, and Support the Green Transition in Emerging Market and Developing Economies", Staff Discussion Note 2023/007

percent, with particularly large returns to governance and external sector (including financial openness) reforms.

24. The authorities are advancing their governance and anti-corruption agenda, seeking to strengthen the integrity of policymaking:

- **Implementing the recommendations of the Governance and Corruption Diagnostic (GCD) (MEFP ¶138.a).** The authorities published the Prime Minister’s Economic Governance Reform (EGR) Plan based upon the key GCD recommendations (**end-December 2025 SB**). The EGR sets out 15 reform actions with key performance indicators (KPIs), timelines, and monitoring modalities. The authorities have also established an institutional framework to facilitate implementation and have initiated mechanisms for close coordination with key stakeholders (including Civil Society Organizations) through policy dialogue and publication of semi-annual reports. To ensure high-level of transparency and accountability and better track EGR’s results and impact, the authorities have committed to further develop and publish outcome-based indicators in consultation with key stakeholders.
- **Strengthening the effectiveness of anti-corruption institutions (MEFP ¶138.c, e and g).** Recently revised Civil Servant (Conduct) rules will support the online publication of asset declarations of high-level federal civil servants (**end-December 2026 SB**). Further revisions will specify limited disclosure restrictions on confidential personal information, and along with a framework for risk-based and timely verification, will facilitate the publication. To enhance independence and transparency of the National Accountability Bureau (NAB), the authorities will submit amendments on the NAB Ordinance to parliament to enhance the appointment process for the NAB chairman and publish investigation and prosecution rules and annual enforcement statistics (**new proposed end-January 2027 SB**). Finally, the Anti-Corruption and AML/CFT Committee will develop a methodology for corruption risk assessment to guide NAB’s development of an action plan to mitigate corruption risks in government agencies (**proposed revised end-October 2026 SB**). Methodological alignment as a preliminary step to the corruption risk assessment is critical to ensure its comprehensiveness and effective use of all relevant information sources.
- **Other governance reforms (MEFP ¶138).** Progress in other areas includes publishing the full UNCAC review report on UNODC’s website⁹ and extending banks’ access to asset declarations to cover all public officials, with access statistics to be published by June 2026.

25. Advancing SOE reforms and the privatization agenda are central to scaling back the state’s footprint while boosting the governance, transparency and efficiency of SOEs. This requires sustained political commitment and effort to strengthen institutional capacity, preserve the integrity of hard-gained reforms and avoid future dilution of the SOE framework.

⁹https://track.unodc.org/uploads/documents/UNCAC/CountryVisitFinalReports/2026_02_16_Pakistan_Cycle_II_Country_Review_Report_EN.pdf.

- **Bringing SOEs in line with the SOE Act (MEFP ¶136a).** The authorities sent 6 amendments to SOE-dedicated laws to parliament in January 2026 for approval. They now need to progress with the remaining 3 SOEs with dedicated laws (**end-August 2026 SB**). The authorities have also finalized and will soon submit draft SWF Law amendments to parliament. These amendments clarify the legal mandate of the SWF as a holding company, strengthen SWF governance, ensure that SWF-owned SOEs remain under the same high-quality governance structures and accountability standards as all other SOEs, require transparent and competitive procedures for divestment and procurement, and introduce key fiscal safeguards (MEFP ¶136b). The adoption of these amendments (**end-March 2026 SB**) without further delay is essential to maintain reform momentum. The operationalization of the SWF will remain on hold until these legal changes are enacted.
- **Implementing the SOE governance framework.** Further progress has been made in implementing the SOE framework at the commercial SOEs to which the legal framework already applies (MEFP ¶136.c). Most commercial SOEs have published business plans, statements of corporate intent, and IFRS-compliant financial statements, in line with recent manuals and guidelines. It is critical that the Central Monitoring Unit (CMU), which is now fully staffed, exercises close surveillance over the quality of this reporting. Progress is ongoing on preparing and incorporating the public service obligation (PSO) agreements for the seven largest SOEs in the FY27 budget (**end-June 2026 SB**). Further refinement of the PSO guidelines, in consultation with the ADB, will allow incorporating new PSO agreements in the FY28 budget. Finally, progress has been made in establishing majority-independent Boards at commercial SOEs; this process should be completed at the remaining SOEs in the near future.
- **Advancing the privatization agenda.** Two privatizations have been agreed upon since October 2025, including the Pakistan International Airlines. The authorities should build on this positive momentum by finalizing the delayed appointment of a new financial advisor for the Roosevelt Hotel and moving forward with DISCO private sector participation.

26. The authorities have committed to accelerating reforms focusing on removing distortions and easing regulatory burdens:

- **Improving the Business Environment.** The next phase of duty reductions under the National Tariff Policy will be legislated under the FY27 budget, and efforts to remove and simplify Pakistan's extensive non-tariff barriers also need to move forward (MEFP ¶139). As part of the broader regulatory streamlining effort, a new national regulatory registry will be established as a comprehensive source on business regulations, starting with the federal government and ICT governments (**new proposed end-June 2027 SB**), which will improve transparency and reduce regulatory uncertainty (MEFP ¶140b). The authorities are also in the process of finalizing amendments to the Companies Act for submission to Parliament (**end-June 2026 SB**), focusing on reducing regulatory burdens and transaction costs and improving corporate governance and transparency for both listed and unlisted companies (MEFP ¶140c). Alongside these efforts to improve the business environment, the phase out of fiscal incentives for special economic zones (SEZs), special technology zones (STZs), and export processing zones (EPZs) by 2035 will reduce

fiscal costs and level the playing field for trade and investment. These changes will be codified by enacting amendments to the SEZ and STZ Acts (**new proposed end-June 2027 SB**), and by eliminating the option for exporters in EPZs to sell a share of their goods domestically (MEFP ¶40a).

- **Liberalizing Commodity Markets.** Reducing government intervention in the wheat and sugar markets is essential to remove distortions and support private investment, productivity, and efficiency. These changes will also strengthen price discovery, which is particularly important amid elevated international food price volatility. Governance arrangements for strategic wheat reserves should remain robust, with procurement conducted through the private sector at prices aligned with international markets and releases limited to cases of declaration of emergency. In the sugar sector, the authorities are making progress on adopting a new national policy agreed by federal and provincial governments (**end-June 2026 SB**). The policy envisages removing zoning and licensing restrictions, ending administered cane and sugar pricing, liberalizing imports and exports under transparent rules within a sequenced implementation plan.

27. Improvements to the macroeconomic statistics are also ongoing but should be accompanied by enhanced transparency and PBS resources (MEFP ¶41). The PBS completed the timely publication of full results from the FY25 Labor Force Survey (LFS) and Household Income and Expenditure Survey (HIES) in early January 2026. Work is progressing on the producer price index and on three major surveys originally planned for FY26, though timelines for these exercises were delayed when the PBS was also tasked on an ad hoc basis with conducting a new national SME survey. The Government Finance Statistics (GFS) compiled by the Finance Division remain subject to shortcomings that undermine transparency, including a persistent statistical discrepancy between above and below-the-line measures of the fiscal deficit. The authorities should accelerate work to strengthen the GFS, by reporting spending on a GFSM 2014 basis, and broadening the coverage of extrabudgetary units in the above-the-line statistics, which should help minimize the statistical discrepancy. Following the identification of discrepancies in the trade data, procedures for import data collection and aggregation are being strengthened, and the PBS will ensure full transparency on the impact of these issues by publishing a full set of revised monthly and annual import statistics and explanations by end-August 2026.

RSF POLICIES

28. Implementation of climate resilience-enhancing reforms under the RSF is advancing:

- **RM7 and RM8 were implemented in December 2025.** The SBP issued guidelines for the management of climate related financial risks (**RM7**).¹⁰ Based on the green taxonomy adopted in conjunction with the World Bank in August 2025, the SECP issued guidelines to enable listed companies to disclose climate-related risk and opportunities (**RM8**). Taken together, these measures represent a significant improvement in Pakistan's climate information architecture,

¹⁰ <https://www.sbp.org.pk/smeft/circulars/2025/C7-Annexure.pdf>

which will help to facilitate climate resilience-focused investment. The implementation of these reforms will help to reduce prospective balance of payments risks by enhancing financial sector resilience via lower climate shock-related financial sector losses and enhanced climate adaptation infrastructure and external financing through climate investment facilitation.

- **Progress is being made on upcoming RMs.** A recent IMF CD mission supported the authorities' development of a disaster risk financing framework that will establish a coordination mechanism across federal and provincial entities **(RM6, end-August 2026)**. The authorities are in the process of revising their Public Investment Procedures and Parameters methodology to increase its climate change weighting **(RM1, end-August 2026)**. Some progress has been made on work to replace the existing electricity subsidy structure with a targeted framework for low-income consumers **(RM12, end-January 2027)**; it is critical that the authorities implement an effective nationwide communications campaign to prepare electricity consumers for the transition.

PROGRAM MODALITIES

29. Updates to EFF-related conditionality are proposed to guide program implementation:

- **New quantitative targets.** New QPCs are proposed for end-December 2026, and new ITs are proposed for end-September 2026, end-March-2027, and end-June 2027. The new targets are set to reflect the more limited scope for reserve accumulation in the current adverse environment, yet consistent with EFF objectives of supporting continued reserve accumulation over the program horizon, containing inflationary pressures, continuing fiscal adjustment and enhancing revenue mobilization. Given the criticality of domestic revenue mobilization to achieve the program objectives, and persistent slippages against the IT, the floor on net tax revenue collected by the FBR is proposed to be upgraded to a QPC from end-December 2026.
- **Structural Benchmarks.** New SBs are proposed to monitor the program's structural agenda, including on approval of the FY27 budget, improving revenue administration, strengthening the anti-corruption and public procurement frameworks, continuing regular adjustments to gas and power tariffs, maintaining the generosity of the UCT program, preparing a roadmap for gradual FX liberalization, and enhancing regulatory transparency and predictability.

30. The program is fully financed, with firm commitments for the next 12 months and good prospects for the remainder of the Fund-supported program (Text Table 3). Programmed disbursements have largely developed as anticipated, with a planned US\$250 million Panda bond issuance expected to go ahead in FY26Q4. The repayment of deposits of US\$3.5 billion to an official bilateral creditor was fully financed by the provision of US\$3 billion in SBP deposits by another major official bilateral creditor and a 3-year \$750 million Eurobond issued on April 16. The authorities also reached an agreement for the extension of the maturity of US\$5 billion in official bilateral deposits from 1 to 3 years. Other official bilateral deposits have continued to be rolled over as anticipated. Furthermore, commercial financing facilities could potentially be tapped if needed to cover any additional external financing needs.

Text Table 3. Pakistan: Program Financing 1/ (Millions of U.S. Dollars)

	2024/25	2025/26	2026/27	2027/28	Total (FY25-28)
	Act.			Proj.	
A. Financing gap (without RSF) 1/	3,503	4,102	2,969	1,048	11,622
Underlying BoP Gap 2/	-1,674	1,353	140	-282	-464
Gross international reserves (+ = accumulation, without RSF)	5,177	2,749	2,829	1,330	12,085
B. IMF EFF	2,051	2,081	2,093	1,048	7,273
C. Other program financing (A-B)	1,452	2,021	876	0	4,349
Commercial loan (w/ ADB partial guarantee)	1,000				1,000
Saudi Arabia Oil Financing	200	1,000			1,200
Additional IsdB Trade Financing	252	145			397
Additional Financing 3/	0	876	876		1,752
D. RSF Disbursement	0	422	530	424	1,376
Additional change in GIR (+ = accumulation)	0	422	530	424	1,376
Memorandum items					
IFI Budget Support	1,224	669	500	1,000	3,393
WB	0	0	0	0	0
ADB	1,224	669	500	1,000	3,393
External Bond Issuance 4/	0	1,000	1,000	1,500	3,500
(Net) Commercial Bank borrowing 5/	678	76	866	1,391	3,012

1/Excluding financing needs associated with rollover/refinancing of short-term bilateral financing, and expected commercial bank rollovers
2/Change in reserves absent IMF and other program financing
3/Additional program financing, including from China and IFIs
4/Including through prospective "Panda" bond in FY26
5/Including through IsdB Trade Facility

31. Enterprise risks have increased but remain manageable. Financial risks have increased somewhat, given the impact of the Middle East war on Pakistan's economy and BOP but are mitigated by the overperformance on reserve accumulation to date, and by phased access, burden sharing, and adequate financing assurances. Strong program ownership going forward remains critical to mitigate business and financial risks. The intensification of Pakistan's conflict with Afghanistan also poses increased operational risks, including to staff safety and wellbeing, which continue to be mitigated through close coordination of Fund activities in line with policies and supported by UNDSS. Reputational risks could arise from the interaction of geopolitical conflicts and related supply side shocks with the Fund program and will be mitigated by clear communication and continued close member engagement. Strong program ownership going forward remains critical to mitigate business and financial risks.

32. Safeguards. The 2023 Safeguards Assessment found a broadly sound safeguards framework, with steady progress in implementation since. Remaining priorities include filling one senior management position and amending the SBP Act at an opportune time to clarify the prohibition on quasi-fiscal and developmental activities

33. Pakistan's capacity to repay the Fund remains adequate but is critically dependent on steadfast policy implementation and timely external financing. The Fund's exposure would peak at SDR 9,775 million in September 2027 (481 percent of quota and about 64 percent of projected gross reserves in 2027). Risks to consistent policy implementation include resistance to adoption of reforms, underperformance of tax revenue, high gross financing needs, low gross reserves, and the

sizeable net FX derivative position of the SBP, coupled with sociopolitical tensions, which could erode repayment capacity and debt sustainability. Uncertainty about the duration of the war in the Middle East and global geoeconomic and financial conditions in major trading partners adds to these risks. Adequate and timely execution of the firm and credible financing assurances from official creditors remains essential to mitigate these risks.

STAFF APPRAISAL

34. Strong program implementation has bolstered Pakistan’s resilience to external shocks, but reform momentum needs to be sustained against a challenging backdrop. Growth had gained momentum prior to the Middle East war, as program implementation had begun to bear results. However, the war weighs on the near-term outlook as Pakistan is highly exposed to energy imports and remittances from the Gulf countries as well as to global financial conditions. An extended period of volatile commodity prices, elevated global policy uncertainty, and higher long-term interest rates could substantially impact its economy and the balance of payments. Amidst this challenging international environment, and with growing domestic concerns about poverty and growth, strong policy and reform efforts need to be sustained and deepened to lock in recent gains, strengthen public finances, continue rebuilding external buffers, and support inclusive and resilient private sector-led growth.

35. The authorities’ commitment to the program fiscal targets amidst a difficult global environment is commendable. The gradual fiscal consolidation envisaged in the program remains appropriate to strengthen resilience in a shock prone world and reduce vulnerabilities from the still high debt and gross financing needs. However, the consolidation progress so far has relied primarily on increasing revenue from the formal sector. The authorities should scale up efforts to broaden the tax base in the undertaxed sectors by strengthening revenue administration, which would also create space to address distortions in the existing tax policy design and support long-term growth. Spending efficiency and public financial management reforms are also key to support policy credibility and sustainability. Enhancing social protection and human capital development are critical to build resilience against shocks and improve poverty and employment indicators. In this regard, the planned FY27 increase in UCT benefit generosity and in health and education spending are welcome, and further efforts should be made to ensure their expansion and timely and quality implementation.

36. The SBP should remain vigilant to ensure inflation expectations stay anchored in the face of ongoing commodity price volatility, while allowing the exchange rate to act as a shock absorber. With inflationary pressures likely to increase, the SBP should stand ready to tighten monetary policy if needed, while carefully monitoring second-round effects on prices, wages and inflation expectations. Efforts to continue improving central bank communication will help anchor expectations and support effective policy implementation. Exchange rate flexibility should be the main shock absorber, to preserve and continue building reserve buffers, which are still well below comfortable levels. At the same time, the SBP should continue deepening the interbank FX market, including through a carefully sequenced medium-term FX liberalization.

37. The authorities should continue to proactively address financial sector vulnerabilities.

Recent progress in ensuring that all banks in the system are adequately capitalized are welcome. Decisive actions are now needed to address microfinance banks' capital shortfalls. Efforts should also continue to advance capital market development, diversify the domestic debt investor base, improve the private sector's access to finance, and strengthen AML/CFT effectiveness. The regulation of virtual assets should safeguard financial stability and ensure investor protection while harnessing benefits. The post-2027 financial sector strategy should remove ambiguities about the implementation of the recent constitutional amendment.

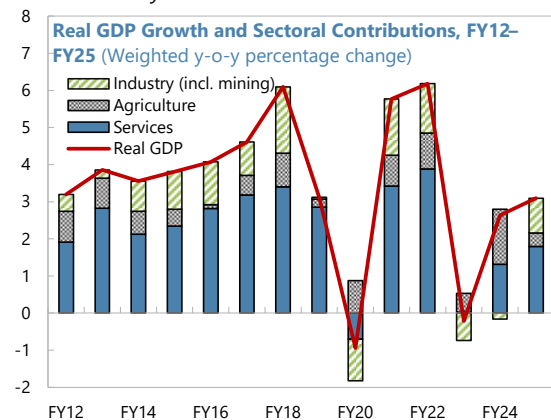
38. Advancing and deepening structural reforms is the only way to sustainably boost long-term growth. Delivering measurable outcomes of the EGR reform actions and strengthening the effectiveness, transparency, and independence of anti-corruption institutions would help reduce risks of undue influence in policymaking and implementation and foster a more stable and investor-friendly business environment. Continuing to move forward on the power and gas structural reform agendas, while keeping tariff structures in line with costs and progressive to protect vulnerable consumers, remains the only path to energy sector viability. Advancing SOE reforms and the privatization agenda is central to scaling back the state's footprint and improving service delivery and requires sustained political commitment and efforts to strengthen institutional capacity. Efforts to enable private sector development should accelerate and remain focused on eliminating distortions and easing unnecessary regulations. Efforts to improve macroeconomic statistics should be accompanied by improvements in transparency while safeguarding PBS resources.

39. Progress made so far on the climate agenda needs to be maintained. RMs 7 and 8 have been completed, with a combined associated disbursement amount of SDR 153.8 million. The momentum from the completion of the first four RMs during this and the first review must be maintained to boost resilience to Pakistan's large climate-related macroeconomic vulnerabilities. This will require advance planning for RMs targeted for 2027, close coordination with provinces where applicable, and engagement with Fund and other development partners for technical advice where necessary.

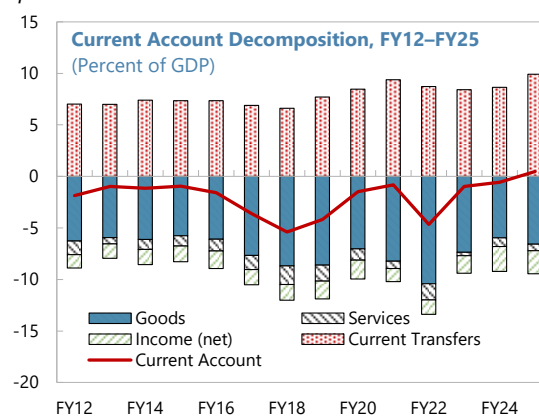
40. Based on the authorities' program implementation and policy commitments, staff supports their request for completion of the third review under the EFF arrangement and for completion of the second review under the RSF arrangement.

Figure 1. Pakistan: Selected Economic Indicators

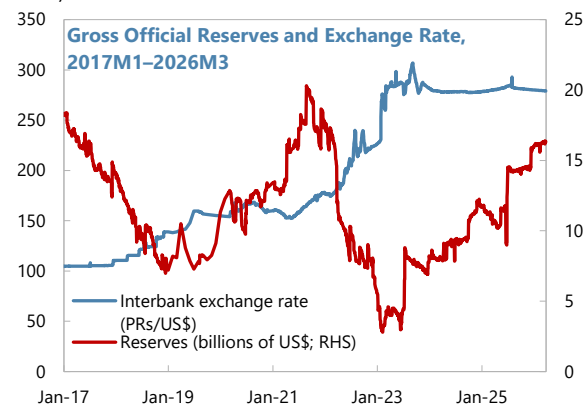
Growth picked up in FY25, with stronger industrial and services activity....



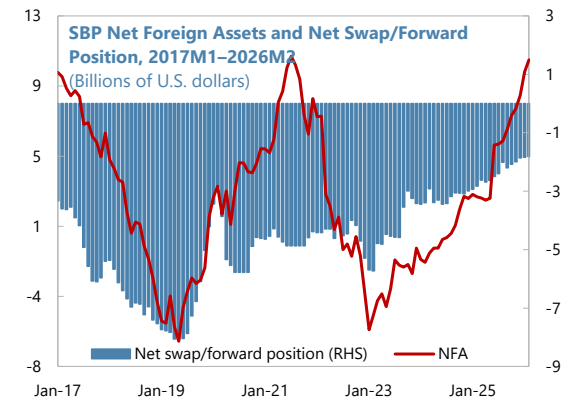
...and strong remittances pushed the current account into surplus.



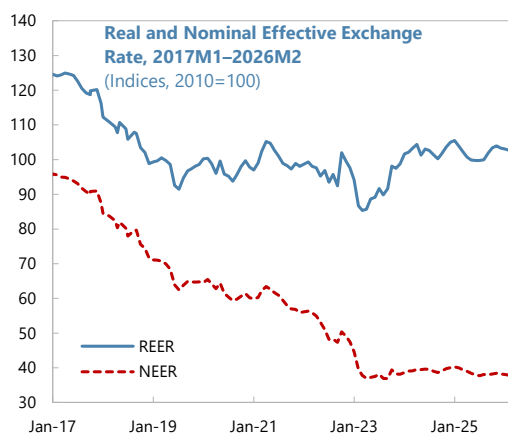
Gross reserves have increased by around \$11 billion since 2023, but reserve accumulation needs to continue....



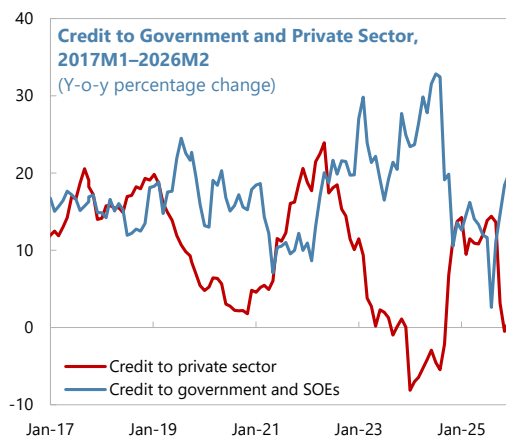
....and the narrowing of the SBP's derivative position should continue.



The nominal exchange rate has remained steady, but the real exchange rate appreciated in 2025.



Credit to the private sector has picked up, but public sector borrowing requirements remain high.

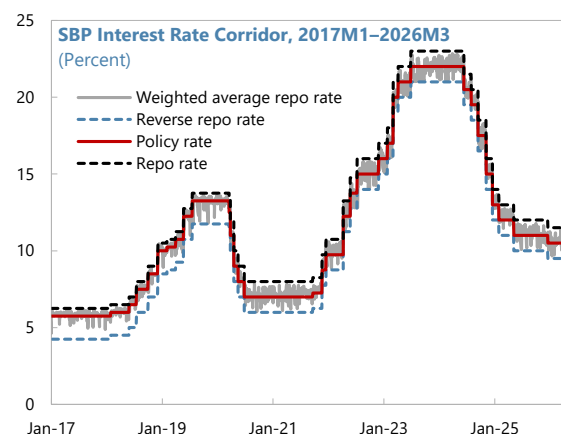


Source: Pakistani Authorities, Haver Analytics, IMF staff Calculations

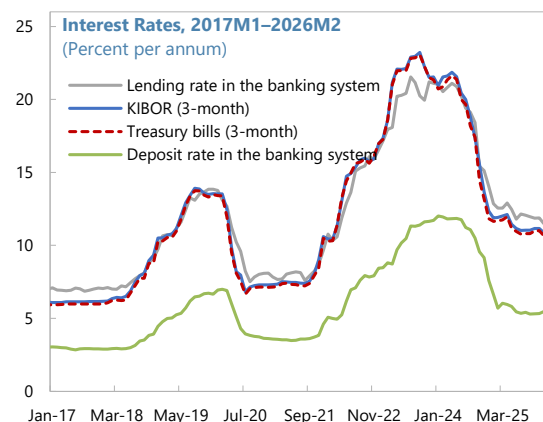
Figure 2. Pakistan: Selected Financial Indicators

The SBP cuts its policy rate by 50 bps to 10.5 percent in December 2025, then held rates in January and March....

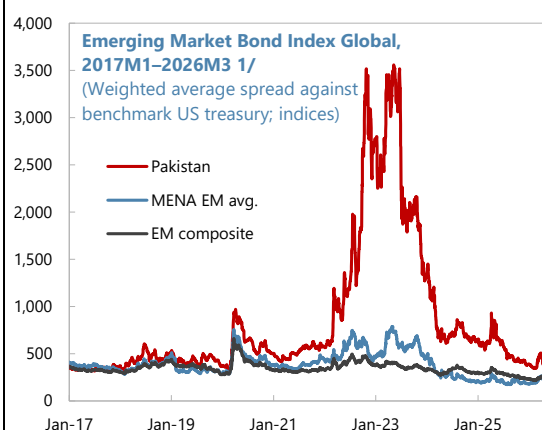
...and lower policy rates have been passed through to market and lending/deposit rates.



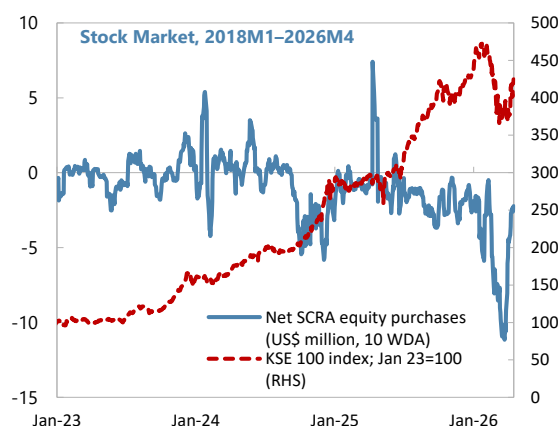
After declining markedly over the past year, Pakistan's spreads temporarily increased by about 100bps in March.



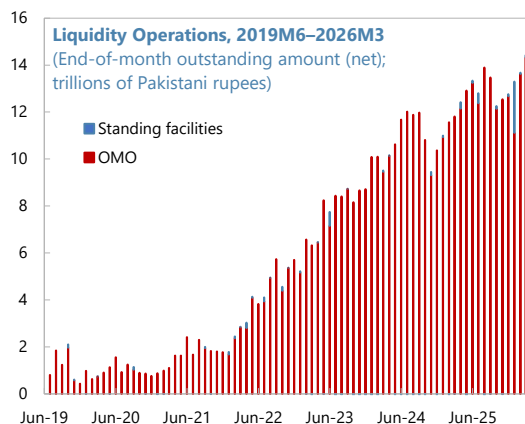
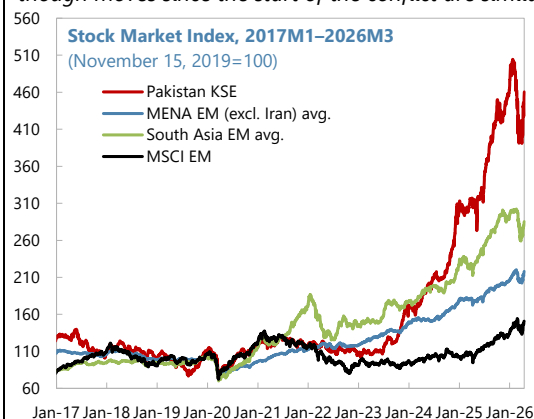
The stock market has sold off since early February, and the Middle East conflict triggered some capital outflows.



The stock market selloff has been larger than in peers, though moves since the start of the conflict are similar.



Liquidity injections through OMOs remain high

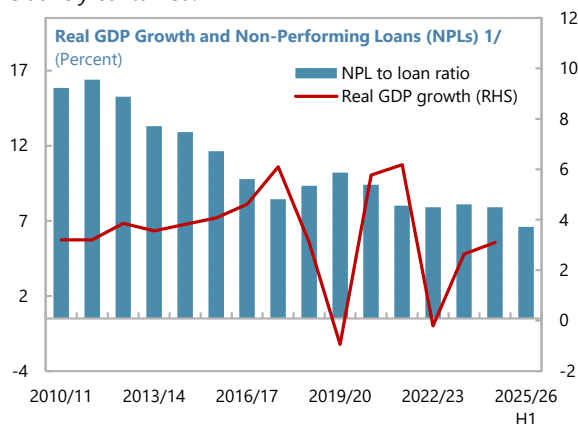


1/MENA EM average excludes Lebanon

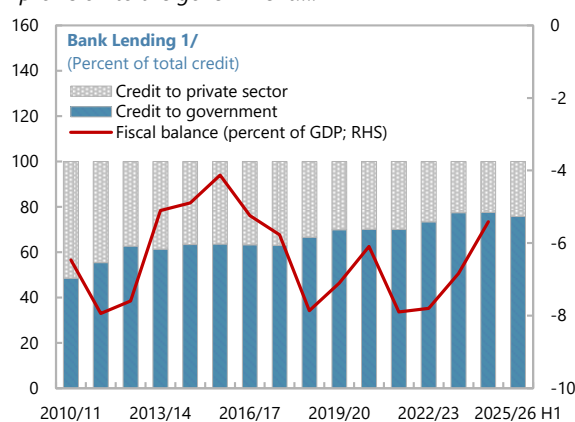
Source: Pakistani Authorities, Bloomberg, IMF Staff Calculations

Figure 3. Pakistan: Selected Banking and Financial Indicators, 2010/11–2025/26

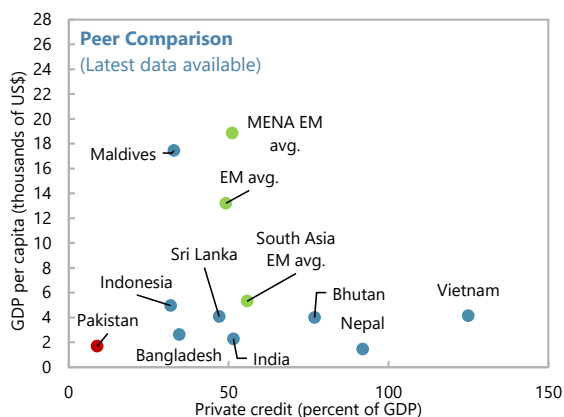
Non-performing loans declined in FY26H1 and remained relatively contained.



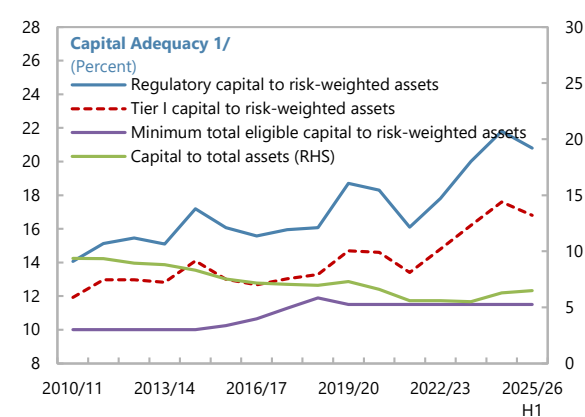
The banking system has been oriented towards credit provision to the government....



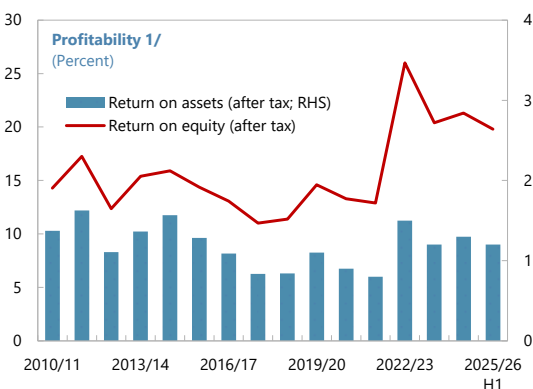
....which has kept the share of private credit to GDP small compared to Pakistan's peers.



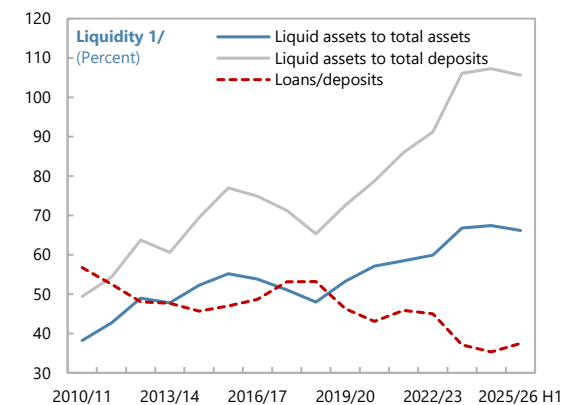
In part due to investments in government securities with zero risk weights, banks' capital ratios appear healthy....



...and banks remain very profitable ...



...and highly liquid.



1/ Data for fiscal year 2025/26 is available up to December 2025
Source: Pakistani authorities; Bloomberg; IMF Staff Calculations

Table 1. Pakistan: Selected Economic Indicators, 2021/22–2026/27 1/

Population: 240.5 million (2024/25)

Main exports: Textiles (US\$17.3 billion, 2024/25)

Per capita GDP: US\$1,676.7 (2024/25)

Unemployment: 7.1 percent (2024/25)

Poverty rate: 21.9 percent (at national line; 2018/19)

	2021/22	2022/23	2023/24	2024/25	2025/26		2026/27	
					Prog.	Proj.	Prog.	Proj.
Output and prices								
					(Annual percentage change)			
Real GDP at factor cost	6.2	-0.2	2.6	3.1	3.2	3.6	4.1	3.5
GDP deflator at factor cost	14.1	26.0	22.2	4.1	6.3	7.2	7.0	8.4
Consumer prices (period average)	12.2	29.2	23.4	4.5	6.3	7.2	7.0	8.4
Consumer prices (end of period)	21.3	29.4	12.6	3.2	8.9	11.5	6.5	7.0
Pakistani rupees per U.S. dollar (period average)	11.0	39.8	13.9	-1.3	...	...	...	...
Pakistani rupees per U.S. dollar (end of period)	30.0	39.6	-2.7	1.9	...	...	...	...
Saving and investment								
					(Percent of GDP)			
Gross saving	10.9	13.0	12.6	14.8	14.2	14.9	14.7	15.3
Government	-5.4	-5.5	-4.9	-2.8	-1.6	-0.9	-1.4	-1.0
Nongovernment (including public sector enterprises)	16.3	18.5	17.5	17.5	15.8	15.8	16.1	16.3
Gross capital formation 2/	15.6	14.0	13.2	14.3	14.8	15.3	15.1	16.1
Government	2.4	2.3	1.9	2.6	2.4	2.3	2.4	2.4
Nongovernment (including public sector enterprises)	13.1	11.7	11.3	11.7	12.4	13.0	12.7	13.7
Public finances								
Revenue and grants	12.1	11.5	12.6	15.8	16.3	15.8	15.7	15.3
Expenditure (including statistical discrepancy)	20.0	19.3	19.4	21.2	20.2	19.0	19.5	18.4
Budget balance (including grants)	-7.8	-7.8	-6.8	-5.4	-4.0	-3.2	-3.8	-3.4
Budget balance (excluding grants)	-7.9	-7.8	-6.8	-5.4	-4.0	-3.2	-3.9	-3.5
Primary balance (excluding grants)	-3.1	-1.0	0.9	2.4	2.5	2.5	2.0	2.0
Underlying primary balance (excluding grants) 3/	-2.3	-0.7	0.9	1.3	1.6	1.6	2.0	2.0
Total general government debt excl. IMF obligations	75.2	76.1	68.0	70.5	69.6	67.5	67.0	64.5
External general government debt	27.4	28.7	22.7	22.5	22.5	21.6	21.6	20.9
Domestic general government debt	47.8	47.4	45.3	48.0	47.1	45.9	45.5	43.6
General government debt incl. IMF obligations	77.3	78.5	70.2	72.8	72.4	70.1	69.9	67.2
External general government debt	29.5	31.1	24.9	24.8	25.3	24.2	24.4	23.7
Domestic general government debt	47.8	47.4	45.3	48.0	47.1	45.9	45.5	43.6
General government and government guaranteed debt (incl. IMF; % GDP)	82.3	83.5	74.2	76.6	76.0	73.8	73.3	70.7
Monetary sector								
					(Annual changes in percent of initial stock of broad money, unless otherwise indicated)			
Net foreign assets	-6.0	-6.0	2.1	5.3	1.7	1.8	2.7	1.3
Net domestic assets	19.2	21.6	13.8	8.4	12.9	12.9	11.9	13.3
Credit to the private sector	6.3	0.2	1.6	3.0	3.7	3.8	4.0	4.0
Net claims on the government	14.2	13.9	23.8	11.2	5.3	3.9	6.9	6.9
Broad money (percent change)	13.1	15.6	16.0	13.7	14.6	14.7	14.6	14.6
Reserve money (percent change)	7.6	22.5	2.3	11.7	11.5	11.5	12.0	12.1
Private credit (percent change)	21.6	0.6	6.0	12.0	15.0	15.4	16.0	16.0
Six-month treasury bill rate (period average, in percent)	11.0	18.3	21.5	13.4	...	...	...	...
External sector								
					(Annual percentage change, unless otherwise indicated)			
Merchandise exports, U.S. dollars	26.7	-14.2	11.1	4.4	1.5	-1.3	11.2	11.6
Merchandise imports, U.S. dollars	31.8	-26.3	0.9	11.2	8.5	11.1	4.3	7.4
Current account balance (in percent of GDP)	-4.7	-1.0	-0.6	0.5	-0.6	-0.4	-0.4	-0.9
Financial account (billions of U.S. dollars)	10.2	-1.6	6.2	2.6	3.5	2.7	5.8	5.8
					(Percent of exports of goods and services, unless otherwise indicated)			
External public and publicly guaranteed debt	245.4	259.0	245.4	246.0	248.2	250.7	233.7	237.2
Debt service	37.5	57.9	42.2	37.9	40.3	39.3	37.4	38.2
Gross reserves (in millions of U.S. dollars) 4/	9,821	4,455	9,390	14,506	17,845	17,779	23,302	21,137
In months of next year's imports of goods and services	1.9	0.8	1.6	2.2	2.7	2.5	3.2	2.8
Memorandum items:								
Underlying fiscal balance (excl. grants; % GDP) 3/	-7.1	-7.6	-6.8	-6.5	-4.9	-4.1	0.0	0.0
Net general government debt (incl. IMF; % GDP)	70.0	72.4	64.4	66.5	66.6	64.4	64.8	62.2
Real effective exchange rate (annual average, percentage change)	-1.1	-5.7	6.5	3.6	...	...	...	...
Real effective exchange rate (end of period percentage change)	-5.7	-8.0	15.4	-3.2	...	...	...	...
Terms of trade (percentage change)	-1.2	-1.4	-4.2	-12.5	2.7	1.0	1.5	1.1
Real per capita GDP (percentage change)	4.1	-2.1	0.7	1.1	1.3	1.6	2.1	1.5
GDP at market prices (in billions of Pakistani rupees)	66,658	83,651	105,379	113,935	126,011	127,326	140,664	143,575
Per capita GDP (in U.S. dollars)	1,635.3	1,440.1	1,562.6	1,679.5	...	...	...	...
Population (millions)	227.0	231.5	236.0	240.5	245.1	245.1	249.8	249.8
GDP at market prices (in billions of U.S. dollars)	374.9	336.6	372.2	407.8	...	...	...	...

Sources: Pakistani authorities; World Bank; and IMF staff estimates and projections.

1/ Fiscal year ends June 30.

2/ Including changes in inventories.

3/ Excludes one-off transactions, including asset sales. In FY22 it excludes IPPs related arrears clearance. In FY25 and FY26 it excludes the windfall from exceptionally high SBP

4/ Excluding gold and foreign currency deposits of commercial banks held with the State Bank of Pakistan.

Table 2. Pakistan: Medium-Term Macroeconomic Framework, 2021/22–2030/31 1/

	2021/22	2022/23	2023/24	2024/25	2025/26		2026/27		2027/28	2028/29	2029/30	2030/31
					Prog.	Proj.	Prog.	Proj.			Proj.	
(Annual percentage change, unless otherwise indicated)												
Output and prices												
Real GDP at factor cost	6.2	-0.2	2.6	3.1	3.2	3.6	4.1	3.5	4.3	4.5	4.5	4.5
Net exports (percent contribution to real GDP at factor cost)	-2.0	0.3	-1.5	-0.5	-1.9	-2.7	-0.2	-0.7	-0.8	-0.8	-0.8	-0.8
GDP deflator at factor cost	14.1	26.0	22.2	4.1	6.3	7.2	7.0	8.4	6.6	6.5	6.5	6.5
Consumer prices (period average)	12.2	29.2	23.4	4.5	6.3	7.2	7.0	8.4	6.6	6.5	6.5	6.5
(Percent of GDP)												
Saving and investment balance	-4.7	-1.0	-0.6	0.5	-0.6	-0.4	-0.4	-0.9	-0.8	-0.9	-0.9	-1.0
Government	-7.8	-7.8	-6.8	-5.4	-4.0	-3.2	-3.8	-3.4	-3.1	-2.8	-3.7	-4.6
Nongovernment (including public sector enterprises)	3.2	6.8	6.2	5.8	3.4	2.8	3.4	2.6	2.3	2.0	2.7	3.7
Gross national saving	10.9	13.0	12.6	14.8	14.2	14.9	14.7	15.3	15.3	15.6	15.6	15.6
Government	-5.4	-5.5	-4.9	-2.8	-1.6	-0.9	-1.4	-1.0	-0.7	-0.4	-0.2	-0.1
Nongovernment (including public sector enterprises)	16.3	18.5	17.5	17.5	15.8	15.8	16.1	16.3	16.0	16.0	15.8	15.8
Gross capital formation	15.6	14.0	13.2	14.3	14.8	15.3	15.1	16.1	16.1	16.5	16.6	16.6
Government	2.4	2.3	1.9	2.6	2.4	2.3	2.4	2.4	2.4	2.4	3.5	4.5
Nongovernment (including public sector enterprises)	13.1	11.7	11.3	11.7	12.4	13.0	12.7	13.7	13.7	14.0	13.1	12.1
(Billions of U.S. dollars, unless otherwise indicated)												
Balance of payments												
Current account balance	-17.5	-3.3	-2.1	1.9	-2.4	-2.0	-1.9	-4.0	-3.9	-4.5	-5.3	-5.8
Current account balance (in percent of GDP)	-4.7	-1.0	-0.6	0.5	-0.6	-0.4	-0.4	-0.9	-0.8	-0.9	-0.9	-1.0
Net capital flows 2/	10.1	-2.1	5.7	2.7	3.8	3.2	5.9	5.9	6.4	9.0	9.5	9.8
Of which: foreign direct investment 3/	1.7	0.7	2.1	2.5	2.1	1.8	2.1	2.1	2.2	2.5	2.7	2.9
Gross reserves	9.8	4.5	9.4	14.5	17.8	17.8	23.3	21.1	22.9	25.7	28.9	31.7
In months of imports 4/	1.9	0.8	1.6	2.2	2.7	2.5	3.2	2.8	2.9	3.1	3.2	3.1
External debt (in percent of GDP)	32.2	35.0	32.3	30.2	29.5	28.1	29.4	28.3	27.4	26.4	25.4	24.3
Terms of trade (annual percentage change)	-1.2	-1.4	-4.2	-12.5	2.7	1.0	1.5	1.1	3.2	0.1	-0.2	-0.2
Real effective exchange rate (annual average, percentage change)	-1.1	-5.7	6.5	3.6	...	...	...	...	...	...	...	...
Real effective exchange rate (end of period, percentage change)	-5.7	-8.0	15.4	-3.2	...	...	...	...	...	...	...	...
(Percent of GDP)												
Public finances												
Revenue and grants	12.1	11.5	12.6	15.8	16.3	15.8	15.7	15.3	15.3	15.3	15.3	15.3
Of which: tax revenue	10.4	10.1	10.6	12.3	13.3	12.9	13.7	13.3	13.3	13.3	13.3	13.3
Expenditure (including statistical discrepancy)	20.0	19.3	19.4	21.2	20.2	19.0	19.5	18.4	18.2	17.9	19.0	20.0
Of which: current	17.3	17.3	17.7	18.9	17.8	16.8	17.1	16.2	15.8	15.6	15.4	15.3
Of which: development	2.4	2.3	1.9	2.6	2.4	2.3	2.4	2.4	2.6	2.6	3.6	4.6
Primary balance (including grants)	-3.0	-0.9	1.0	2.4	2.6	2.5	2.0	2.0	2.0	2.0	1.0	0.0
Primary balance (excluding grants)	-3.1	-1.0	0.9	2.4	2.5	2.5	2.0	2.0	2.0	2.0	1.0	0.0
Underlying primary balance (excluding grants) 5/	-2.3	-0.7	0.9	1.3	1.6	1.6	2.0	2.0	2.0	2.0	1.0	0.0
Budget balance (including grants)	-7.8	-7.8	-6.8	-5.4	-4.0	-3.2	-3.8	-3.4	-3.2	-2.9	-3.7	-4.7
Budget balance (excluding grants)	-7.9	-7.8	-6.8	-5.4	-4.0	-3.2	-3.9	-3.5	-3.2	-2.9	-3.8	-4.7
Underlying fiscal balance (excl. grants) 5/	-7.1	-7.6	-6.8	-6.5	-4.9	-4.1	-3.9	-3.5	-3.2	-2.9	-3.8	-4.7
General government and government guaranteed debt (incl. IMF)	82.3	83.5	74.2	76.6	76.0	73.8	73.3	70.7	67.8	64.5	62.6	61.7
General government debt (incl. IMF)	77.3	78.5	70.2	72.8	72.4	70.1	69.9	67.2	64.5	61.4	59.6	58.9
Net general government debt (incl. IMF)	70.0	72.4	64.4	66.5	66.6	64.4	64.8	62.2	60.0	57.3	56.0	55.6
Memorandum item:												
Nominal GDP (market prices, billions of Pakistani rupees)	66,658	83,651	105,379	113,935	126,011	127,326	140,664	143,575	159,263	177,197	197,051	219,263

Sources: Pakistani authorities; and IMF staff estimates and projections.

1/ Fiscal year ends June 30.

2/ Difference between the overall balance and the current account balance.

3/ Including privatization.

4/ In months of next year's imports of goods and services.

5/ Excludes one-off transactions, including asset sales. In FY22 it excludes IPPs related arrears clearance. In FY25 and FY26 it excludes the windfall from exceptionally high SBP dividends.

Table 3a. Pakistan: Balance of Payments, 2021/22–2030/31
(In millions of U.S. dollars, unless otherwise indicated)

	2021/22	2022/23	2023/24	2024/25	2025/26		2026/27		2027/28	2028/29	2029/30	2030/31
					Prog.	Proj.	Prog.	Proj.				
Current account	-17,481	-3,275	-2,072	1,932	-2,365	-1,965	-1,921	-4,010	-3,874	-4,485	-5,311	-5,786
Balance on goods	-39,050	-24,819	-22,177	-26,771	-31,337	-33,744	-30,403	-34,912	-34,895	-35,972	-37,521	-39,116
Exports, f.o.b.	32,493	27,876	30,980	32,340	32,776	31,932	36,459	35,627	39,242	42,638	45,887	49,499
Imports, f.o.b.	71,543	52,695	53,157	59,111	64,113	65,676	66,862	70,540	74,137	78,610	83,408	88,616
Services (net)	-5,840	-1,042	-3,110	-2,645	-3,866	-3,699	-4,407	-4,279	-4,776	-5,264	-5,785	-6,358
Services: credit	7,102	7,596	7,691	8,408	8,743	9,240	9,314	9,602	10,103	10,737	11,429	12,165
Of which: Coalition Support Fund	0	0	0	0	0	0	0	0	0	0	0	0
Services: debit	12,942	8,638	10,801	11,053	12,608	12,938	13,721	13,881	14,879	16,002	17,214	18,523
Income (net)	-5,248	-5,765	-8,986	-9,100	-8,602	-8,712	-8,862	-8,978	-9,261	-9,471	-9,773	-10,042
Income: credit	652	652	909	999	832	1,012	799	938	886	840	829	830
Income: debit	5,900	6,417	9,895	10,099	9,434	9,724	9,661	9,916	10,147	10,311	10,602	10,872
Of which: interest payments	3,375	4,933	5,828	5,508	5,428	5,485	5,320	5,534	5,745	5,748	5,820	5,846
Of which: income on direct investment	2,717	1,708	3,724	4,312	4,006	3,625	4,341	4,381	4,402	4,563	4,782	5,026
Balance on goods, services, and income	-50,138	-31,626	-34,273	-38,516	-43,805	-46,155	-43,672	-48,169	-48,932	-50,708	-53,079	-55,516
Current transfers (net)	32,657	28,351	32,201	40,448	41,440	44,190	41,751	44,159	45,058	46,223	47,768	49,730
Current transfers: credit, of which:	32,949	28,665	32,668	41,039	41,836	44,666	42,147	44,555	45,454	46,618	48,164	50,126
Official	376	380	449	569	549	531	549	523	523	523	523	523
Workers' remittances	31,279	27,333	30,251	38,300	39,010	41,547	39,196	41,324	42,404	42,886	44,026	45,471
Other private transfers	1,294	952	1,968	2,170	2,277	2,589	2,402	2,708	2,891	3,209	3,615	4,132
Current transfers: debit	292	314	467	591	396	477	396	396	396	396	396	396
Capital account	205	375	202	200	269	173	137	137	118	112	95	98
Capital transfers: credit	205	375	202	200	269	173	137	137	118	112	95	98
Of which: official capital grants	190	144	172	192	269	150	137	137	118	112	95	98
Capital transfers: debit	0	0	0	0	0	0	0	0	0	0	0	0
Financial account	10,207	-1,643	6,152	2,560	3,490	2,721	5,777	5,765	6,288	8,918	9,449	9,735
Direct investment abroad	-234	-957	-220	-15	-216	-313	-216	-295	-295	-295	-295	-295
Direct investment in Pakistan	1,936	1,627	2,346	2,490	2,275	2,088	2,336	2,352	2,539	2,754	2,972	3,191
Portfolio investment (net)	-55	-1,012	-376	-638	-1,038	-1,036	1,512	1,312	1,937	3,262	3,812	4,012
Financial derivatives (net)	0	0	0	0	0	0	0	0	0	0	0	0
Other investment assets	-2,613	964	381	-93	-240	-285	-80	-80	320	320	320	320
Monetary authorities	0	0	0	0	0	0	0	0	0	0	0	0
General government	-914	883	-10	-42	0	-1	0	0	0	0	0	0
Banks	-382	-283	28	417	0	69	80	80	320	320	320	320
Other sectors	-1,317	364	363	-468	-240	-353	-160	-160	0	0	0	0
Other investment liabilities	11,173	-2,265	4,021	816	2,709	2,267	2,225	2,476	1,787	2,877	2,641	2,507
Monetary authorities	-1	0	999	0	0	-448	0	0	0	0	0	0
General government, of which:	5,064	-3,251	2,357	3,226	2,440	2,296	1,606	1,577	768	844	88	-50
Disbursements	10,203	8,725	6,044	9,518	9,049	8,847	9,995	10,162	11,030	9,496	8,857	10,339
Amortization	8,343	11,660	5,935	6,737	6,610	6,671	8,389	8,585	10,262	8,652	8,769	10,389
Banks	846	1,241	715	-1,508	350	560	450	450	500	500	500	500
Other sectors	2,491	-255	-50	-902	-81	-141	169	449	519	1,533	2,053	2,057
Other prospective program financing	0	0	0	0	0	0	0	0	0	0	0	0
Net errors and omissions	-303	-850	-631	-13	0	328	0	0	0	0	0	0
Overall balance	-7,371	-5,384	3,654	4,650	1,394	1,250	3,993	1,892	2,532	4,545	4,233	4,046
Financing	7,371	5,384	-3,654	-4,650	-1,394	-1,250	-3,993	-1,892	-2,532	-4,545	-4,233	-4,046
Change in reserve assets (- denotes accumulation)	7,333	5,185	-5,016	-5,177	-3,317	-3,171	-5,457	-3,359	-1,754	-2,759	-3,215	-2,797
Net use of Fund credit and loans	38	199	1,362	527	1,923	1,921	1,464	1,467	-778	-1,786	-1,018	-1,249
o/w RSF	0	0	0	0	422	421	528	530	424	0	0	0
Memorandum items:												
Current account (in percent of GDP)	-4.7	-1.0	-0.6	0.5	-0.6	-0.4	-0.4	-0.9	-0.8	-0.9	-0.9	-1.0
Current account (in percent of GDP; excluding fuel imports)	0.3	4.6	3.5	4.2	2.5	3.0	2.5	2.6	2.6	2.3	2.1	2.0
Exports f.o.b. (growth rate, in percent)	26.7	-14.2	11.1	4.4	1.5	-1.3	11.2	11.6	10.1	8.7	7.6	7.9
Exports volume (growth rate, in percent)	4.5	-11.8	17.5	19.1	2.4	0.6	8.9	7.3	8.1	8.5	7.4	7.6
Exports (in percent of GDP)	10.6	10.5	10.4	10.0	9.8	9.2	10.3	9.7	10.1	10.2	10.2	10.3
Remittance (growth rate, in percent)	6.2	-12.6	10.7	26.6	1.9	8.5	0.5	-0.5	1.7	2.0	2.7	3.3
Remittances (in percent of GDP)	8.3	8.1	8.1	9.4	9.2	9.3	8.8	8.9	8.6	8.2	7.9	7.6
Imports f.o.b. (growth rate, in percent)	31.8	-26.3	0.9	11.2	8.5	11.1	4.3	7.4	5.1	6.0	6.1	6.2
Imports volume (growth rate, in percent)	10.8	-27.4	5.4	12.3	10.5	12.3	3.8	5.1	5.8	6.0	5.7	5.7
Imports (in percent of GDP)	22.5	18.2	17.2	17.2	18.0	17.6	18.1	18.2	18.1	18.0	18.0	17.8
Oil imports (in million US\$, cif)	18,743	18,882	15,162	15,004	13,004	15,283	13,096	16,308	16,439	16,772	17,270	17,796
Terms of trade (growth rate, in percent)	-1.2	-1.4	-4.2	-12.5	2.7	1.0	1.5	1.1	3.2	0.1	-0.2	-0.2
Foreign Direct Investment (in percent of GDP)	0.5	0.5	0.6	0.6	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
External debt (in millions of U.S. dollars)	120,534	117,766	120,253	123,295	125,612	125,960	130,704	131,137	134,382	138,307	142,351	145,820
o/w external public debt	96,073	90,974	94,395	99,716	102,528	102,713	106,476	106,775	106,782	107,186	108,712	110,436
Gross external financing needs (in millions of U.S. dollars) 1/	33,736	23,859	21,738	13,836	19,398	18,814	19,123	21,197	29,884	23,591	22,098	25,978
End-period gross official reserves (millions of U.S. dollars) 2/	9,821	4,455	9,390	14,506	17,845	17,779	23,302	21,137	22,892	25,651	28,867	31,664
(In months of next year's imports of goods and services)	1.9	0.8	1.6	2.2	2.7	2.5	3.2	2.8	2.9	3.1	3.2	3.1
(In percent of ARA metric, floating exchange rate)	36.0	17.9	35.9	53.3	64.9	63.3	78.9	70.4	74.4	80.9	85.6	94.7
(In percent of ARA metric, fixed exchange rate)	25.9	60.7	25.4	37.4	45.5	44.3	55.6	49.6	51.8	55.6	59.0	63.1
End-period net international reserves (millions of U.S. dollars)	-10,784	-16,178	-12,361	-8,045	-6,691	-6,781	-2,719	-4,907	-2,392	2,141	6,356	N.A.
Gross official reserves - without RSF (millions of U.S. dollars) 2/				14,506	17,424	17,357	22,352	20,187	21,517	24,276	27,491	30,288
GDP (in millions of U.S. dollars)	374,850	336,555	372,243	407,786	---	---	---	---	---	---	---	---

Sources: Pakistani authorities; and IMF staff estimates and projections.

1/ Defined as current account deficit, plus amortization on medium- and long-term debt, plus short-term debt at end of previous period.

2/ Excluding foreign currency deposits held with the State Bank of Pakistan (cash reserve requirements) and gold.

Table 3b. Pakistan: External Gross Financing Requirements and Sources, 2023/24–2030/31
(In millions of U.S. dollars, unless otherwise indicated)

	2023/24	2024/25	2025/26		2026/27		2027/28	2028/29	2029/30	2030/31
			Prog.	Proj.	Prog.	Proj.			Proj.	
Gross External Financing Requirements (A)	21,738	13,836	19,398	18,814	19,123	21,197	29,884	23,591	22,098	25,978
(In percent of GDP)	5.8	3.4	4.6	4.2	4.3	4.6	6.1	4.5	3.9	4.3
Current account deficit	2,072	-1,932	2,365	1,965	1,921	4,010	3,874	4,485	5,311	5,786
(In percent of GDP)	0.6	-0.5	0.6	0.4	0.4	0.9	0.8	0.9	0.9	1.0
Amortization	18,023	14,244	16,451	16,267	16,049	16,031	23,760	17,320	15,769	18,942
Public Sector	13,506	9,737	11,410	11,921	11,389	11,585	19,333	13,402	11,769	14,789
Short-term Borrowing	162	250	1,551	945	3,100	3,052	3,605	2,405	2,405	2,405
Long-term Borrowing (non-IMF)	12,344	9,487	8,058	9,176	8,289	8,533	14,228	9,247	9,364	10,984
Bonds	1,000	0	1,800	1,800	0	0	1,500	1,750	0	1,400
Private Sector 1/	4,517	4,507	5,041	4,346	4,659	4,446	4,427	3,918	4,000	4,153
Short-term Borrowing	2,612	2,816	2,720	2,716	2,388	2,455	2,306	2,531	2,613	2,766
Long-term Borrowing	1,905	1,691	2,321	1,629	2,271	1,991	2,121	1,387	1,387	1,387
IMF Repurchases	1,643	1,524	582	582	1,154	1,156	2,250	1,786	1,018	1,249
Available Financing (B)	23,668	16,901	20,221	19,584	21,962	21,933	30,166	26,350	25,313	28,775
Foreign Direct Investment (net) 2/	2,126	2,475	2,059	1,776	2,120	2,057	2,244	2,459	2,677	2,896
Disbursement	21,971	14,239	17,893	17,307	19,705	19,739	27,804	23,779	22,542	25,781
From private creditors	7,118	5,610	8,643	8,091	10,435	10,288	14,510	16,083	15,885	19,129
Disbursement to Private Sector 3/	5,936	872	5,593	4,221	5,710	5,577	7,703	8,283	8,685	9,042
Disbursement to Public Sector 4/	1,182	4,738	3,050	3,870	4,725	4,711	6,807	7,800	7,200	10,087
From official creditors (non-IMF)	14,853	8,629	9,249	9,216	9,270	9,451	13,294	7,696	6,657	6,652
o/w Project Loans	2,373	2,866	3,749	3,665	3,970	3,946	3,918	3,541	2,502	2,502
o/w China	82	97	24	84	49	21	47	47	47	47
o/w Program Loans	1,264	1,226	500	669	500	500	1,000	350	350	350
o/w Short-term debt (incl. rollovers)	3,023	4,373	6,070	5,868	6,055	6,321	4,860	4,711	4,936	5,013
o/w Public Sector	995	1,552	3,100	3,052	3,400	3,605	2,405	2,405	2,405	2,400
o/w Private Sector	2,028	2,821	2,970	2,816	2,655	2,716	2,455	2,306	2,531	2,613
Other Net Capital Inflows (net) 5/	-429	187	269	501	137	137	118	112	95	98
IMF SDR allocation	0	0	0	0	0	0	0	0	0	0
Underlying BOP Gap (C=A-B)	-1,930	-3,065	-823	-770	-2,839	-736	-282	-2,759	-3,215	-2,797
Borrowing from IMF (EFF) (D)	3,005	2,051	2,083	2,081	2,089	2,093	1,048	0	0	0
Other prospective financing (E)		0	0	0	0	0	0	0	0	0
Reserves without RSF (decrease = +) (E=C-D-E)	-4,935	-5,116	-2,906	-2,851	-4,928	-2,829	-1,330	-2,759	-3,215	-2,797
RSF Financing (F)		0	422	421	528	530	424	0	0	0
Reserves with RSF (decrease = +) (G = E + F)	-5,116	-3,328	-3,273	-3,273	-5,457	-3,359	-1,754	-2,759	-3,215	-2,797
Memorandum items:										
Gross official reserves (stock, in US\$ billions)	9.4	14.5	17.8	17.8	23.3	21.1	22.9	25.7	28.9	31.7
(In months of prospective imports)	1.6	2.2	2.7	2.5	3.2	2.8	2.9	3.1	3.2	3.1
(In percent of IMF ARA metric, floating ER)	35.9	53.3	64.9	63.3	78.9	70.4	74.4	80.9	85.6	94.7
(In percent of IMF ARA metric, fixed ER)	25.4	37.4	45.5	44.3	55.6	49.6	51.8	55.6	59.0	63.1
Gross official reserves without RSF (stock, in US\$ billions)	9.4	14.5	17.4	17.4	22.4	20.2	21.5	24.3	27.5	30.3
Net FX derivative position (in US\$ billions)	-3.4	-2.5	-2.5	-1.5	-2.5	-1.5	-1.5	-1.5	-1.5	-1.5

Sources: State Bank of Pakistan, and Fund staff estimates and projections.

1/ Includes banks and non-bank private sector.

2/ Includes privatization receipts.

3/ Includes equity and debt portfolio inflows, and borrowing by banks and other sectors.

4/ Includes syndicated loans and Euro bonds.

5/ Includes capital account, financial derivatives, errors and omissions.

Table 4a. Pakistan: General Government Budget, 2021/22–2030/31
(In billions of Pakistani rupees)

	2021/22	2022/23	2023/24	2024/25	2025/26		2026/27		2027/28	2028/29	2029/30	2030/31
					Prog.	Proj.	Prog.	Proj.			Proj.	
Revenue and grants	8,076	9,648	13,321	18,046	20,499	20,130	22,080	21,910	24,348	27,088	30,132	33,504
Revenue	8,035	9,614	13,269	17,997	20,410	20,076	22,027	21,859	24,300	27,040	30,076	33,453
Tax revenue	6,943	8,428	11,159	14,015	16,730	16,374	19,222	19,091	21,230	23,624	26,277	29,226
Federal	6,331	7,787	10,385	13,037	15,540	15,110	17,454	17,144	19,070	21,221	23,605	26,253
FBR revenue	6,142	7,169	9,311	11,744	13,979	13,428	15,712	15,264	16,985	18,901	21,025	23,382
Direct taxes	2,280	3,235	4,531	5,792	6,967	6,825	7,777	7,413	8,223	9,149	10,175	11,322
Federal excise duty	321	365	577	767	880	894	983	1,043	1,156	1,287	1,431	1,592
Sales tax/VAT	2,532	2,608	3,099	3,901	4,580	4,286	5,168	4,727	5,274	5,870	6,531	7,260
Customs duties	1,009	962	1,104	1,285	1,552	1,423	1,785	1,651	1,854	2,064	2,299	2,552
FY27 Budget Measures	...	...	...	...	...	...	...	430	477	531	590	657
Petroleum surcharge	128	580	1,019	1,220	1,468	1,546	1,638	1,727	1,915	2,131	2,370	2,637
Gas surcharge and other	42	27	52	69	90	134	101	151	168	186	207	231
GIDC	19	11	3	1	2	2	3	2	3	3	3	3
Provincial	612	640	774	979	1,190	1,264	1,768	1,947	2,160	2,403	2,672	2,973
of which: Additional provincial revenue mobilization	...	...	...	...	...	...	440	430	0	0	0	0
Nontax revenue	1,092	1,186	2,110	3,982	3,681	3,702	2,805	2,768	3,070	3,416	3,799	4,227
Federal	964	1,022	1,887	3,668	3,421	3,315	2,515	2,328	2,582	2,873	3,195	3,555
Provincial	128	164	223	314	260	387	290	440	488	543	604	672
Grants	41	35	52	49	89	53	53	51	48	48	55	51
Expenditure (including statistical discrepancy)	13,301	16,137	20,476	24,166	25,480	24,206	27,467	26,423	28,980	31,719	37,520	43,814
Current expenditure	11,535	14,474	18,653	21,529	22,412	21,339	24,002	23,229	25,237	27,554	30,298	33,559
Federal	8,369	10,676	14,052	15,696	15,830	14,757	16,796	15,921	17,130	18,535	20,268	22,398
Interest	3,197	5,722	8,160	8,887	8,225	7,289	8,251	7,824	8,273	8,681	9,365	10,322
Domestic	2,829	4,936	7,164	7,997	7,131	6,220	7,094	6,652	6,979	7,304	7,887	8,739
Foreign	354	714	882	815	1,036	1,014	1,089	1,107	1,222	1,312	1,423	1,532
IMF budget support	14	72	114	75	58	54	68	64	73	64	55	50
Other	5,172	4,954	5,892	6,808	7,605	7,468	8,545	8,097	8,857	9,854	10,903	12,077
Defense	1,412	1,586	1,859	2,194	2,575	2,564	2,874	2,665	2,956	3,289	3,658	4,070
Other	3,760	3,369	4,033	4,614	5,030	4,904	5,671	5,432	5,901	6,565	7,245	8,007
Of which : subsidies	1,530	1,080	1,149	1,298	1,043	1,035	1,007	947	876	974	1,083	1,205
Of which : grants	1,142	988	1,292	1,514	1,898	1,833	1,962	1,891	2,098	2,334	2,595	2,888
Of which : contingency reserve	0	0	0	0	63	0	440	354	443	493	493	493
Provincial	3,167	3,798	4,601	5,833	6,582	6,582	7,206	7,308	8,107	9,019	10,030	11,161
Development expenditure and net lending	1,650	1,953	1,996	2,966	3,068	2,867	3,465	3,624	4,220	4,695	7,221	10,255
Public Sector Development Program	1,610	1,893	2,027	2,983	2,972	2,972	3,358	3,510	4,094	4,554	7,065	10,081
Federal	397	652	635	786	873	873	885	986	1,194	1,328	2,477	3,866
Provincial	1,212	1,241	1,392	2,198	2,099	2,099	2,473	2,524	2,900	3,226	4,588	6,215
Net lending	40	60	-30	-18	96	-105	107	114	126	141	156	174
Statistical discrepancy ("+" = additional expenditure)	116	-290	-173	-329	0	0	0	0	0	0	0	0
Overall Balance (excluding grants)	-5,266	-6,523	-7,207	-6,168	-5,069	-4,129	-5,439	-4,994	-5,156	-5,209	-7,443	-10,361
Overall Balance (including grants)	-5,225	-6,488	-7,155	-6,119	-4,981	-4,076	-5,387	-4,943	-5,109	-5,161	-7,388	-10,310
Financing	5,225	6,488	7,155	6,119	4,981	4,076	5,387	4,943	5,109	5,161	7,388	10,310
External	677	-1,133	-321	985	294	388	804	777	161	471	530	544
Of which: privatization receipts	0	0	0	0	0	0	0	0	0	0	0	0
Of which: IMF	187	191	-197	-253	31	29	-21	-20	-89	-236	-204	-168
Domestic	4,548	7,621	7,476	5,134	4,686	3,687	4,582	4,166	4,948	4,690	6,858	9,766
Bank	3,184	5,335	5,233	3,594	3,271	2,572	3,214	2,922	3,490	3,354	4,861	6,887
Nonbank	1,364	2,286	2,243	1,540	1,415	1,115	1,369	1,244	1,458	1,336	1,996	2,880
Memorandum items:												
Underlying fiscal balance (excl. grants) 1/	-4,737	-6,343	-7,207	-7,426	-6,174	-5,234	-5,439	-4,994	-5,156	-5,209	-7,443	-10,361
Primary balance (excluding grants)	-2,070	-801	953	2,719	3,156	3,159	2,812	2,830	3,117	3,471	1,922	-39
Underlying primary balance (excluding grants) 1/	-1,541	-621	953	1,461	2,051	2,054	2,812	2,830	3,117	3,471	1,922	-39
Primary balance (including grants)	-2,028	-766	1,005	2,768	3,244	3,213	2,864	2,881	3,165	3,519	1,978	11
Primary expenditure	10,105	10,415	12,316	15,278	17,255	16,917	19,216	18,599	20,706	23,038	28,154	33,492
Total security spending	1,412	1,586	1,859	2,194	2,575	2,564	2,874	2,665	2,956	3,289	3,658	4,070
General government debt incl. IMF obligations	51,538	65,673	73,998	82,983	91,223	89,269	98,352	96,537	102,778	108,807	117,508	129,090
Domestic debt	31,858	39,655	47,724	54,687	59,404	58,404	63,966	62,550	67,409	71,863	78,516	88,115
External debt	19,680	26,018	26,274	28,296	31,819	30,865	34,386	33,987	35,370	36,945	38,992	40,975
General government and government guaranteed debt (incl. IMF)	54,883	69,828	78,200	87,248	95,769	93,917	103,111	101,563	108,044	114,349	123,358	135,277
Net general government debt (incl. IMF)	46,658	60,571	67,856	75,732	83,976	82,017	91,105	89,285	95,527	101,556	110,257	121,838
Nominal GDP (market prices)	66,658	83,651	105,379	113,935	126,011	127,326	140,664	143,575	159,263	177,197	197,051	219,263

Sources: Pakistani authorities; and IMF staff estimates and projections.

1/ Excludes one-off transactions, including asset sales. In FY22 it excludes IPPs related arrears clearance. In FY25 and FY26 it excludes the windfall from exceptionally high SBP dividends.

Table 4b. Pakistan: General Government Budget, 2021/22–2030/31
(In percent of GDP, unless otherwise indicated)

	2021/22	2022/23	2023/24	2024/25	2025/26		2026/27		2027/28	2028/29	2029/30	2030/31
					Prog.	Proj.	Prog.	Proj.				
Revenue and grants	12.1	11.5	12.6	15.8	16.3	15.8	15.7	15.3	15.3	15.3	15.3	15.3
Revenue	12.1	11.5	12.6	15.8	16.2	15.8	15.7	15.2	15.3	15.3	15.3	15.3
Tax revenue	10.4	10.1	10.6	12.3	13.3	12.9	13.7	13.3	13.3	13.3	13.3	13.3
Federal	9.5	9.3	9.9	11.4	12.3	11.9	12.4	11.9	12.0	12.0	12.0	12.0
FBR revenue	9.2	8.6	8.8	10.3	11.1	10.5	11.2	10.6	10.7	10.7	10.7	10.7
Direct taxes	3.4	3.9	4.3	5.1	5.5	5.4	5.5	5.2	5.2	5.2	5.2	5.2
Federal excise duty	0.5	0.4	0.5	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7
Sales tax	3.8	3.1	2.9	3.4	3.6	3.4	3.7	3.3	3.3	3.3	3.3	3.3
Customs duties	1.5	1.2	1.0	1.1	1.2	1.1	1.3	1.1	1.2	1.2	1.2	1.2
FY27 Budget Measures	...	...	...	...	...	...	...	0.3	0.3	0.3	0.3	0.3
Petroleum surcharge	0.2	0.7	1.0	1.1	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Gas surcharge and other	0.1	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
GIDC	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Provincial	0.9	0.8	0.7	0.9	0.9	1.0	1.3	1.4	1.4	1.4	1.4	1.4
of which: Additional Provincial Revenue Mobilization	...	...	...	...	...	...	0.3	0.3	0.0	0.0	0.0	0.0
Nontax revenue	1.6	1.4	2.0	3.5	2.9	2.9	2.0	1.9	1.9	1.9	1.9	1.9
Federal	1.4	1.2	1.8	3.2	2.7	2.6	1.8	1.6	1.6	1.6	1.6	1.6
Provincial	0.2	0.2	0.2	0.3	0.2	0.3	0.2	0.3	0.3	0.3	0.3	0.3
Grants	0.1	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Expenditure (including statistical discrepancy)	20.0	19.3	19.4	21.2	20.2	19.0	19.5	18.4	18.2	17.9	19.0	20.0
Current expenditure	17.3	17.3	17.7	18.9	17.8	16.8	17.1	16.2	15.8	15.6	15.4	15.3
Federal	12.6	12.8	13.3	13.8	12.6	11.6	11.9	11.1	10.8	10.5	10.3	10.2
Interest	4.8	6.8	7.7	7.8	6.5	5.7	5.9	5.4	5.2	4.9	4.8	4.7
Domestic	4.2	5.9	6.8	7.0	5.7	4.9	5.0	4.6	4.4	4.1	4.0	4.0
Foreign	0.5	0.9	0.8	0.7	0.8	0.8	0.8	0.8	0.8	0.7	0.7	0.7
IMF budget support	0.0	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	7.8	5.9	5.6	6.0	6.0	5.9	6.1	5.6	5.6	5.6	5.5	5.5
Defense	2.1	1.9	1.8	1.9	2.0	2.0	2.0	1.9	1.9	1.9	1.9	1.9
Other	5.6	4.0	3.8	4.1	4.0	3.9	4.0	3.8	3.7	3.7	3.7	3.7
Of which: subsidies	2.3	1.3	1.1	1.1	0.8	0.8	0.7	0.7	0.5	0.5	0.5	0.5
Of which: grants	1.7	1.2	1.2	1.3	1.5	1.4	1.4	1.3	1.3	1.3	1.3	1.3
Of which: contingency reserve	0.0	0.0	0.0	0.0	0.0	0.0	0.3	0.2	0.3	0.3	0.2	0.2
Provincial	4.8	4.5	4.4	5.1	5.2	5.2	5.1	5.1	5.1	5.1	5.1	5.1
Development expenditure and net lending	2.5	2.3	1.9	2.6	2.4	2.3	2.5	2.5	2.6	2.6	3.7	4.7
Public Sector Development Program	2.4	2.3	1.9	2.6	2.4	2.3	2.4	2.4	2.6	2.6	3.6	4.6
Federal	0.6	0.8	0.6	0.7	0.7	0.7	0.6	0.7	0.7	0.7	1.3	1.8
Provincial	1.8	1.5	1.3	1.9	1.7	1.6	1.8	1.8	1.8	1.8	2.3	2.8
Net lending	0.1	0.1	0.0	0.0	0.1	-0.1	0.1	0.1	0.1	0.1	0.1	0.1
Statistical discrepancy ("+" = additional expenditure)	0.2	-0.3	-0.2	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall Balance (excluding grants)	-7.9	-7.8	-6.8	-5.4	-4.0	-3.2	-3.9	-3.5	-3.2	-2.9	-3.8	-4.7
Overall Balance (including grants)	-7.8	-7.8	-6.8	-5.4	-4.0	-3.2	-3.8	-3.4	-3.2	-2.9	-3.7	-4.7
Financing	7.8	7.8	6.8	5.4	4.0	3.2	3.8	3.4	3.2	2.9	3.7	4.7
External	1.0	-1.4	-0.3	0.9	0.2	0.3	0.6	0.5	0.1	0.3	0.3	0.2
Of which: privatization receipts	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Of which: IMF	0.3	0.2	-0.2	-0.2	0.0	0.0	0.0	0.0	-0.1	-0.1	-0.1	-0.1
Domestic	6.8	9.1	7.1	4.5	3.7	2.9	3.3	2.9	3.1	2.6	3.5	4.5
Bank	4.8	6.4	5.0	3.2	2.6	2.0	2.3	2.0	2.2	1.9	2.5	3.1
Nonbank	2.0	2.7	2.1	1.4	1.1	0.9	1.0	0.9	0.9	0.8	1.0	1.3
Memorandum items:												
Underlying fiscal balance (excl. grants) 1/	-7.1	-7.6	-6.8	-6.5	-4.9	-4.1	-3.9	-3.5	-3.2	-2.9	-3.8	-4.7
Primary balance (excluding grants)	-3.1	-1.0	0.9	2.4	2.5	2.5	2.0	2.0	2.0	2.0	1.0	0.0
Underlying primary balance (excluding grants) 1/	-2.3	-0.7	0.9	1.3	1.6	1.6	2.0	2.0	2.0	2.0	1.0	0.0
Primary balance (including grants)	-3.0	-0.9	1.0	2.4	2.6	2.5	2.0	2.0	2.0	2.0	1.0	0.0
Primary expenditure	15.2	12.5	11.7	13.4	13.7	13.3	13.7	13.0	13.0	13.0	14.3	15.3
Total security spending	2.1	1.9	1.8	1.9	2.0	2.0	2.0	1.9	1.9	1.9	1.9	1.9
General government debt incl. IMF obligations	77.3	78.5	70.2	72.8	72.4	70.1	69.9	67.2	64.5	61.4	59.6	58.9
Domestic debt	47.8	47.4	45.3	48.0	47.1	45.9	45.5	43.6	42.3	40.6	39.8	40.2
External debt	29.5	31.1	24.9	24.8	25.3	24.2	24.4	23.7	22.2	20.8	19.8	18.7
General government and government guaranteed debt (incl. IMF)	82.3	83.5	74.2	76.6	76.0	73.8	73.3	70.7	67.8	64.5	62.6	61.7
Net general government debt (incl. IMF)	70.0	72.4	64.4	66.5	66.6	64.4	64.8	62.2	60.0	57.3	56.0	55.6
Nominal GDP (market prices, billions of Pakistani rupees)	66,658	83,651	105,379	113,935	126,011	127,326	140,664	143,575	159,263	177,197	197,051	219,263

Sources: Pakistani authorities; and IMF staff estimates and projections.

1/ Excludes one-off transactions, including asset sales. In FY22 it excludes IPPs related arrears clearance. In FY25 and FY26 it excludes the windfall from exceptionally high SBP dividends.

Table 5. Pakistan: Monetary Survey, 2021/22–2026/27

	2021/22	2022/23	2023/24	2024/25	2025/26				2026/27			
					Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
					Act.	Act.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(Billions of Pakistani rupees, unless otherwise indicated)												
Monetary survey												
Net foreign assets (NFA)	-195	-1,797	-1,138	746	854	854	1,253	1,478	1,309	1,115	1,601	2,096
Net domestic assets (NDA)	26,963	32,740	37,020	40,041	39,317	41,448	42,980	45,286	44,888	47,110	48,869	51,495
Net claims on government, of which:	19,612	23,341	30,717	34,751	32,648	34,418	35,081	36,357	33,594	35,234	35,745	39,583
Budget support, of which:	18,320	21,853	29,076	33,642	31,448	33,317	34,081	35,557	32,894	34,634	35,245	39,183
Banks	13,293	16,922	24,811	30,103	29,224	31,260	32,274	34,500	31,837	34,077	34,688	39,126
Commodity operations	1,134	1,486	1,378	1,067	1,059	1,086	1,000	800	700	600	500	400
Credit to nongovernment	10,214	10,765	11,174	12,169	12,160	13,259	13,422	13,904	14,020	14,989	15,317	15,951
Private sector	8,420	8,473	8,983	10,065	10,073	11,058	11,177	11,614	11,685	12,606	12,887	13,473
Public sector enterprises	1,794	2,291	2,191	2,104	2,087	2,201	2,245	2,290	2,336	2,382	2,430	2,479
Privatization account	-41	-41	-41	-41	-41	-41	-41	-41	-41	-41	-41	-41
Other items, net	-2,823	-1,325	-4,831	-6,838	-5,450	-6,188	-5,482	-4,935	-2,686	-3,073	-2,153	-3,999
Broad money	26,768	30,943	35,882	40,788	40,171	42,302	44,233	46,763	46,197	48,224	50,470	53,591
Currency outside scheduled banks	7,572	9,149	9,153	10,634	10,499	10,873	11,369	12,019	11,873	12,395	12,972	13,774
Rupee deposits	17,993	20,193	25,124	28,463	27,884	29,722	31,136	32,912	32,465	33,944	35,586	37,876
Foreign currency deposits	1,203	1,601	1,605	1,691	1,787	1,708	1,728	1,832	1,858	1,885	1,913	1,940
State Bank of Pakistan (SBP)												
NFA	209	-881	-71	1,455	1,693	2,233	2,395	2,605	2,433	2,235	2,718	3,209
NDA	9,066	12,238	11,684	11,515	11,340	11,215	11,922	11,857	12,164	12,827	13,246	12,996
Net claims on government	5,115	5,224	4,504	3,811	2,602	2,329	2,079	1,329	1,329	829	829	329
Of which: budget support	5,028	4,931	4,265	3,540	2,224	2,057	1,807	1,057	1,057	557	557	57
Claims on nongovernment	112	119	116	116	117	117	117	117	117	117	117	117
Claims on scheduled banks	1,603	1,542	1,410	1,253	1,345	1,302	1,302	1,302	1,302	1,302	1,302	1,302
Privatization account	-41	-41	-41	-41	-41	-41	-41	-41	-41	-41	-41	-41
Other items, net	2,277	5,394	5,695	6,376	7,316	7,507	8,464	9,149	9,456	10,619	11,038	11,288
Reserve money, of which:	9,275	11,357	11,613	12,971	13,033	13,448	14,317	14,462	14,597	15,062	15,964	16,205
Banks' reserves	1,229	1,634	1,842	1,635	1,872	1,897	2,237	1,720	1,977	1,879	2,157	1,559
Currency	8,002	9,674	9,708	11,279	11,107	11,497	12,080	12,742	12,620	13,182	13,807	14,646
(Annual percentage change, unless otherwise indicated)												
Broad money	13.1	15.6	16.0	13.7	12.9	18.8	18.0	14.7	15.0	14.0	14.1	14.6
NFA, banking system (in percent of broad money) 1/	-6.0	-6.0	2.1	5.3	5.2	3.7	3.3	1.8	1.1	0.6	0.8	1.3
NDA, banking system (in percent of broad money) 1/	19.2	21.6	13.8	8.4	7.7	15.1	14.7	12.9	13.9	13.4	13.3	13.3
Budgetary support (in percent of broad money) 1/	13.0	13.2	23.3	12.7	11.9	17.5	9.7	4.7	3.6	3.1	2.6	7.8
Budgetary support	20.2	19.3	33.1	15.7	15.6	23.0	12.0	5.7	4.6	4.0	3.4	10.2
Private credit	21.6	0.6	6.0	12.0	13.7	0.9	14.6	15.4	16.0	14.0	15.3	16.0
Currency	9.6	20.8	0.0	16.2	19.1	19.3	10.8	13.0	13.1	14.0	14.1	14.6
Reserve money	7.6	22.5	2.3	11.7	16.7	16.1	13.0	11.5	12.0	12.0	11.5	12.1
Memorandum items:												
Velocity	2.7	3.0	3.2	3.0	3.0	3.0	3.0	2.9	2.9	2.9	2.9	2.9
Money multiplier	2.9	2.7	3.1	3.1	3.1	3.1	3.1	3.2	3.2	3.2	3.2	3.3
Currency to broad money ratio (percent)	28.3	29.6	25.5	26.1	26.1	25.7	25.7	25.7	25.7	25.7	25.7	25.7
Currency to deposit ratio (percent)	39.4	42.0	34.2	35.3	35.4	34.6	34.6	34.6	34.6	34.6	34.6	34.6
Foreign currency to deposit ratio (percent)	6.3	7.3	6.0	5.6	6.0	5.4	5.3	5.3	5.4	5.3	5.1	4.9
Reserves to deposit ratio (percent)	6.4	7.5	6.9	5.4	6.3	6.0	6.8	5.0	5.8	5.2	5.8	3.9
Budget bank financing (change from the beginning of the fiscal year, in PRs billions, of which:	3,083	3,532	7,223	4,567	-2,194	-325	438	1,915	-748	992	1,602	5,541
By commercial banks	3,320	3,629	7,889	5,292	-879	1,157	2,171	4,397	1,734	3,975	4,585	9,023
By SBP 2/	-237	-97	-666	-726	-1,316	-1,483	-1,733	-2,483	-2,483	-2,983	-2,983	-3,483
NFA of SBP (change from beginning of the year, in billions of U.S. dollars) 3/	-7.6	-5.6	4.1	5.4	0.9	2.8	3.3	3.5	2.9	2.1	3.5	5.0
NFA of commercial banks (millions of U.S. dollars)	-2,565	-4,471	-3,729	-2,498	-2,983	-4,922	-4,028	-3,753	-3,687	-3,623	-3,559	-3,496
NDA of commercial banks (billions of Pakistani rupees)	17,897	20,502	25,336	28,526	27,977	30,233	31,058	33,429	32,724	34,283	35,623	38,498

Sources: Pakistani authorities; and IMF staff estimates and projections.

1/ Denominator is the stock of broad (reserve) money at the end of the previous year.

2/ Includes use of government deposits.

3/ Includes valuation adjustments.

Table 6. Pakistan: Financial Indicators for the Banking System, 2013–25

	2013 Dec.	2014 Dec.	2015 Dec.	2016 Dec.	2017 Dec.	2018 Dec.	2019 Dec.	2020 Dec.	2021 Dec.	2022 Dec.	2023 Dec.	2024 Dec.	2025 Dec.
Capital adequacy													
Regulatory capital to risk-weighted assets 1/	14.9	17.1	17.3	16.2	15.8	16.2	17.0	18.6	16.7	17.0	19.7	20.6	20.8
Tier I capital to risk-weighted assets	12.6	14.3	14.4	13.0	12.9	13.2	14.0	14.8	13.5	14.2	16.0	16.4	16.8
Capital to total assets	9.0	10.0	8.4	7.8	7.1	7.1	7.2	7.2	6.3	5.9	5.9	6.3	6.5
Asset composition and quality													
Nonperforming loans (NPLs) to gross loans	13.3	12.3	11.4	10.1	8.4	8.0	8.6	9.2	7.9	7.3	7.6	6.3	6.1
Provisions to NPLs	78.4	79.8	84.9	85.0	87.2	83.8	81.4	88.3	91.2	89.5	92.7	103.9	107.7
Net NPLs to total eligible capital	14.7	10.1	7.7	7.3	5.8	7.8	8.9	5.3	4.0	4.6	2.7	-1.2	-1.8
Earnings and profitability													
Return on assets (after tax)	1.1	1.5	1.5	1.3	0.9	0.8	0.8	1.0	1.0	1.0	1.6	1.3	1.2
Return on equity (after tax)	12.4	16.1	15.6	14.4	11.5	10.7	11.3	13.8	14.1	16.9	27.1	21.5	19.8
Net interest income to gross income	70.4	71.3	70.4	71.2	72.7	75.4	79.3	79.7	77.9	79.8	82.9	77.7	80.0
Noninterest expenses to gross income	57.2	53.3	47.8	53.1	57.1	60.2	57.6	50.0	53.5	48.4	41.2	43.3	46.4
Liquidity													
Liquid assets to total assets	48.6	49.2	53.8	53.7	54.0	48.7	49.7	54.8	55.4	56.6	63.5	60.3	66.2
Liquid assets to total deposits	61.3	64.5	73.3	72.1	76.1	67.2	68.4	74.3	76.7	86.4	101.1	101.9	105.6
Loans/Deposits	49.5	48.2	46.4	46.6	50.1	55.8	51.7	44.8	46.6	50.4	41.8	49.7	37.5

Source: State Bank of Pakistan.

1/ Starting Dec. 2015 and in line with Basel requirements, the authorities used regulatory capital instead of balance sheet capital for the calculation.

Table 7. Pakistan: Indicators of Fund Credit, 2026–47
(In millions of SDR, unless otherwise indicated)

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042	2043	2044	2045	2046	2047
	Projections 1/																					
Existing and prospective Fund credit (SDR million)																						
Disbursements	1,828	2,059	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
GRA (2023 SBA, 2025 EFF)	1,520	1,520	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
RSF 2/	308	539	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Stock of existing and prospective Fund credit	8,766	9,466	7,946	6,977	6,201	5,202	4,103	3,217	2,330	1,633	1,167	919	819	719	619	519	419	319	219	119	42	0
GRA	8,304	8,466	6,946	5,977	5,201	4,202	3,103	2,217	1,330	633	190	0	0	0	0	0	0	0	0	0	0	0
RSF	461	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000	977	919	819	719	619	519	419	319	219	119	42	0
Obligations	865	1,819	1,947	1,317	1,086	1,282	1,344	1,099	1,069	851	599	366	212	209	205	201	197	194	190	186	160	122
Principal (repayments/repurchases)	479	1,358	1,520	969	776	1,000	1,098	887	887	697	466	248	100	100	100	100	100	100	100	100	77	42
GRA	479	1,358	1,520	969	776	1,000	1,098	887	887	697	443	190	0	0	0	0	0	0	0	0	0	0
RSF	0	0	0	0	0	0	0	0	0	0	23	58	100	100	100	100	100	100	100	100	77	42
Charges and interest	387	460	427	348	311	282	246	213	183	154	132	119	112	109	105	101	97	94	90	86	83	80
O/w GRA basic charges	252	284	264	220	194	165	130	96	66	37	16	3	0	0	0	0	0	0	0	0	0	0
O/w GRA surcharges	39	63	47	11	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
O/w Level-based surcharges	28	46	34	8	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
O/w Time-based surcharges	11	17	13	3	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Fund obligations (repurchases and charges) in percent of:																						
Quota	42.6	89.5	95.8	64.8	53.5	63.1	66.2	54.1	52.6	41.9	29.5	18.0	10.5	10.3	10.1	9.9	9.7	9.5	9.4	9.2	7.9	6.0
GDP	0.2	0.4	0.4	0.2	0.2	0.2	0.2	0.2	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Exports of goods and services	2.6	5.0	5.0	3.1	2.4	2.6	2.6	2.0	1.8	1.3	0.9	0.5	0.3	0.3	0.2	0.2	0.2	0.2	0.2	0.2	0.1	0.1
Gross international reserves	6.5	11.5	10.9	6.6	5.1	5.6	5.5	4.2	3.9	2.9	1.9	1.1	0.6	0.5	0.5	0.5	0.4	0.4	0.4	0.3	0.3	0.2
Government revenue	1.6	3.4	3.4	2.2	1.7	1.8	1.8	1.4	1.3	0.9	0.6	0.4	0.2	0.2	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1
External debt service, public	8.2	14.5	15.9	10.6	7.4	7.9	8.4	6.4	5.8	4.5	3.2	1.9	1.1	1.0	1.0	0.9	0.9	0.8	0.7	0.7	0.5	0.4
Fund credit outstanding in percent of:																						
Quota	431.6	466.1	391.3	343.5	305.3	256.1	202.0	158.4	114.7	80.4	57.5	45.3	40.3	35.4	30.5	25.6	20.6	15.7	10.8	5.9	2.1	0.0
GDP	2.5	2.4	2.0	1.7	1.4	1.1	0.8	0.6	0.4	0.3	0.2	0.1	0.1	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0
Exports of goods and services	26.5	26.3	20.3	16.5	13.7	10.7	7.9	5.8	3.9	2.6	1.7	1.3	1.1	0.9	0.7	0.6	0.4	0.3	0.2	0.1	0.0	0.0
Gross international reserves	66.0	60.1	44.7	35.1	29.2	22.9	16.9	12.4	8.4	5.5	3.7	2.7	2.3	1.9	1.5	1.2	0.9	0.6	0.4	0.2	0.1	0.0
Government revenue	16.2	17.5	13.9	11.4	9.5	7.5	5.5	4.0	2.7	1.8	1.2	0.9	0.7	0.6	0.5	0.4	0.3	0.2	0.1	0.1	0.0	0.0
External debt, public	10.0	10.8	9.0	7.7	6.8	5.6	4.4	3.4	2.5	1.7	1.2	1.0	0.9	0.8	0.6	0.5	0.4	0.3	0.2	0.1	0.0	0.0
Memorandum items:																						
Quota (millions of SDRs)	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031	2,031
Gross official reserves (millions of U.S. dollars)	17,431	20,678	23,331	26,103	27,895	29,810	31,857	34,044	36,381	38,879	41,548	44,400	47,448	50,706	54,187	57,907	61,883	66,131	70,672	75,524	80,709	86,250
Net International reserves (millions of U.S. dollars)	-7,416	-5,088	-442	3,602	5,394	7,310	9,356	11,543	13,880	16,378	19,047	21,900	24,948	28,206	31,687	35,407	39,383	43,631	48,171	53,023	58,208	63,749
Exports of goods and services (millions of US dollars)	43,352	47,273	51,346	55,332	59,476	63,559	67,923	72,586	77,569	82,895	88,586	94,667	101,167	108,112	115,535	123,467	131,943	141,001	150,682	161,027	172,082	183,896
Total external debt, public (millions of U.S. dollars)	115,420	115,346	115,361	118,565	120,364	120,968	122,428	123,018	122,702	122,489	122,632	123,305	124,234	125,402	130,252	139,194	148,751	158,963	169,877	181,539	194,003	207,322
Total external debt, public (percent of CY GDP)	25.3	24.2	22.7	21.9	20.8	19.5	18.5	17.4	16.2	15.2	14.2	13.4	12.6	11.9	11.6	11.6	11.6	11.6	11.6	11.6	11.6	11.6
External debt service, public (millions of U.S. dollars)	13,899	16,455	16,040	16,364	19,260	21,223	21,085	22,603	24,042	24,560	24,856	25,055	25,563	26,130	26,428	28,243	30,182	32,254	34,468	36,835	39,364	42,066

Source: IMF staff projections.

1/ Using the GRA rate of charge of 3.383 as of April 9, 2026.

2/ Using the RST rate of interest of 3.733 as of April 9, 2026. Pakistan is classified as a Group C country under the RSF interest rate structure.

Table 8a. Pakistan: Schedule of Reviews and Purchases Under the EFF

Availability Date	EFF Purchase		Conditions
	Millions of SDRs	Percent of Quota	
September 25, 2024	760	37.4	Approval of arrangement
March 15, 2025	760	37.4	First review and end-December 2024 performance/ continuous criteria
September 15, 2025	760	37.4	Second review and end-June 2025 performance/ continuous criteria
March 15, 2026	760	37.4	Third review and end-December 2025 performance/ continuous criteria
September 15, 2026	760	37.4	Fourth review and end-June 2026 performance/ continuous criteria
March 15, 2027	760	37.4	Fifth review and end-December 2026 performance/ continuous criteria
September 15, 2027	760	37.4	Sixth review and end-June 2027 performance/ continuous criteria
Total	5,320	261.9	

Source: IMF staff estimates.

Table 8b. Pakistan: Schedule of Reviews and Disbursements Under the RSF

Availability Date	RSF Disbursement		Conditions
	Millions of SDRs	Percent of Quota	
May 2, 2025	0.0	0.0	Approval of arrangement
September 15, 2025	76.9	3.8	Implementation of RM9
	76.9	3.8	Implementation of RM10
March 15, 2026	76.9	3.8	Implementation of RM7
	76.9	3.8	Implementation of RM8
September 15, 2026	76.9	3.8	Implementation of RM1
	76.9	3.8	Implementation of RM6
March 15, 2027	76.9	3.8	Implementation of RM5
	76.9	3.8	Implementation of RM11
	76.9	3.8	Implementation of RM12
September 15, 2027	76.9	3.8	Implementation of RM2
	76.9	3.8	Implementation of RM3
	76.9	3.8	Implementation of RM4
	77.2	3.8	Implementation of RM13
Total	1,000	49.2	

Source: IMF staff estimates.

**Table 9. Pakistan: Decomposition of Public Debt and Debt Service by Creditor,
2024/25–2026/27 1/**

	Debt Stock (end of period)			Debt Service					
	Jun-25			2024/25	2025/26	2026/27	2024/25	2025/26	2026/27
	(In US\$ million)	(Percent total debt)	(Percent GDP) ²	(In US\$ million)			(Percent GDP)		
Total	307,467	100.0	76.6	86,290	92,097	70,551	21.2	20.6	15.2
External	106,965	34.8	26.6	14,094	14,821	10,345	3.5	3.3	2.2
Multilateral creditors ³	52,301	17.0	13.0	5,537	5,408	5,519	1.4	1.2	1.2
IMF	9,268	3.0	2.3						
World Bank	22,006	7.2	5.5						
ADB/AfDB/IADB	16,869	5.5	4.2						
Other Multilaterals	4,158	1.4	1.0						
o/w: IsDB	1,608	0.5	0.4						
AIIB	1,798	0.6	0.4						
Bilateral Creditors	38,836	12.6	9.7	3,349	2,768	2,439	0.8	0.6	0.5
Paris Club	6,005	2.0	1.5	1,014	684	671	0.2	0.2	0.1
o/w: Japan	3,024	1.0	0.8						
France	1,072	0.3	0.3						
Non-Paris Club*	32,832	10.7	8.2	2,334	2,084	1,768	0.6	0.5	0.4
o/w: China**	23,499	7.6	5.9						
Saudi Arabia**	5,492	1.8	1.4						
Bonds***	7,065	2.3	1.8	500	2,281	382	0.1	0.5	0.1
Commercial creditors	7,533	2.5	1.9	3,144	2,860	1,832	0.8	0.6	0.4
o/w: Chinese commercial banks	5,684	1.8	1.4						
Other	1,849	0.6	0.5						
Other international creditors	1,230	0.4	0.3	1,564	1,504	173	0.4	0.3	0.0
o/w: NPC/NBP/BOC deposits/PBC****	1,230	0.4	0.3						
Domestic	200,503	65.2	49.9	72,196	77,276	60,206	17.7	17.3	13.0
T-Bills	30,867	10.0	7.7	39,542	36,178	33,299	9.7	8.1	7.2
Held by: central bank	365	0.1	0.1						
local banks	20,683	6.7	5.2						
local non-banks	9,818	3.2	2.4						
Bonds*****	145,783	47.4	36.3	30,704	40,171	24,935	7.5	9.0	5.4
Held by: central bank	17,525	5.7	4.4						
local banks	109,006	35.5	27.1						
local non-banks	19,252	6.3	4.8						
Loans/Other	23,853	7.8	5.9	1,950	927	1,972	0.5	0.2	0.4
Held by: central bank*****	1,674	0.5	0.4						
local banks*****	1,341	0.4	0.3						
National Savings Scheme	12,082	3.9	3.0						
Memo items:									
Collateralized debt ⁴	0.0	0.0	0.0						
o/w: Related									
o/w: Unrelated									
Contingent liabilities									
o/w: Public guarantees	15,304	5.0	3.8						
o/w: Other explicit contingent liabilities ⁵	n.a.	n.a.	n.a.						
Central bank deposit liabilities	3,700	1.2	0.9						
Central bank bilateral swap liabilities	4,358	1.4	1.1						
Nominal GDP ²	407,786								

1/ As reported by country authorities according to their classification of creditors, including by official and commercial. Debt coverage includes guaranteed debt and debt for commodity operations by provincial governments. Debt service is reported based on the outstanding stock at end-June 2025.

2/ Nominal GDP reported and used for shares of debt-to-GDP is for FY25 (FY: July 1 to June 30).

3/ Multilateral creditors³ are simply institutions with more than one official shareholder and may not necessarily align with creditor classification under other IMF policies (e.g. Lending Into Arrears).

4/ Debt is collateralized when the creditor has rights over an asset or revenue stream that would allow it, if the borrower defaults on its payment obligations, to rely on the asset or revenue stream to secure repayment of the debt. Collateralization entails a borrower granting liens over specific existing assets or future receivables to a lender as security against repayment of the loan. Collateral is "unrelated" when it has no relationship to a project financed by the loan. An example would be borrowing to finance the budget deficit, collateralized by oil revenue receipts. See the joint IMF-World Bank note for the G20 "Collateralized Transactions: Key Considerations for Public Lenders and Borrowers" for a discussion of issues raised by collateral.

5/ Work is ongoing to improve the risk monitoring framework of Public Private Partnerships (PPP), including at the provincial level, supported by development partners.

* Includes central bank deposit liabilities from UAE and Kuwait of \$3.7bn in total.

** Includes for China the State Administration of Foreign Exchange (SAFE) deposits of US\$4 billion and central bank bilateral swap liabilities of US\$4.2 billion, and for Saudi Arabia deposits of US\$5 billion.

*** Includes local currency bonds (T-Bills and PIBs) held by non-residents.

**** Pakistan Bano Certificates (PBC) and Naya Pakistan Certificates (NPC) are issued by Government of Pakistan for overseas Pakistanis.

***** Includes Government Ijara Sukuk.

***** Represents on-lending of the SDR allocation from SBP to the federal government.

***** Includes foreign currency loans from local branches of international banks, and loans for commodity operations by provincial governments.

Annex I. Sovereign Risk and Debt Sustainability Analysis

Table 1. Pakistan: Risk of Sovereign Stress

Horizon	Mechanical signal	Final assessment	Comments
Overall	...	High	The overall risk of sovereign stress is high, reflecting vulnerabilities from elevated debt levels, high gross financing needs, and low reserve buffers. Key risk mitigants include continued fiscal prudence, the ability of the banking system to rollover existing domestic debt, and financial commitments by bilateral partners.
Near term 1/	n.a.	n.a.	Not applicable
Medium term	High	High	Medium-term risks are assessed as high, in line with the mechanical signal. Risks include a fading of reform momentum under the EFF as well as the durability of prudent macroeconomic policies in the post-program period.
Fanchart	Moderate	...	
GFN	High	...	
Stress test	Cont. Liabty.	...	
Long term	...	Moderate	Long-term risks are assessed as moderate. Public investment to address adaptation needs and actions underpinning mitigation goals would slow the reduction of debt and financing requirements. Pakistan benefits from favorable demographics but progress with public sector pension reform remains urgent.
Sustainability assessment 2/	...	Sustainable	The debt path is expected to remain on a downward trajectory, provided that macroeconomic prudence continues over the medium term. Despite some improvement, GFNs remain high and risks related to the sovereign exposure of domestic banks are significant. Access to adequate multilateral and bilateral financing remains essential.
Debt stabilization in the baseline			Yes

DSA Summary Assessment

Staff commentary: Public debt continues to be assessed as sustainable in the baseline scenario underpinned by steadfast implementation of the agreed EFF policies, with fiscal consolidation continuing in FY26 and FY27, and growth inching further towards potential. Recent improvements with lowering GFNs need to continue, including by deepening domestic debt markets, and timely disbursements of committed bilateral and multilateral support remain critical to strengthen reserve buffers. Key risks include fading reform momentum and possible policy reversals, pressures on the exchange rate, and a flattening of the growth trajectory (due to insufficient structural reforms or overly tight macro policies). Contingent liabilities related to SOEs, especially in the energy sector, pose significant risks to debt sustainability.

Source: Fund staff.

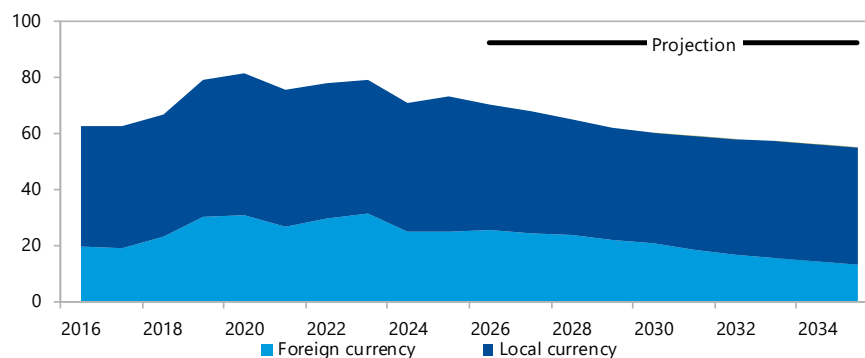
Note: The risk of sovereign stress is a broader concept than debt sustainability. Unsustainable debt can only be resolved through exceptional measures (such as debt restructuring). In contrast, a sovereign can face stress without its debt necessarily being unsustainable, and there can be various measures—that do not involve a debt restructuring—to remedy such a situation, such as fiscal adjustment and new financing.

1/ The near-term assessment is not applicable in cases where there is a disbursing IMF arrangement. In surveillance-only cases or in cases with precautionary IMF arrangements, the near-term assessment is performed but not published.

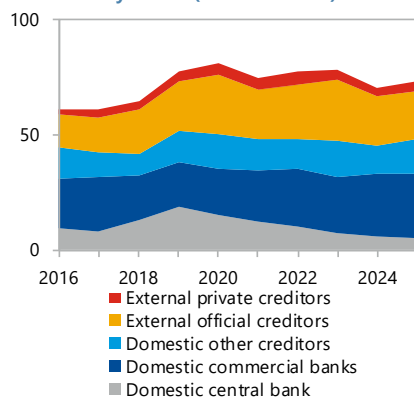
2/ A debt sustainability assessment is optional for surveillance-only cases and mandatory in cases where there is a Fund arrangement. The mechanical signal of the debt sustainability assessment is deleted before publication. In surveillance-only cases or cases with IMF arrangements with normal access, the qualifier indicating probability of sustainable debt ("with high probability" or "but not with high probability") is deleted before publication.

Table 2. Pakistan: Debt Coverage and Disclosures

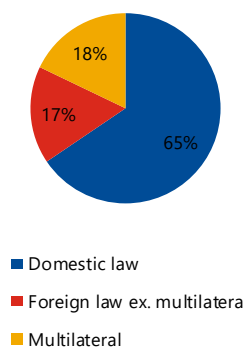
Table 2. Pakistan: Debt Coverage and Disclosures										Comments									
1. Debt coverage in the DSA: 1/										CG	GG	NFPS	CPS	Other					
1a. If central government, are non-central government entities insignificant?										n.a.									
2. Subsectors included in the chosen coverage in (1) above:																			
Subsectors captured in the baseline										Inclusion									
CPS	NFPS	GG: expected	CG	1	Budgetary central government	Yes					Not applicable								
				2	Extra budgetary funds (EBFs)	No													
				3	Social security funds (SSFs)	No													
				4	State governments	Yes					Partial (see commentary)								
				5	Local governments	Yes													
				6	Public nonfinancial corporations	No													
				7	Central bank	No													
				8	Other public financial corporations	No													
3. Instrument coverage:										Currency & deposits	Loans	Debt securities	Oth acct. payable 2/	IPSGSs 3/					
4. Accounting principles:										Basis of recording		Valuation of debt stock							
										Non-cash basis 4/	Cash basis	Nominal value 5/	Face value 6/	Market value 7/					
5. Debt consolidation across sectors:										Consolidated		Non-consolidated							
Color code: chosen coverage Missing from recommended coverage Not applicable																			
Reporting on Intra-Government Debt Holdings																			
Issuer										Holder	Budget. central govt	Extra-budget. funds (EBFs)	Social security funds (SSFs)	State govt.	Local govt.	Nonfin. pub. corp.	Central bank	Oth. pub. fin corp	Total
CPS	NFPS	GG: expected	CG	1	Budget. central govt													0	
				2	Extra-budget. funds													0	
				3	Social security funds													0	
				4	State govt.													0	
				5	Local govt.													0	
				6	Nonfin pub. corp.													0	
				7	Central bank													0	
				8	Oth. pub. fin. corp													0	
Total					0	0	0	0	0	0	0	0	0	0					
1/ CG=Central government; GG=General government; NFPS=Nonfinancial public sector; PS=Public sector.																			
2/ Stock of arrears could be used as a proxy in the absence of accrual data on other accounts payable.																			
3/ Insurance, Pension, and Standardized Guarantee Schemes, typically including government employee pension liabilities.																			
4/ Includes accrual recording, commitment basis, due for payment, etc.																			
5/ Nominal value at any moment in time is the amount the debtor owes to the creditor. It reflects the value of the instrument at creation and subsequent economic flows (such as transactions, exchange rate, and other valuation changes other than market price changes, and other volume changes).																			
6/ The face value of a debt instrument is the undiscounted amount of principal to be paid at (or before) maturity.																			
7/ Market value of debt instruments is the value as if they were acquired in market transactions on the balance sheet reporting date (reference date). Only traded debt securities have observed market values.																			
Staff commentary: Debt coverage includes bilateral FX swap liabilities of the central bank and deposits of official creditors at the central bank, domestic PIA HoldCo debt, provincial commodity operations debt. As of end-June 2025, contingent liabilities not included in the perimeter consist of: (i) guarantees, including for SOE's commodity operations and PHPL (PRs 3,963 billion), (ii) non-guaranteed circular debt in the power and gas sector (PRs 931 billion, excluding PHPL debt, and PRs 3,183 billion), (iii) non-guaranteed external SOE debt (PRs 144 billion), (iv) other contingent liabilities (PRs 500 billion, estimated). The estimated total of those exposures amounts to 7.7 percent of GDP.																			

Figure 1. Pakistan: Public Debt Structure Indicators**Debt by Currency (Percent of GDP)**

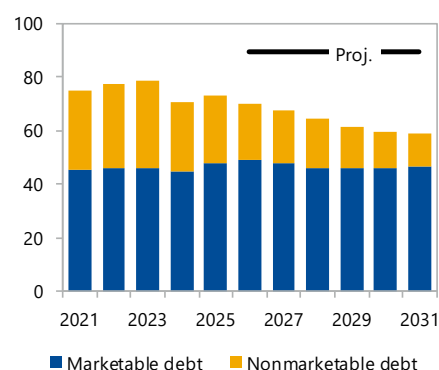
Note: The perimeter shown is general government.

Public Debt by Holder (Percent of GDP)

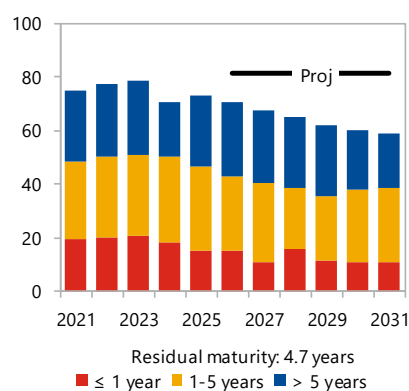
Note: The perimeter shown is general government.

Public Debt by Governing Law, 2025 (percent)

Note: The perimeter shown is general government.

Debt by Instruments (Percent of GDP)

Note: The perimeter shown is general government.

Public Debt by Maturity (Percent of GDP)

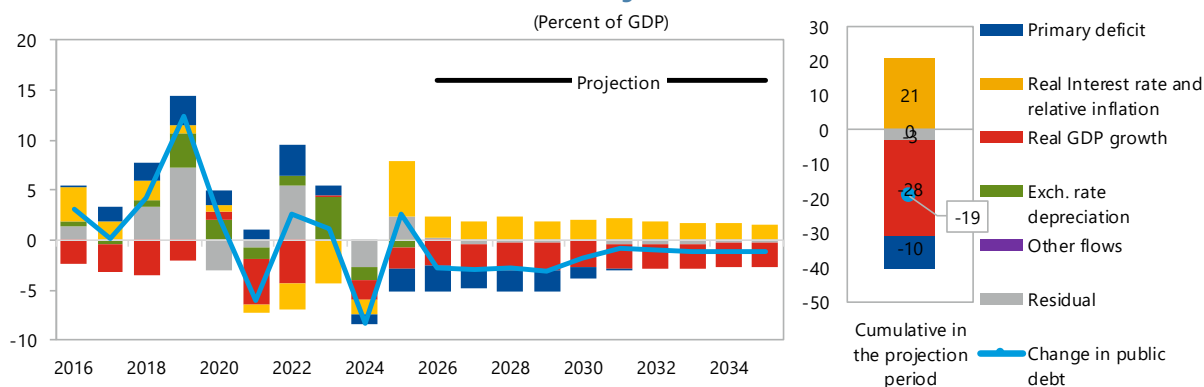
Note: The perimeter shown is general government.

Staff commentary: Pakistan's external debt is predominantly to bilateral and multilateral creditors, while its domestic debt is mostly held by domestic banks. The maturity structure has improved in recent years, but the share of short-term debt continues to be high and poses risks to debt sustainability.

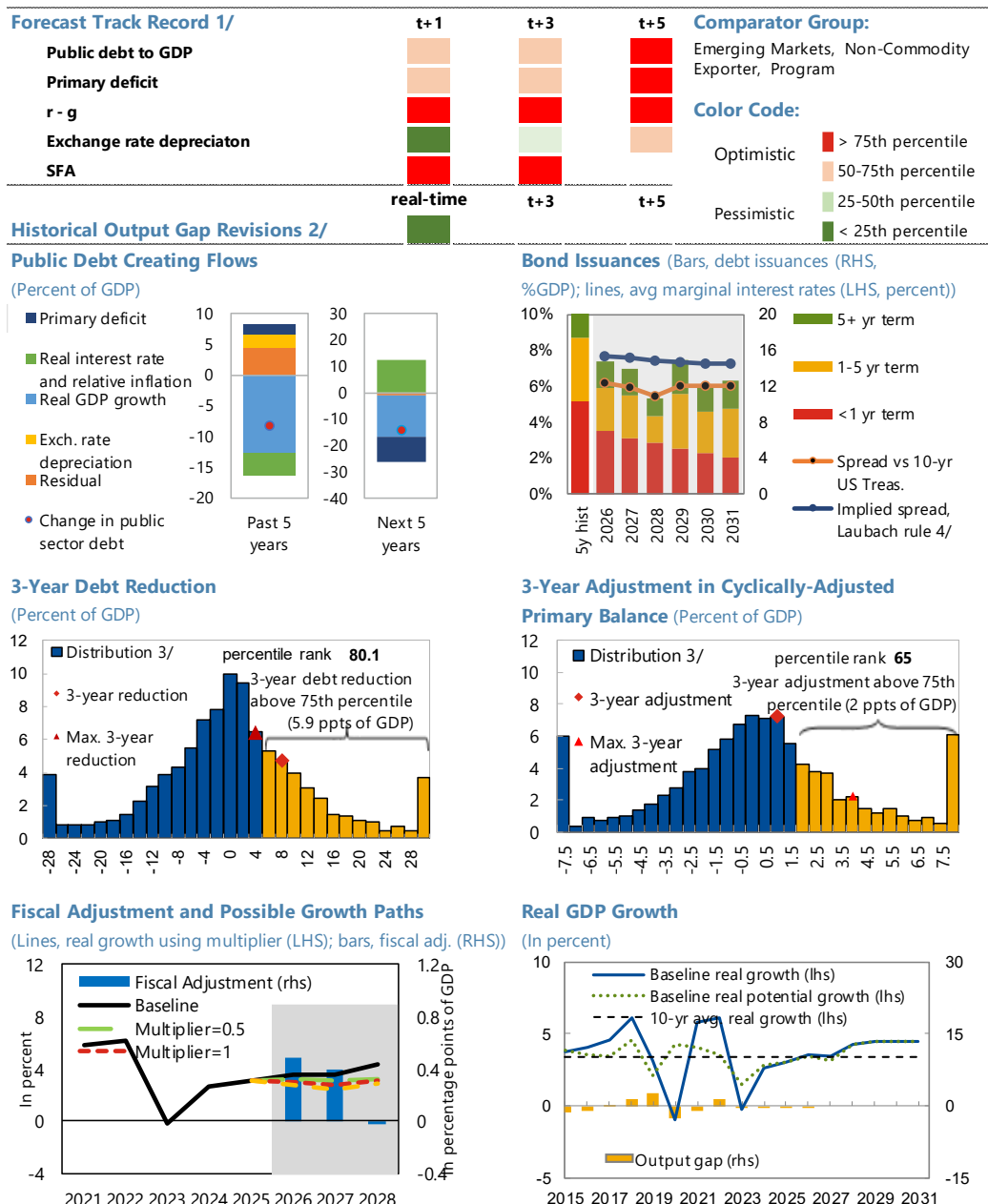
Table 3. Pakistan: Baseline Scenario
(Percent of GDP, unless otherwise indicated)

	Actual	Medium-term projection						Extended projection			
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Public debt	73.1	70.3	67.4	64.7	61.6	59.8	59.0	58.0	56.8	55.7	54.7
Change in public debt	2.6	-2.7	-2.9	-2.7	-3.1	-1.8	-0.8	-1.0	-1.2	-1.1	-1.1
Contribution of identified flows	0.3	-2.9	-2.5	-2.4	-2.8	-1.7	-0.4	-0.7	-0.8	-0.8	-0.8
Primary deficit	-2.4	-2.5	-2.0	-2.0	-2.0	-1.0	0.0	0.0	0.0	0.0	0.0
Noninterest revenues	15.8	15.8	15.3	15.3	15.3	15.3	15.3	15.3	15.3	15.3	15.3
Noninterest expenditures	13.4	13.3	13.3	13.3	13.3	14.3	15.3	15.3	15.3	15.3	15.3
Automatic debt dynamics	2.7	-0.4	-0.5	-0.4	-0.9	-0.7	-0.4	-0.7	-0.8	-0.8	-0.8
Real interest rate and relative inflation	5.5	2.1	1.9	2.4	1.9	2.0	2.1	1.9	1.7	1.7	1.6
Real interest rate	5.2	1.0	0.4	1.3	1.0	1.1	1.3	1.1	1.0	1.1	1.1
Relative inflation	0.3	1.2	1.5	1.0	0.9	0.9	0.8	0.7	0.7	0.6	0.6
Real growth rate	-2.1	-2.5	-2.4	-2.8	-2.8	-2.7	-2.6	-2.5	-2.5	-2.4	-2.4
Real exchange rate	-0.7	...	...	...	...	...	...	...	...	...	...
Other identified flows	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(minus) Interest Revenues	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other transactions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Contribution of residual	2.4	0.2	-0.4	-0.3	-0.3	-0.1	-0.3	-0.4	-0.3	-0.3	-0.3
Gross financing needs	21.7	17.9	17.2	13.8	17.2	14.1	14.6	14.8	12.5	13.5	14.6
of which: debt service	24.2	20.4	19.2	15.7	19.2	15.1	14.6	14.8	12.5	13.5	14.6
Local currency	21.5	18.3	15.9	12.9	16.3	12.3	11.2	11.5	9.6	10.8	12.3
Foreign currency	2.7	2.1	3.3	2.9	2.9	2.8	3.4	3.3	2.9	2.7	2.3
Memo:											
Real GDP growth (percent)	3.1	3.6	3.5	4.3	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Inflation (GDP deflator; percent)	4.1	7.2	8.4	6.6	6.5	6.5	6.5	6.5	6.5	6.5	6.5
Nominal GDP growth (percent)	8.1	11.8	12.8	10.9	11.3	11.2	11.3	11.3	11.3	11.3	11.3
Effective interest rate (percent)	12.0	8.6	9.0	8.8	8.2	8.5	8.9	8.6	8.4	8.6	8.6

Contribution to Change in Public Debt



Staff commentary: With the continuation of prudent policies under the baseline, public debt is projected to decline gradually. Real interest rates are declining which will improve debt dynamics provided that macrostability is being preserved.

Figure 2. Pakistan: Realism of Baseline Assumption

Staff commentary: The fiscal adjustment path over the remainder of the program is feasible given the significant scope for revenues by widening the tax base and improving tax administration. But strong efforts on structural reforms remain essential to lift long-term growth to underpin revenue collection. T-bill issuance as a share of total domestic issuance is projected to decline gradually as the domestic investor base widens.

Source: IMF Staff.

1/ Projections made in the October and April WEO vintage.

2/ Calculated as the percentile rank of the country's output gap revisions (defined as the difference between real time/period ahead estimates

3/ Data cover annual observations from 1990 to 2019 for MAC advanced and emerging economies. Percent of sample on vertical axis.

4/ The Laubach (2009) rule is a linear rule assuming bond spreads increase by about 4 bps in response to a 1 ppt increase in the projected debt-to-GDP ratio.

Table 4. Pakistan: Medium-Term Risk Analysis

	Value	Contrib 1/	Percentile in peer group 2/
Final Fanchart (Percent of GDP)			
Debt fanchart module			
Fanchart width (percent of GDP)	31.2	0.5	
Probability of debt non-stabilization (percent)	25.6	0.2	
Terminal debt-to-GDP x institutions index	48.1	1.0	
Debt fanchart index (DFI)	1.7		
Risk signal: 3/		Moderate	
Gross Financing Needs (Percent of GDP)			
Gross financing needs (GFN) module			
Average baseline GFN (percent of GDP)	15.8	5.4	
Initial Banks' claims on the gen. govt (pct bank assets)	61.5	20.0	
Chg. in banks' claims in stress (pct banks' assets)	1.0	0.3	
GFN financeability index (GFI)	25.7		
Risk signal: 4/		High	
Triggered stress tests (stress tests not activated in gray)			
Banking crisis			
Commodity prices			
Exchange rate			
Contingent liab.			
Natural disaster			
Medium-Term Index (Index Number)			
Medium-term risk analysis			
	Value	(normalized)	Weight Contribution
Debt fanchart index	1.7	0.4	0.5 0.2
GFN financeability index	25.7	0.5	0.5 0.2
Medium-term index		0.4	
Risk signal: 5/		High	
Final assessment:		High	
Prob. of missed crisis, 2026-2031, if stress not predicted: 54.5 pct.			
Prob. of false alarms, 2026-2031, if stress predicted: 8.0 pct.			
Staff commentary: Of the two medium-term tools, the Debt Fanchart Module points to a moderate level of risk, with relatively high debt-to-GDP at the end of the projection horizon and some risk of debt non-stabilization. The GFN Financeability Module suggests a high level of risk due to the high share of bank assets invested in government securities (which limits the scope for the government to flexibly respond to future crises) and the average GFN-to-GDP ratio above the 75th percentile of the comparator group. The aggregated index continues to point to a high level of risk.			
Source: IMF staff estimates and projections.			
1/ See Annex IV of IMF, 2022, Staff Guidance Note on the Sovereign Risk and Debt Sustainability Framework for details on index calculation.			
2/ The comparison group is emerging markets, non-commodity exporter, program.			
3/ The signal is low risk if the DFI is below 1.13; high risk if the DFI is above 2.08; and otherwise, it is moderate risk.			
4/ The signal is low risk if the GFI is below 7.6; high risk if the DFI is above 17.9; and otherwise, it is moderate risk.			
5/ The signal is low risk if the GFI is below 0.26; high risk if the DFI is above 0.40; and otherwise, it is moderate risk.			

Figure 3a. Pakistan: Long-Term Risk Analysis

Triggered Modules

Large amortizations

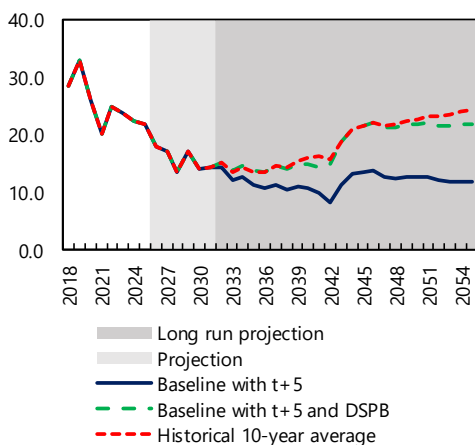
Pensions
HealthClimate change: Adaptation
Climate change: Mitigation

Natural Resources

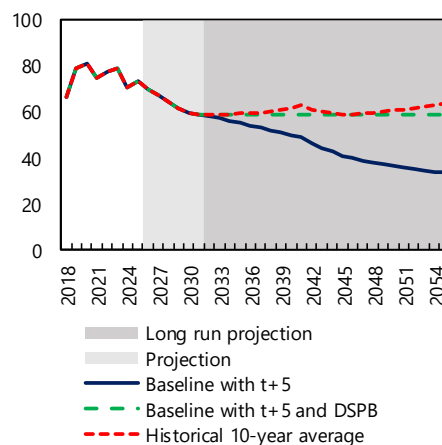
Long-Term Risk Assessment: Large Amortization

Projection	Variable	Risk Indication
Medium-term extrapolation	GFN-to-GDP ratio	
	Amortization-to-GDP ratio	
	Amortization	
Medium-term extrapolation with debt stabilizing primary balance	GFN-to-GDP ratio	
	Amortization-to-GDP ratio	
	Amortization	
Historical average assumptions	GFN-to-GDP ratio	
	Amortization-to-GDP ratio	
	Amortization	
Overall Risk Indication		

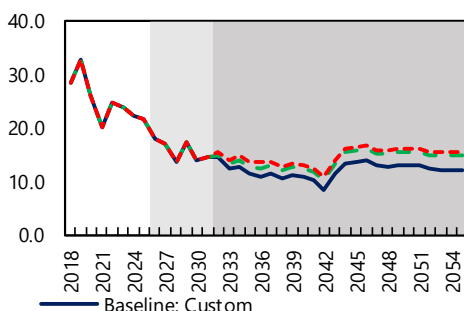
GFN-to-GDP Ratio



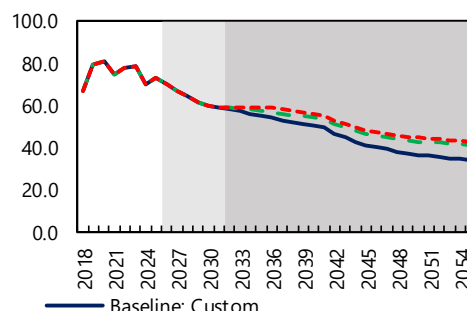
Total Public Debt-to-GDP Ratio



Commentary: Although elevated GFN are a key risk for Pakistan's debt sustainability, the risk of large amortizations is not triggered because projected GFN-to-GDP and Amortization-to-GDP ratios for years t+6 through t+30 do not exceed the historical average (plus one standard deviation) threshold given elevated historical time series over the past 10 years. The baseline scenario assumes a zero primary balance from 2031 onwards, which would allow Pakistan to expand development spending to address unmet development needs. Under this projection, which is predicated on macroeconomic stability remaining firmly entrenched, debt (in percent of GDP) would continue to decline.

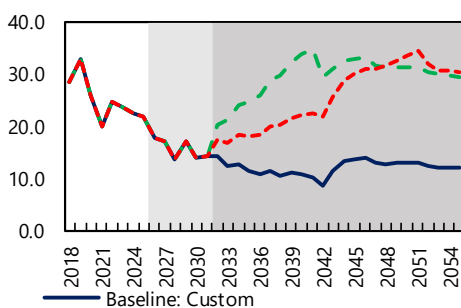
Figure 3b. Pakistan: Long-Term Risk Analysis**Climate Change: Adaptation****GFN-to-GDP Ratio**

— Baseline: Custom
 - - With climate adaptation (standardized scenario)
 - - With climate adaptation (customized scenario)

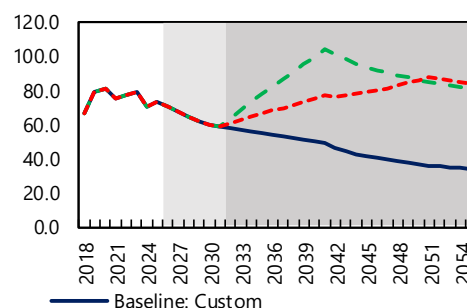
Total Public Debt-to-GDP Ratio

— Baseline: Custom
 - - With climate adaptation (standardized scenario)
 - - With climate adaptation (customized scenario)

Commentary: Given Pakistan's exceptionally high vulnerability to climate change, freeing up fiscal space for adaptation investment within the confines of debt sustainability will be critical. The customized scenario assumes adaptation investment of 1 percent of GDP annually over a five-year period (see CR 25/109) whereas the standardized scenario reflects adaptation costs of only 0.6 percent of GDP annually. By reducing the growth impact of natural disaster significantly, higher adaptation investment would help support the relatively modest increase in the debt-to-GDP ratio relative to baseline.

Climate Change: Mitigation**GFN-to-GDP Ratio**

— Baseline: Custom
 - - With climate mitigation (standardized scenario)
 - - With climate mitigation (customized scenario)

Total Public Debt-to-GDP Ratio

— Baseline: Custom
 - - With climate mitigation (standardized scenario)
 - - With climate mitigation (customized scenario)

Commentary: Estimates of mitigation costs by development partners amount to 5.6 percent of GDP annually over the 2023-30 period, very close to the 5.7 percent of GDP under the standardized scenario. Given fiscal and implementation constraints the customized scenario distributes these costs over a 20-year period. The massive increase in the debt-to-GDP ratio relative to baseline, to more than 80 percent of GDP by the mid-2050s, points to the need for a well thought-out climate financing strategy and support from bilateral and multilateral partners.

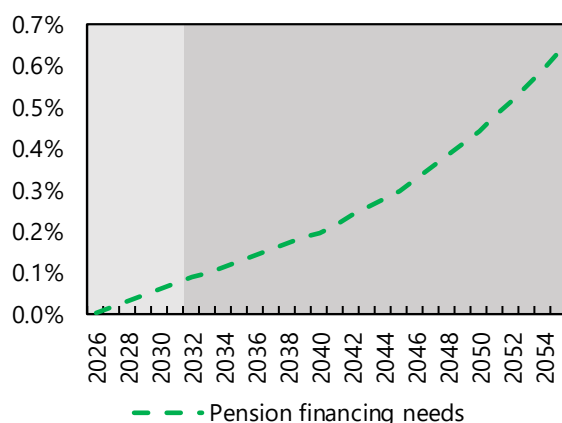
Figure 3c. Pakistan: Long-Term Risk Analysis

Demographics: Pensions

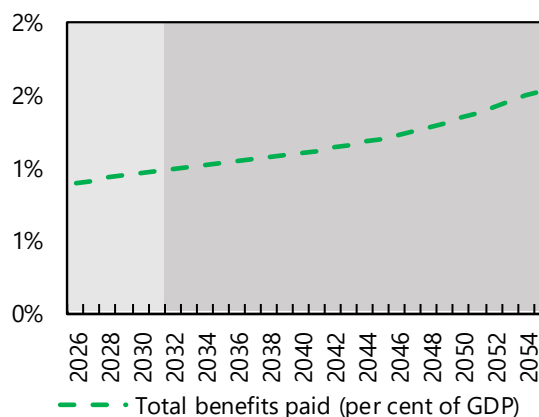
Permanent adjustment needed in the pension system to keep pension assets positive for:

	30 years	50 years	Until 2100
(pp of GDP per year)	0.3%	0.7%	1.2%

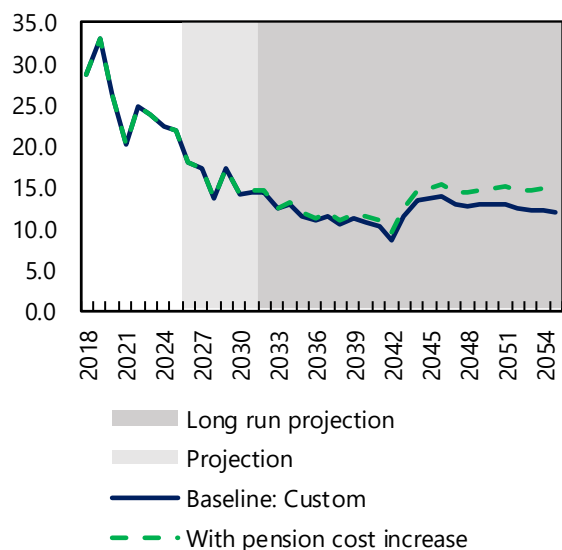
Pension Financing Needs



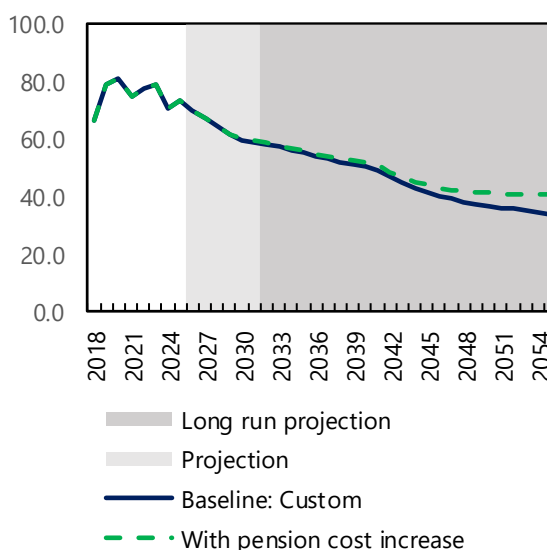
Total Benefits Paid



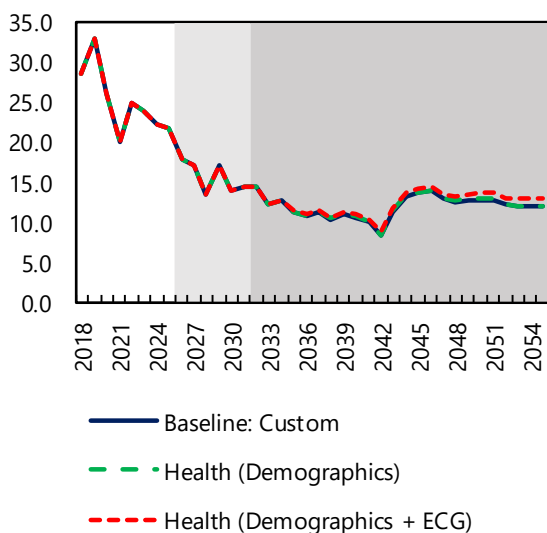
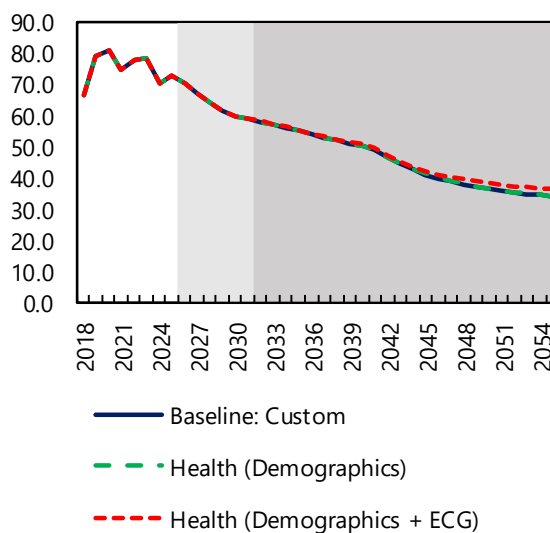
GFN-to-GDP Ratio



Total Public Debt-to-GDP Ratio



Commentary: The pension system only covers public servants and the military. While the system is currently non-contributory, with running expenditures of around 0.9 percent of GDP, reforms to contain the fiscal burden over the medium-term are currently ongoing.

Figure 3d. Pakistan: Long-Term Risk Analysis**Demographics: Health****GFN-to-GDP Ratio****Total Public Debt-to-GDP Ratio**

Commentary: Health expenditures are currently very limited. Given Pakistan's favorable demographics, debt-related risks from excess health care costs appear manageable.

Annex II. Risk Assessment Matrix¹

Source of Risks	Relative Likelihood	Time Horizon	Expected Impact	Policy Response
GLOBAL				
Geopolitical Tensions and Intensification of Conflicts. Rising geopolitical tensions, and a weakening of multilateralism, raise the risk of an escalation in military conflicts, accompanied by damage to key physical and financial infrastructure, disruptions in major transit routes and supply chains, higher migration pressures, additional financial frictions and market volatility.	High	Short Term	High - Financial volatility raises risk aversion, causing financing pressures and capital outflow pressures. - Spending pressures and/or lower growth, weakened the underlying fiscal position and/or revenue mobilization. - Weaker confidence and supply/trade disruptions drag on.	- Implement strong policies and strengthen institutions as a foundation of resilient and sustainable growth. - Scale up targeted social assistance. - Resist pressures to weaken fiscal discipline and preserve fiscal and debt sustainability. - Allow exchange rate flexibility to absorb external shocks and facilitate adjustment. - Build fiscal and external buffers.
Commodity price volatility. Supply and demand imbalances—triggered by geopolitical tensions, coordinated production decisions, shifts in investor preferences, or structural changes in demand—fuel commodity price swings, amplifying external and fiscal pressures, social unrest, and macro instability.	High	Short Term	High Higher energy prices could worsen the energy sector's already weak financial position, especially if cost increases are not passed through to prices, leading to buildup of more arrears and pressure for greater subsidies with higher	- Allow energy price increases to be passed through to end-users. - Press ahead with reforms of the energy sector to address efficiency and costs. - Scale up targeted social assistance. - Maintain financial stability to weather external shocks. - Resist pressures to weaken fiscal discipline. - Build fiscal and external buffers.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10–30 percent, and "high" a probability between 30–50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly. "Short term" and "medium term" are meant to indicate that the risk could materialize within one year and three years, respectively.

Source of Risks	Relative Likelihood	Time Horizon	Expected Impact	Policy Response
			- headline inflation. - Tighter global financial conditions and capital outflow pressures. - Spending pressures and/or lower growth, weakening the fiscal position. - Weaker confidence and supply disruptions drag on economic growth.	- Allow exchange rate flexibility to absorb external shocks and facilitate adjustment. - Maintain appropriately tight monetary policy, responding to any second-round effects.
Fiscal Vulnerabilities and Higher Long-Term Interest Rates. Higher public debt and deficit levels put further upward pressure on long-term interest rates, sharply tightening global financial conditions, amplifying currency volatility, and reducing consumption and investment that exacerbate adverse debt dynamics. Disruptions are amplified by increased role of price-sensitive investors and leveraged NBFIs in sovereign debt markets, limited market absorption capacity when NBFIs offload debt securities, higher roll-over needs on shorter sovereign debt maturities, and strong sovereign-financial nexus. Concurrently, capital outflows from emerging and developing economies elicit a sharp increase in short-term rates.	High	Short to Medium Term	High - Worsening sentiment and lower demand for Pakistan's assets resulting in increased funding costs or reduced capital inflows. - Higher debt service and worse prospects for market access. - Weakening global demand decreases commodity prices.	- Implement strong policies and strengthen institutions as a foundation of resilient and sustainable growth. - Build fiscal and external buffers. - Maintain financial stability to weather external shocks. - Maintain an appropriate medium term debt strategy. - Allow exchange rate flexibility to absorb shocks and facilitate adjustment.
Social Discontent. Persistently high living costs, youth unemployment and inequality, amid an erosion in governance standards and pressures from geoeconomic realignments, trigger social unrest, political repression and instability, affecting countries' capacity to pursue economic reforms.	Medium	Short to Medium Term	High Spending pressures and/or lower growth, weakened the underlying fiscal position.	- Scale up targeted social assistance. - Resist pressures to weaken fiscal discipline and preserve fiscal and debt sustainability.

Source of Risks	Relative Likelihood	Time Horizon	Expected Impact	Policy Response
			• Weaker confidence and supply disruptions drag on economic growth.	• Build fiscal and external buffers.
Labor Shortages and Remittances. Tighter immigration policies in labor shortages in aging destination economies, reducing potential output, fueling inflation, and straining fiscal balances through lower revenues. Origin countries see depressed remittances and incomes, and worsening external balances, though a larger labor force could partly offset the remittance decline over the medium term	High	Short to Medium Term	High • Lower current inflows lead to external and public financing pressures. • Reduced household incomes put downward pressure on consumption. • Increased labor supply boosts domestic output. • Reduced opportunities to emigrate increase social pressures.	• Implement strong policies and strengthen institutions as a foundation of resilient and sustainable growth. • Build fiscal and external buffers. • Allow exchange rate flexibility to absorb shocks and facilitate adjustment.
Disorderly AI Correction. An abrupt revision in expectations of strong AI-led productivity gains causes a sharp market correction, investment decline, and wealth loss, which suppress demand and tighten financial conditions globally.	High	Short Term	Medium • Worsening sentiment and lower demand for Pakistan's assets resulting in increased funding costs or reduced capital inflows. • Stock market deteriorates. • Reduced interest in privatization portfolio	• Allow exchange rate flexibility to cushion shocks. • Build fiscal and external buffers. • Maintain an appropriate medium-term debt strategy. • Maintain financial stability to weather external shocks, tighten supervision to monitor banking risks
Climate Change. Extreme climate events and rising temperatures could cause loss of life, damage to infrastructure, food insecurity, supply disruptions, and heighten economic and financial instability.	Medium	Medium to Long Term	Medium • Weaker confidence and supply disruptions drag on economic growth. • Fiscal pressures are associated	• Implement strong policies and strengthen institutions as a foundation of resilient and sustainable growth. • Allow exchange rate flexibility to absorb shocks and facilitate adjustment.

Source of Risks	Relative Likelihood	Time Horizon	Expected Impact	Policy Response
			- recovery spending and reconstruction needs. - Higher risk aversion, and higher risk premia leading to financing pressures and capital outflows. - Trade disruptions leading to higher commodity price levels and volatility, heightening external imbalances. - Disorderly migration.	- Maintain financial stability. - Advance policies and reforms aiming at climate risk mitigation, adaptation, and transition to a low-carbon economy. Build fiscal and external buffers.
Policy Uncertainty. Elevated and wide-ranging policy uncertainty weighs on sentiment and holds back consumption and investment. Political interference in independent economic institutions erodes public confidence and trust and raises the risk of policy mistakes.	High	Short to Medium Term	Medium - Weaker confidence drag on investment, consumption, and exports. - Higher risk aversion, and higher risk premia leading to financing pressures and capital outflows.	- Implement strong policies and strengthen institutions as a foundation of resilient and sustainable growth. - Build fiscal and external buffers. - Resist pressures to weaken fiscal discipline and preserve fiscal sustainability. - Allow exchange rate flexibility to absorb shocks and facilitate adjustment.
Protectionism and Trade Disruptions. Tariff and nontariff measures disrupt global supply chains, weighing on activity while increasing inflation. Trade diversion triggers broader protectionism.	High	Short to Medium Term	Medium - Weaker confidence and supply/trade disruptions drag on economic growth. - Spending pressures and/or lower growth, weaken the underlying fiscal position	- Implement strong policies and strengthen institutions as a foundation of resilient and sustainable growth. - Allow exchange rate flexibility to support competitiveness.

Source of Risks	Relative Likelihood	Time Horizon	Expected Impact	Policy Response
			Higher risk aversion, and higher risk premia leading to financing pressures and capital outflows.	- Resist pressures to weaken fiscal discipline and preserve fiscal and debt sustainability - Build fiscal and external buffers.
New Trade Agreements. Tangible progress in trade talks reduces uncertainty and trade barriers. Wider cooperation on services, FDI, and taxation boosts investment and bolsters public finances.	Low	Short to Medium Term	Medium - Stronger outlook for economic growth and exports. - Improved confidence and lower risk aversion ease financing pressures.	- Advance structural reform agenda to boost productivity and take advantage of trade opportunities. - Allow exchange rate flexibility to support competitiveness and facilitate adjustment. - Build fiscal and external buffers.
AI Acceleration. Rapid AI adoption significantly improves productivity, boosts growth, and revives business dynamism. Realizing these gains requires complementary policies to manage energy constraints, scale critical inputs, and support labor market transitions.	Medium	Medium Term	Medium - AI adoption contributes to improved productivity and boosts growth. - Increased automation disrupts existing knowledge-based jobs. - Constraints on cost/availability of power, domestic compute and skills could hold back adoption.	- Continue energy sector reforms to reduce costs sustainably. - Boost investment in human capital, including enhanced education systems, adult learning and retraining programs, to help workers adapt to changing skill requirements. - Improve external competitiveness and advance reforms to enhance the private sector business environment.

Source of Risks	Relative Likelihood	Time Horizon	Expected Impact	Policy Response
COUNTRY-SPECIFIC				
Slippages in policy implementation. Pressures on the government could rise to provide incentives/exemptions to key groups. Political resistance or hesitation to delivering on structural reforms, as well as weak institutional capacity and powerful vested interests, could undermine effective implementation of program policies, including structural reforms, lessening the prospects for durable adjustment and sustainable and inclusive growth, and undermining the path to debt sustainability.	High	Short to Medium Term	High • Weaker fiscal discipline could compromise the quality and durability of fiscal adjustment; expose debt sustainability risks. • Deviating from exchange rate flexibility, putting pressure on reserves and/or leading to FX shortages, and undermining competitiveness. • Unfinished structural reform agenda would reduce medium-term growth prospects, preserve over-reliance on the public sector and large informal economy and leave unaddressed contingent liabilities. • Subdued economic growth.	• Implement strong policies and strengthen institutions (including anti-corruption agencies) as a foundation of strong and sustainable growth. • Resist pressures to weaken fiscal discipline and preserve fiscal sustainability. • Allow exchange rate flexibility to absorb shocks and facilitate adjustment. • Build external buffers. • Foster more inclusive growth through scaling up targeted social assistance. • Improve external competitiveness and advance reforms to enhance the private sector business environment.
Bottom line assessment: The balance of risks is tilted to the downside.				

Annex III. Illustration of the RSF Ambition Summary Table

Table 1. Pakistan: Illustration of the RSF Ambition-Summary Table

Staff assessed that making progress towards reducing Pakistan's prospective balance of payments risks from climate change requires adopting fiscal, financial, and institutional policy reforms, including in specific macro-critical economic sectors. Reform areas covered by the RSF include: (i) mainstreaming climate considerations in policymaking, including PFM/PIM; (ii) enhancing water system resilience and disaster response financing; (iii) strengthening the climate information architecture and management climate-related financial risks; (iv) promoting green mobility and transport decarbonization; and (v) aligning energy sector reforms with national mitigation commitments.

The table below shows an assessment of the current status each of these reform areas. It includes an assessment of current policies or institutional frameworks (left column) and the desired long-term policy outcome (third column). RSF-supported reform areas (both RMs and commitments in the MEFP), represented by the green arrow (second column), are targeted at helping the country achieve these outcomes. To fully achieve the recommended policy outcomes, additional reforms will be necessary. Some of the possible additional reforms, drawn from available diagnostics, are reported in the blue arrow. These reflect a mix of reforms that may be supported by development partners or carried forward independently by the authorities—in synergy with and building off the momentum of the RSF-supported reforms; however, they do not necessarily represent authorities' commitments. Strong synergies with the current EFF arrangement, such as domestic revenue mobilization, public financial management, energy sector reforms, and financial market deepening, should further enhance the impact of expected outcomes under RSF-supported reforms.

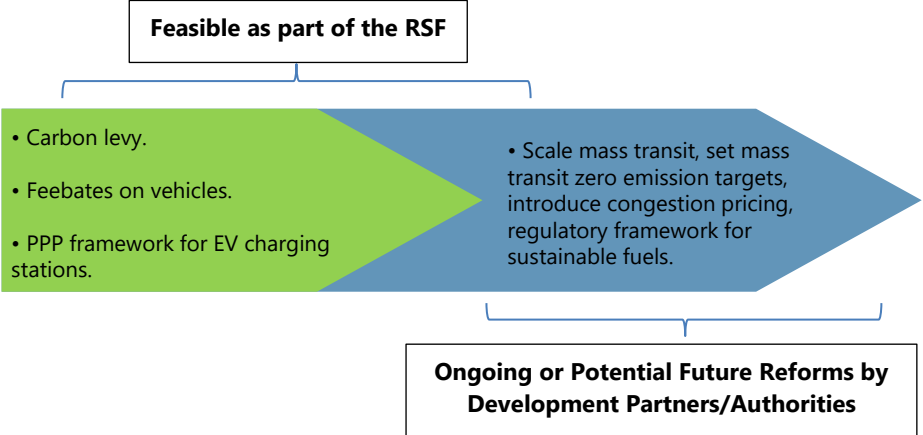
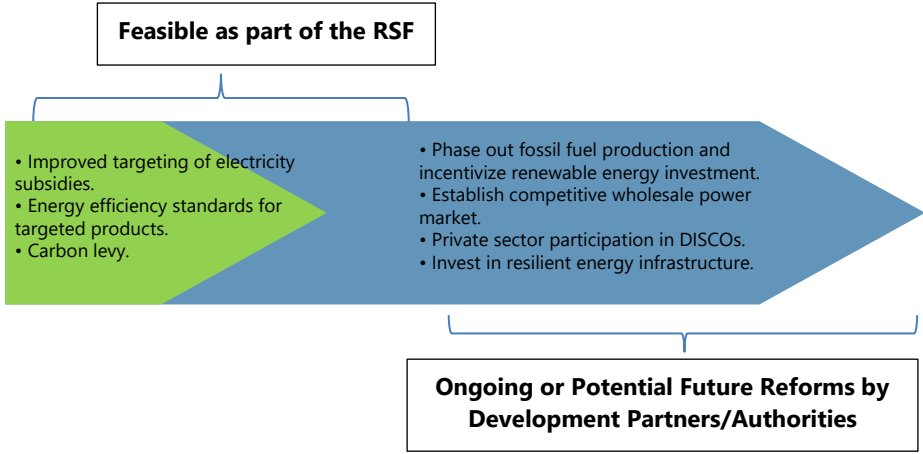
The relative length of the green arrow compared to the "full set" of reforms provides a proxy of the progress expected to be possible directly through RSF-supported reforms. This reflects the authorities' ambition (cognizant of their capacity) under the RSF arrangement as well as limits to the Fund's expertise in certain areas. For example, the Fund's expertise in areas such as agriculture and land management is limited while development partners are better placed to provide this support.

Pre-RSF Status	Main Reforms: RSF-Supported (Green) and Beyond RSF Horizon or Supported by Other Partners (Blue)	Desired LT Policy Outcome	Prospective BoP Risk Reduction
Lack of climate consideration in PIM/PFM, including fiscal risks, investment planning, project selection, transfers, and expenditure tracking, as well as in PPP and FDI frameworks.	Mainstreaming climate issues into budget and investment planning Feasible as part of the RSF • Extend climate budget tagging to grants/subsidies and to provincial expenditures; publish quarterly expenditure tracking. • Incorporate climate into project selection. Ongoing or Potential Future Reforms by Development Partners/Authorities • Finalize national / provincial adaptation plans. • Enhance planning and project preparation. • Climate resilient PPP/FDI frameworks.	National climate agenda mainstreamed into strategic policymaking the budget, and PFM/PIM processes.	Improved fiscal and external sustainability via more efficient / lower expenditure on and import demand for climate-related infrastructure and disaster relief.

Table 1. Pakistan: Illustration of the RSF Ambition-Summary Table (continued)

Pre-RSF Status	Main Reforms: RSF-Supported (Green) and Beyond RSF Horizon or Supported by Other Partners (Blue)	Desired LT Policy Outcome	Prospective BoP Risk Reduction
A need to enhance disaster risk management, financing strategy and resilient social safety net. Lack of fiscal incentives for sustainable water management and need to invest in water supply infrastructure and irrigation management	Improving water system resilience and disaster response financing Feasible as part of the RSF - Set mechanism for irrigation tariffs to achieve cost recovery; and to digitize irrigation service charge. - Adopt federal-provincial implementation framework and coordination mechanism for disaster risk financing. Ongoing or Potential Future Reforms by Development Partners/Authorities - Finalize and implement national flood protection plan. - Develop irrigation management system, invest in water supply infrastructure. - Develop shock-responsive social safety net.	More effective natural disaster responses, more resilient irrigation and water infrastructure.	Improved fiscal and external sustainability via more efficient / lower expenditure on and import demand for disaster relief in the event of climate shock.
Lack of metrics to analyze cost-benefit of climate action. Steps needed to green the private sector, including: adopting green taxonomies, financial regulation, disclosures of climate-related risks and data for financial institutions and listed firms, and financial instruments.	Strengthening the climate information architecture and management of climate-related financial risk Feasible as part of the RSF - Adopt guidelines for climate financial risk management. - Adopt green taxonomy and issue related guidelines. Ongoing or Potential Future Reforms by Development Partners/Authorities - Additional metrics on cost-benefit of climate action. - Develop green financial instruments.	Incorporation of climate related financial risk considerations into risk management of banks and bank supervision, and Pakistan's financial and private sector architecture.	Enhanced financial sector resilience via lower financial sector losses in the context of climate shocks. Enhanced climate adaptation infrastructure through improved climate investment facilitation.

Table 1. Pakistan: Illustration of the RSF Ambition-Summary Table (concluded)

Pre-RSF Status	Main reforms: RSF-Supported (Green) and Beyond RSF Horizon or Supported by Other Partners (Blue)	Desired LT Policy Outcome	Prospective BoP Risk Reduction
Lack of policy frameworks and incentives for transition to low-carbon transportation.	Promoting green mobility and transport decarbonization Feasible as part of the RSF 	Faster transition to low emission transportation, reduced demand for fossil fuels.	Improved external sustainability via lower fossil fuel import demand.
A need to reduce reliance on fossil fuels	Aligning energy sector reforms with national mitigation commitments Feasible as part of the RSF 	More resilient energy infrastructure, lower fiscal costs, reduced demand for fossil fuels.	Improved external sustainability via lower fossil fuel import demand and increased productivity.
Source: IMF Public Investment Management Assessment with Climate Module (C-PIMA, 2023) and World Bank Country Climate and Development Report (CCDR, 2022).			

Appendix I. Letter of Intent

Ms. Kristalina Georgieva
 Managing Director
 International Monetary Fund
 700 19th Street, N.W.
 Washington, D.C. 20431
 USA

Islamabad, April 23, 2026

Dear Ms. Georgieva:

1. Our economic program, supported by the Extended Arrangement under the Extended Fund Facility (EFF) and the Resilience and Sustainability Facility (RSF), continues to deliver macroeconomic stability, build resilience, and set the stage for sustainable and inclusive growth. After weathering significant floods in 2025, the economy continues to grow, inflation remains stable, and external and fiscal buffers are being rebuilt. However, the conflict in the Middle East has resulted in higher international commodity prices and tighter global financial conditions, making the outlook for the coming period more challenging.
2. Our performance under the EFF remains strong. We met all end-December 2025 Quantitative Performance Criteria (QPCs), strongly overperforming the floor on net international reserves and comfortably meeting the general government's primary balance target. We also met six of eight end-December 2025 Indicative Targets (ITs). Net tax revenues collected by the FBR and income tax revenues from retailers fell short of our indicative targets, and we remain focused on implementing revenue administration reforms to minimize the shortfall by the end of the fiscal year.
3. Good progress has also been made on our structural reform agenda. We met five structural benchmarks (SBs) in the areas of tax administration, governance, social support, gas sector sustainability, and special technology zones on time. Due to the need for extensive technical consultations, we missed the deadline for the SB on Sovereign Wealth Fund (SWF) governance, but made good progress towards meeting the substance of this commitment as the draft law will soon be submitted to Parliament. Further progress was made on Reform Measures (RMs) under the RSF: We adopted a green taxonomy and issued guidelines on the management of climate-related financial risks (RM7) and on listed companies' disclosure of climate related risks and opportunities (RM8). The tax exemption for sugar imports was extended, and thus the continuous SB on not granting preferential tax treatment was missed. The exemption was subsequently repealed, with no imports utilizing it. We remain committed to commodity market reforms.
4. We remain firmly committed to continuing with sound and prudent macroeconomic policies and structural and institutional reforms to place Pakistan on a path toward long-term sustainable and inclusive growth, providing the crucial foundation to withstand shocks and address their fallout comprehensively and effectively. In the months ahead, we will continue with (i) the prudent execution of the FY26 budget, including by implementing necessary revenue measures to minimize the revenue shortfalls; (ii) formulation of the FY27 budget, in close consultation with Fund staff, to serve as our fiscal anchor with an underlying primary surplus of 2.0 percent of GDP; (iii) appropriate

monetary policy to ensure that inflation stays durably within the target range and a flexible exchange rate to buffer shocks; (iv) regular energy tariff adjustments that maintain a progressive tariff structure and shield the most vulnerable from large tariff increases, and cost-reducing reforms in the energy sector; and (v) reforms to reduce the footprint of the state, remove market distortions and excessive regulatory burdens, and strengthen governance.

5. Reflecting our progress in advancing the program goals against the backdrop of an exceptionally challenging environment, we request approval by the IMF Executive Board for (i) new QPCs for end-December 2026, including on net tax revenues collected by the FBR; (ii) the completion of the third review under the Extended Arrangement and the related purchase in the amount of SDR 760 million; and (iii) the completion of the second review under the Resilience and Sustainability Facility and the disbursement linked to implementation of RM7 and RM8 (SDR 153.8 million in total), to be provided as budget support to create fiscal space to address our economic vulnerabilities and increase economic resilience, including by adapting our economy to withstand the impact of climate change. We have also made good progress in realizing the financing commitments of our main official and bilateral partners.

6. The policies set forth in the attached Memorandum of Economic and Financial Policies will guide the successful implementation of our program in the face of multiple adverse shocks and ongoing exceptional uncertainty. All provinces agree that they will not introduce any policy or action which could be considered to undermine or run against any of the commitments or policies outlined in this letter or the attached MEFP. We will monitor closely economic developments and performance and will stand ready to take additional measures that may become necessary to achieve our program objectives. We will consult with the IMF before modifying the measures contained in the MEFP or before adopting new measures that deviate from the goals of the program, in accordance with the Fund's policies on such consultations. All provinces agree to consult with the IMF through the federal Ministry of Finance before modifying or adopting any measures that could affect or undercut the program specified here or which deviates from the goals of the program. We will supply the IMF with timely and accurate data and draft policy documents needed for program monitoring. The understandings between us and the IMF regarding performance criteria and structural measures described in this letter are further specified in the attached Technical Memorandum of Understanding. We consent to the IMF's publication of this letter, the MEFP, the TMU, and the accompanying Executive Board documents.

Sincerely yours,

/s/

Muhammad Aurangzeb
Minister of Finance and Revenue

/s/

Jameel Ahmad
Governor of the State Bank of Pakistan

Attachments: Memorandum of Economic and Financial Policies, Technical Memorandum of Understanding

Attachment I. Memorandum of Economic and Financial Policies

This memorandum supplements our memorandum of November 20, 2025, provides information on recent developments, documents our achievements, and discusses further policy steps and reforms needed to meet our IMF-supported program objectives.

A. Recent Economic Developments and Outlook

1. The economic recovery has gained momentum, though the conflict in the Middle East has clouded the outlook. GDP grew by 3.7 percent (yoy) in FY26 Q1, driven by a strong expansion in the industrial sector. Inflation has increased in recent months, but has stayed in the SBP's target range, while core inflation has remained contained. The current account recorded a deficit of US\$0.7 billion (0.2 percent of annual GDP) in July-February FY26, as imports continued to rebound while food exports fell back due to increased rice competition in international markets. Thanks to continued inflows and foreign exchange (FX) purchases by the State Bank of Pakistan (SBP), gross reserves increased to US\$16.3 billion at end-February and have remained broadly stable thereafter.

2. However, the conflict in the Middle East has pushed commodity prices up sharply, which will put upward pressure on inflation and weigh on growth and the current account.

Reflecting recent developments, the agreed policy stance, and ongoing reforms, we see the following baseline macroeconomic scenario:

- **Real GDP growth** is now expected in the range of 3 ½ - 4 percent in FY26, reflecting continued momentum in the auto, construction, and garment industries. Growth is projected to remain at a similar level in FY27, as higher fuel prices and weaker external demand weigh on the ongoing recovery. Assuming the conflict is resolved quickly, the implementation of economic policies geared to entrenching macroeconomic stability, boosting external competitiveness, and improving the private sector business environment are expected to support a gradual pickup in medium-term growth to 4½ percent, bolstered by increased investment and exports.
- **Headline CPI inflation** is expected to temporarily exceed the target toward the end of FY26 due to adverse energy and food prices, but appropriately tight monetary policy is expected to support a durable return of headline CPI inflation to the target range in FY28.
- **The current account** is projected to return to a modest deficit, reflecting higher global energy prices due to the conflict in the Middle East and elevated import growth following the impact from the 2025 floods. Over the medium-term, the current account is expected to remain at a modest deficit following the expected normalization of import demand, the impact of the National Tariff Policy, and a moderation of remittance inflows.

3. Risks to the baseline remain high. Recurring natural disasters pose significant risks to domestic and external stability. The global environment remains highly uncertain. An escalation of regional tensions and a prolonged conflict in the Middle East could adversely impact external stability via higher commodity prices, lower growth, and diminished risk appetite of foreign

investors. In the event that the supply of fuel imports to Pakistan is more severely disrupted, downside impacts on growth could be larger. At the same time, enhanced cooperation with key bilateral partners provides upside risk to foreign investment flows and external support.

B. Economic Program

Fiscal Policy

4. We remain committed to our FY26 underlying primary balance target of 1.6 percent of GDP. The general government primary surplus reached PRs 4.1 trillion in the first half of FY26 (3.2 percent of GDP, comfortably meeting the end-December 2025 QPC of 3.3 trillion). However, the Federal Board of Revenue (FBR) missed its end-December indicative revenue target, with net tax revenues reaching PRs 6.2 trillion against targeted PRs 6.5 trillion (a shortfall of 0.2 percent of GDP). We attribute the shortfall largely to declining collections in the power, as well as oil and gas, sectors. Around half of the shortfall in FBR revenues was offset by higher PDL and provincial revenues, lower than expected costs of flood response, and loan repayments from SOEs stemming from the power CD settlement scheme. We recognize that urgent actions are required to mitigate the impact of projected tax revenue shortfall and ensure the achievement of the FY26 underlying primary balance target of 1.6 percent of GDP.

5. To this end, as a *prior action* we will:

- **Collect additional tax revenues stemming from recent court rulings.** We will collect PRs 322 billion (0.3 percent of GDP) from disputed taxpayer obligations on which the courts have ruled in favor of the FBR. Most of this amount is from the recent court ruling confirming the legality of the “super tax”. Prompt enforcement of court rulings will bolster government revenues this fiscal year and signal our strong commitment to revenue mobilization.
- **Ensure that expected savings in current expenditure of the federal government materialize** by issuing a decision by the Finance Secretary on FY26 savings affecting revised estimates of expenditure ceilings, which will be placed before the National Assembly along with the FY27 budget. We envisage that PRs 136 billion (0.1 percent of GDP) will be saved largely from lower-than-expected grants to provinces to cover the costs of flood response.

6. The exceptional volatility in oil prices required urgent measures to protect affected households. To ensure adequate fiscal space for such support, we have introduced a package of saving measures yielding PRs 152 billion comprising: (i) a reduction of fuel allowances for official vehicles and a 20 percent cut in FY26Q4 non-salary expenditures (PRs 27 billion), (ii) PRs 100 billion cut in the PSDP allocation and (iii) PRs 25 billion in grants from SOEs outside the general government. These resources have allowed us to delay the revision of fuel prices. We recognize that such support can only be temporary, and regular adjustment of fuel prices plays a crucial role in helping demand respond to changing fuel market conditions and avoid very costly budgetary subsidies. To this end, as a **prior action** we will allow the full alignment of domestic fuel prices with international prices followed by regular fortnightly adjustments. To mitigate the impact on the most

vulnerable, we are working with the provincial governments to provide financing for targeted and sustainable support to affected households. Furthermore, considering the high volatility of oil and fertilizer prices and the general macroeconomic uncertainty, we will postpone the increase in the FED on fertilizers and pesticides. We are mindful of the strategic nature of fertilizers and the many uncertainties faced by the agricultural sector.

7. We remain committed to our fiscal consolidation efforts to ensure a sustainable medium-term fiscal position and reduce public debt toward 70 percent of GDP. To this end, we will develop an FY27 budget targeting an underlying primary balance of 2 percent of GDP (**new end-June 2026 SB**). The budget will ensure:

- **FBR Revenue targets consistent with further revenue mobilization.** We will adopt a combination of permanent tax policy and revenue administration measures yielding 0.3 percent of GDP in FY27. Drawing on previous IMF CD reports' recommendations, we will reduce income and sales tax expenditures yielding 0.15 percent of GDP of revenues. Another 0.15 percent of GDP will be achieved by implementing our transformation plan (see ¶10). With these measures, we expect to achieve revenues of PRs 7,022 billion by end-December 2026, which will be set as a new quantitative performance criterion. The impact of any potential revenue-reducing tax simplification policies introduced in the FY27 budget ahead of the implementation of the medium-term tax reform strategy (MTRS) will be offset by new permanent tax policy measures with equivalent revenue yield.
- **Strict expenditure ceilings.** We will restrict the growth of most primary current expenditures to no faster than the projected rate of inflation of 8.4 percent. Health, education, and social protection expenditures will continue to increase as a share of GDP in line with program targets to support human capital development. A specific lower ceiling will be set for power subsidies (see ¶32.b). These measures will save 0.1 percent of GDP in FY27.
- **Provincial surpluses.** The budget will also include provincial tax revenue targets aiming to contribute an additional 0.3 percentage points of GDP to the tax revenue ratio and corresponding primary surplus targets sufficient to achieve the general government primary balance target. Provinces will mobilize revenue by continuing to steadfastly expand the enforcement of the GST on services to gradually cover all sectors of the economy. New agricultural income tax rates will be applied to FY26 agricultural income (with the revenue impact materializing in FY27).

8. Steadfast implementation of fiscal institutional reforms remains critical to achieve our fiscal consolidation objectives. Our primary focus continues to be on strengthening revenue mobilization, enhancing the burden-sharing between the federal and provincial governments, and further improving public financial management.

Strengthening Revenue Mobilization

9. The FBR has implemented priority areas of the transformation plan (end-March 2026 SB) and developed key performance indicators that will be monitored throughout the rest of the program:

- a. *Strengthening taxpayer audits.*** The FBR has now begun applying the Compliance Risk Management (CRM) system for corporate and non-corporate taxpayers. As of March, 2026 the FBR has introduced a new audit workflow under which all audit cases will be high risk cases identified through CRM (training more than 150 officers in its use). Local tax commissioners will assign the cases to either existing field officers or newly hired auditors. The FBR has hired 431 auditors by end-March 2026 and will hire an additional 396 by end-June 2026. Rejecting cases identified by CRM will only be possible in specific documented circumstances (e.g. a recently concluded audit, pending legal challenges, etc.). The timeliness and quality of audits will be centrally monitored with specific accountability for delaying the process or poor audit quality. The stronger audit process is expected to deliver PRs 92 billion in additional revenue in FY2027. The effectiveness of the new process will be monitored with two key performance indicators (KPI): (i) value of audit adjustments (excluding any penalties or interest) which are paid within (120) days of the end of the audit (broken down on an office basis and with separate calculations for LTO cases and other cases); and (ii) number of cases where there is an audit adjustment paid within (120) days, as a percentage of all cases completed (broken down on an office by office basis and with separate calculations for LTO and other cases).
- b. *Expanding the application of digital invoicing.*** By December 31st, 2025, all entities registered as sales tax filers were required to register in the FBR's digital invoicing platform. As of end-March around one third of the tax filers were issuing live invoices. To facilitate the adoption of the system more broadly, FBR will issue two notifications allowing for easier correction of errors and multiple license integrators by end-March 2026. We will also submit legal amendments in the upcoming Finance Bill to require more stringent penalties for non-compliance. Active sales taxpayers are expected to adopt the system by July 31st, 2026. Pakistan Revenue Automation Limited (PRAL) has assigned 16 people to help operate the new system. The new digital invoicing system simplifies sales tax filing for taxpayers and enables automatic calculation of sales tax liability. Better monitoring and calculation of sales tax liability is expected to generate PRs 46 billion in additional revenue in FY27. The operation of the new invoicing system will be monitored by using KPIs on: (i) the total value of digital invoices processed by the invoicing system and (ii) the number of sales taxpayers issuing live invoices in the system.
- c. *Production monitoring.*** FBR is deploying production monitoring in sectors with the largest tax gaps (notably textiles). A production monitoring solution has been developed for all targeted sectors (including piloting proofs of concept), with full deployment in the sugar, cement, tobacco and fertilizer sectors (PRs 160 billion estimated tax gap), and with the textile and beverage sectors in pilot phase and expected to be fully monitored by end-October 2026. FBR assigned 200 people to help operate the production monitoring systems. Monitoring production quantities is expected to increase reported revenues in sales tax returns and generate

PRs 48 billion in additional revenue in FY27. This intervention will be assessed by using KPIs on: (i) the increase in sales tax revenues from monitored locations relative to the revenue of the previous year adjusted for nominal GDP growth; and (ii) the volume of goods identified in monitored locations.

10. The FBR continues to strengthen its internal governance. To further enhance the audit process and ensure even-handed treatment of taxpayers across different regions and industries, in line with international best practice, the FBR will centralize the audit case selection process via administrative prioritization and monitoring of high-risk cases through the Compliance Risk Management system (**new end-August 2026 SB**). As part of the structural benchmark, the FBR will adopt a standardized audit manual and a published audit policy. The newly established Performance Review and CRM (PRCRM) committee will submit to the Chief Commissioners and Member Audit FBR Board a monthly early warning report describing how local offices comply with the audit policy and any follow-up actions for non-compliance. The audit policy will require mandatory follow up of all high-risk cases identified through CRM, which should include risks on registration and non-filing. The audit policy will also describe how to deal with cases referred to the FBR by third parties. Lack of CRM follow up will be permitted only under explicit and narrow criteria specified in the audit policy and subject to documented justification and supervisory approval per the PRCRM committee mandate. The policy will require establishing and regularly monitoring outcome-oriented audit performance indicators (see above).

11. Our Tax Policy Office is actively working on the medium-term tax reform strategy (end-December 2026 SB). TPO management is in place, and the office expects to reach full capacity of 35-36 permanent staff by end-May 2026. Temporary staff are currently working to set up modeling infrastructure. The office has conducted extensive outreach to the business community across the country aiming to solicit input to the MTRS. The MTRS will be based on: (i) careful calibration to ensure no loss of tax revenue (revenue neutrality); (ii) detailed planning of tax reforms to ensure policy, social, and legal soundness; and (iii) clear communication to set adequate expectations of the medium-term timing and long-term stability of the tax policy reforms. A data sharing arrangement governing the relationship between the TPO and FBR has been signed in March 2026.

Enhancing Fiscal Burden-Sharing with Provincial Governments

12. The provinces have made important contributions to domestic revenue mobilization. Provincial tax revenues have been increasing well above nominal GDP growth rates, reflecting largely the tax base expansion of GST on services and stronger enforcement efforts. However, revenues from agricultural income tax fell short of expectations because of delays in the application of revised rates and other implementation challenges. The FBR has begun sharing income tax information with the provinces to support the collection of provincial revenues in FY27.

Enhancing Public Financial Management

13. We have made the budget preparation process more transparent. We have started to provide additional information in the quarterly fiscal operation reports, comparing actual outcomes with projections. Additionally, the mid-year and year-end budget execution reports now include a more detailed analysis of the key drivers behind spending deviations. The budget circular now includes the latest macroeconomic projections.

14. We have finalized a new project appraisal framework for the Public Sector Development Program, which will be presented to ECNEC for approval by end-June 2026. We expect that new project allocations will be less than 10 percent of the total in the FY27 budget, as much of the limited fiscal space will be needed to complete existing projects. We are revising our scorecard-based system for project selection to: (i) reduce the number of overlapping criteria; (ii) introduce negative marking for projects with negative externalities; and (iii) increase the weight on climate-related criteria (see ¶44.b).

15. We will ensure transparency in all public procurement at the federal and provincial levels through the electronic Pakistan Acquisition and Disposal System (e-PADS). The external audit of the e-PADS has been finalized by the Auditor General of Pakistan. The Pakistan Public Procurement Regulatory Authority (PPRA) is expanding the e-PADS to all federal agencies and three provincial governments. It has rolled out an upgraded version of e-PADS, aiming to integrate all agencies into the new system by end-December 2026. Alongside this, we will encourage major SOEs to develop procurement rules with the objective of eventually bringing all SOE procurement to the e-PADS. Furthermore, the PPRA has published beneficial ownership information of awarded contracts larger than PRs 50 million. To level the playing field, we have prepared amendments of the relevant provisions of the PPRA Rules to eliminate SOE preferences in awarding public procurement contracts without competition, subject to limited and reasonable exceptions **(new end-September 2026 SB)**.

16. We have improved the risk monitoring framework of Public Private Partnerships (PPP), including those at the provincial level. The Risk Management Unit (RMU) in the Ministry of Finance, in coordination with other stakeholders and with support from the ADB, has finalized and published the fiscal risk monitoring framework for quantifying contingent liabilities related to PPPs. As of end-December 2025, we estimate the outstanding contingent liabilities at the federal and provincial government levels to be PRs 472 billion. We will update and disclose this information at least annually.

17. We continue our work on consolidating cash holdings of government institutions. To ensure consistency with Pakistan's legal framework, we will not conduct a sectorization study but, as a first step and in consultation with IMF staff, the TSA will include public entities defined in the PFM Act of 2019. Around 70 new accounts with average balances of PRs 150 billion will be covered under the TSA, which already includes 179 accounts with about PRs 140 billion in balances.

Debt Management

18. We are committed to addressing debt vulnerabilities stemming from elevated gross financing needs and a significant sovereign-bank nexus. We continue to implement our debt management strategy for FY26–28, aiming to rebalance the domestic debt portfolio toward longer-term, fixed-rate instruments. Transparency has been enhanced regarding the provincial participation in government securities auctions. We will continue to implement our plan to gradually retire domestic debt held by the SBP. We are also making progress in strengthening the institutional arrangements for public debt management.

19. We continue prioritizing the development of the domestic government securities market and widening the investor base. We have intensified our efforts to enhance investor relations by actively informing current and potential investors about our debt management strategy. We are evaluating new potential instruments that cater to investor preferences while carefully considering associated costs and risks. We will refrain from any issuance that could expose the government's debt portfolio to excessive risks. We are about to finalize plans to reform our retail debt program and are actively exploring digital channels to distribute debt securities more efficiently. Furthermore, we remain committed to conducting a comprehensive study, in line with guidance from international institutions, to assess the key pillars of the government securities market and to publish a strategic action plan aimed at addressing identified bottlenecks, **(end-September 2026 SB)**.

Poverty Reduction and Social Protection

20. We continue our efforts to tackle the challenges in the social sector. While our efforts have helped mitigate the impact of the recent floods and other external shocks on the most vulnerable, poverty remains high, with 40 percent of the population facing vulnerability, as does unemployment, especially among young people. Rising emigration, including of skilled labor, reflects limited domestic opportunities. Large human capital constraints – particularly regarding education, health, and WASH outcomes – continue to weigh on productivity.

21. To this end, and to protect the most vulnerable from the recent volatility in food and fuel prices, we commit to significantly improve the generosity, coverage, and capacity of Benazir Income Support (BISP) programs and provincial and federal health and education expenditure amid necessary fiscal consolidation.

a. Unconditional cash transfers (UCT). We have successfully implemented an annual inflation adjustment for the quarterly unconditional cash transfer (UCT) Kafaalat benefit and will have added an additional 200,000 families to the program by end-FY26, bringing total enrollment to 10.2 million families. Guided by the recently updated Household Integrated Economic Survey (HIES), our FY27 budget will allow space for an increase in the Kafaalat benefit from PRs 14,500 to PRs 18,000 beginning in January 2027 **(new end-January 2027 SB)**. This will cover both projected inflation for 2026 and an additional increase in generosity, bringing quarterly benefits significantly closer to our goal of 15 percent of the lowest family income

quintile's consumption basket. We are committed to continued inflation adjustment of the Kafaalat benefit beyond FY27, to maintain at a minimum its value in real terms for recipient families.

- b. Conditional cash transfers (CCT).** We significantly increased enrollment in our two main CCT programs over FY26, by 700,000 to 11.4 million for the Taleemi health and education program and by 200,000 to 2.2 million for the Nashonuma nutrition program. Our FY27 budget will allow space to maintain spending as a share of GDP and enrollment for these two programs, and for the addition of a new CCT program targeting skills development. We will continue working closely with the World Bank and provinces to avoid overlap between BISP and provincial CCT programs at the district level.
- c. BISP administration.** We have made further progress in improving our payments mechanism. We have created Social Protection Wallets (SPWs) for 7 million Kafaalat beneficiary families and distributed SIM cards to those beneficiaries with mobile phones and will progressively increase coverage of SPWs among secure wallets for all remaining families by end-July 2026. This will allow for the disbursement of benefits through digital accounts starting in Q4 FY26. We are also working with the SBP to implement agent level interoperability among banks used by beneficiaries. These measures will improve the transparency, disbursement efficiency, and convenience of benefits.

22. We will continue to scale up critical health and education spending at the federal and provincial levels. We are committed to fully executing all provincial and federal health and education budgets for FY26, which would deliver a 0.3 percent of GDP increase in spending this fiscal year. We will target another increase in aggregate spending of 0.2 percent of GDP to PRs 4,227 billion in FY27 budgets. We will continue to work with development partners to identify spending bottlenecks and improve execution efficiency to better meet quarterly intra-year spending targets and the quality of health and education services provision.

Monetary, Exchange Rate, and Financial Sector Policies

23. In the context of escalating regional conflicts, we are maintaining an appropriately tight monetary policy stance and stand ready to raise interest rates if needed. As flood-related risks dissipated, we were able to lower the policy rate by 50bps in December 2025, but with the onset of the conflict in the Middle East, we held the policy rate in our March 9 meeting. We are closely monitoring the recent volatility in global food and fuel prices and the pass-through to domestic prices and core inflation, and stand ready to adjust policy, as needed. At the same time, we are continuing efforts to improve our policy framework and strengthen communication, including by providing greater detail on the MPC's monetary policy considerations in the monetary policy report. By end-June 2026, we will further assess how MPC statements and minutes could more clearly (i) convey the committee's assessment of the current and desired policy stance and (ii) characterize the monetary policy reaction function in light of the committee's risk assessment.

24. A flexible exchange rate, underpinned by an active foreign exchange market, is critical to buffer shocks and rebuild reserves.

We continue to view exchange rate flexibility as the key shock absorber, including against spillovers from the Middle East conflict, which will ensure that BOP pressures do not impact banks' ability to accommodate import financing and other outward payments on a timely basis. To this end, a well-functioning interbank market is also critical to rebuilding our reserve buffers. Our efforts to improve communication and transparency by publishing semi-annual reserve targets and FX interventions continue to be instrumental in helping market participants gauge overall FX demand.

25. The SBP's framework towards liberalizing the foreign exchange regime will support private sector development and spur foreign investment.

As a first step, we have removed onerous regulations that unduly burden banks and their clients, including certain documentary requirements. This sets us on a broader path from ex-ante verification to risk-based ex-post supervision of FX transactions. The SBP is also developing a roadmap for gradual foreign exchange regime liberalization, spelling out the appropriate sequencing, including the macroeconomic, financial stability, and other structural preconditions needed for each liberalization step (**new end-March 2027 SB**).

26. As attracting remittances is critical to Pakistan's external stability, we are working to address costly payment system impediments.

Work towards a comprehensive assessment of such impediments and costs and an action plan to address them has advanced (**end-May 2026 SB**). As of end-March 2026, the MoF and the SBP have agreed on a mechanism to ensure that claims arising from the remittance subsidy schemes during any given fiscal year do not exceed the budgetary allocation. The mechanism provides for regular monitoring of budget utilization and necessary remedial measures, including changes in the features of the incentive's schemes, if needed, to ensure compliance with budget allocation.

27. Preserving financial sector stability is a key cornerstone of our program. We are committed to vigilant monitoring and taking decisive actions to support and strengthen the sector's resilience.

a. Addressing undercapitalized financial institutions.

- i. *Banking sector.* One private sector bank identified as undercapitalized as at end-March 2025 has since implemented a multi-step recapitalization plan and is now fully compliant with the applicable capital requirement. Going forward, we will ensure that all banks maintain prescribed capital buffers and take prompt supervisory action to address any banks that may become undercapitalized.
- ii. *Microfinance sector.* We continue to monitor vulnerabilities in the microfinance banking sector and are addressing the negative sector-wise capital adequacy ratio, which has resulted from the undercapitalization of 4 of 11 banks. We are expediting our efforts to encourage owners and potential investors to resolve capital shortfalls and improve

business models. Discussions with development partners are underway to design schemes supporting the sector's long-term sustainability.

- b. *Upgrading the crisis management framework.*** We are strengthening the bank resolution and crisis management frameworks to align with international best practices. Following amendments to the legislation in October 2024, we are developing tools to implement the new framework with WB technical support.
- c. *Reduction of Non-Performing Loans (NPLs) of the banking sector.*** Banks have made progress in implementing their plans to reduce the stock of non-performing loans (NPLs), with the gross NPL ratio declining to 6.1 percent as of end-2025. We continue to closely monitor developments and the effective execution of these plans.
- d. *Effective implementation of the AML/CFT framework.*** Informed by the ongoing update of the 2023 National Risk Assessment and under robust coordination by the National AML/CFT authority, we will prioritize AML/CFT reforms with a focus on (i) enhancing the effectiveness of AML/CFT supervision of and preventive measures by designated non-financial businesses and professions (DNFBPs); and (ii) improving the availability and accuracy of beneficial ownership (BO) information, especially on the SECP's central registry, to prevent misuse of legal entities. On the DNFBP sector, notably real estate agents, we will address the low levels of suspicious transaction reporting (STRs) through ongoing reform of the STR reporting framework and requiring entities to register with the goAML system. On BO transparency, SECP will continue to take measures to enhance the compliance rate and strengthen verification mechanisms, including through systematic cross referencing across databases. To prevent risks from Trade-based Money Laundering (TBML), the SBP published a standalone regulatory framework in August 2025 to help Authorized Dealers assess and monitor TBML risks in their customers, transactions, and services. Moreover, the FMU actively shares financial intelligence with relevant agencies, especially leveraging proactive outreach by customs. Going forward, we will enhance interagency data sharing by exploring a range of data points and policy instruments, including through coordination on FX reporting on import payments and customs data, to better monitor and mitigate the risks of TBML at both macro-trend and transactional levels.

28. We remain committed to our long-term financial sector reform objectives and ensuring a sound regulatory framework. A high-level interagency committee led by the Ministry of Finance will soon finalize and disclose the government's post-2027 financial sector strategy, setting clear expectations for financial institutions from 2028 (**end-June 2026 SB**). As we integrate virtual assets into our financial system, we will follow a structured approach that balances innovation with strong regulatory safeguards to ensure investor protection and transparency. Following the enactment of the Virtual Assets Act, we will develop a robust framework through comprehensive secondary regulations, to be issued by end-June 2026 and a detailed implementation plan to ensure effective governance, while the new Virtual Asset Regulatory Authority will finalize its coordination arrangements with key financial safety net counterparts. Efforts to integrate virtual assets will be aligned with broader macro financial policies, with a view to safeguarding monetary sovereignty, preventing capital flow volatility, and maintaining financial stability.

29. We continue to foster a more efficient allocation of credit and limit the role of the public sector in the financial system. As part of our overall economic development strategy we will ensure that Exim Bank's subsidized lending programs are in line with the better targeting plan as already announced by Exim Bank. To limit distortions and avoid challenges for the SBP in pursuing its mandated objectives, Exim's lending programs will remain limited to at most 15 percent of private sector credit, including for the phaseout of the SBP's refinancing schemes. We continue consultations with stakeholders to reform Development Finance Institutions (DFIs) and ensure they support private sector investment. Finally, work continues to transfer the SBP's stake in one financial institution to the government.

30. Digitalization is a cornerstone to our efforts to deepen financial penetration and better channel capital to the private sector. Adoption of our instant payment system (Raast) continues to gain strong momentum both in person-to-person and person-to business transactions. The implementation of the new RTGS system (now called PRISM+) has been completed. The new system with advanced features, especially the integrated Central Securities Depository (CDS) for Government Securities, provides efficiency and transparency in large value payments and settlement of securities. We aim to (i) advance further integration of payment systems with other countries to reduce costs to consumers; and (ii) digitalize all the Federal and Provincial Government payments by June 2027.

Energy Sector Policies

31. Achieving energy sector viability is key to maintaining macroeconomic stability. We commit to continuing to do so through timely tariff increases that recover costs and prevent a recurrence of circular debt. The implementation of these necessary adjustments in the context of recent shocks to global energy markets is critical to ensuring the sector's viability and broader macroeconomic stability without unduly burdening the budget. We commit to maintaining progressive power and gas tariff structures. We are enhancing sectoral viability through our structural reform agenda, which aims to reduce costs by improving efficiency. We have established an institutional arrangement in the form of a dedicated National Integrated Energy Plan (IEP) Secretariat to lead the development of the IEP, targeted for completion by April 2027. The development process is inclusive and consultative, engaging all key stakeholders, including provincial governments, through thematic working groups. Overall guidance is provided by a high-level Steering Committee, co-chaired by the Ministers for Power and Petroleum, with decision-making done through the Cabinet Committee on Energy. This will, among other things, enable stakeholders to make better-informed decisions on supply and demand across the energy sector value chain.

32. We commit to further reduce power CD flow, as reflected in our lower FY27 CD flow target, and achieving net zero power CD flow in FY26 and FY27. Our strategy will be detailed in our FY27 CD Management Plan (CDMP), to be adopted by cabinet by the end of July 2026, and will entail:

- a. **Timely electricity tariff adjustments consistent with cost recovery that remain progressive, with a focus remaining on protecting vulnerable consumers.** This includes NEPRA's continued timely automatic notifications of quarterly tariff adjustments (QTAs) and monthly fuel charges adjustments (FCAs), as well as the full implementation of the January 2027 annual rebasing (**new January 15, 2027 SB**), all of which will continue in the context of recent global energy market volatility.
- b. **Targeted budget allocations for power subsidies.** Following the implementation of the CD stock reduction operation in FY26 and recognizing ongoing improvements in operational efficiency and performance, the FY27 budget will include a subsidy limited to, at most, Rs 830 billion, or 0.6 percent of GDP. The subsidy will cover (i) the projected tariff differential for DISCOs and KE; (ii) current and arrears payments of FATA; (iii) agricultural tubewells; and (iv) CD stock payments to counterbalance anticipated CD flow, which continues to be targeted at a lower level following the CD stock operation.
- c. **Completion of arrangements with IPPs and Karachi Electric (KE).** Settlement with several IPPs with whom penalty payments on arrears were to be waived as part of the broader CD stock reduction operation remains incomplete, with CD continuing to accumulate as a result. We will finalize arrangements with all IPPs by end-June 2026. Likewise, we will seek to resolve a dispute with KE currently under litigation, which has resulted in significant nonpayment and arrears, by the end of September 2026.

We anticipate that these steps will minimize CD flow, allowing a lower end-FY27 gross CD flow target of Rs 300 billion, and remain committed to reducing gross CD flow to zero by FY31.

33. **We continue to move forward with fundamental cost-reducing power sector reforms.**

Our power agenda includes:

- a. **Improving distribution.** Private sector participation in DISCO management will improve performance, efficiency, and governance and address power sector CD drivers, helping to mitigate the need for higher tariffs. The first batch of privatization (IESCO, GEPCO, and FESCO) has been delayed following feedback from market sounding exercises; investor concerns have been addressed and we are moving forward, anticipating finalization by early 2027. In parallel, we are moving forward with the private sector participation process for the second batch of DISCOs (HESCO and SEPCO), for which conditions precedent – in line with World Bank recommendations and including outstanding subsidy claims; outstanding balances with the government, other DISCOs, and other entities; and other balance sheet issues – will be completed by the end of December 2026 (**end-December 2026 SB**). We are also working with the remaining DISCOs in a similar fashion to prepare their balance sheets for private sector participation.
- b. **Improving the transmission system.** The appointment of a CEO to the Independent System and Market Operator (ISMO) is underway, as are efforts to finalize staffing arrangements. The incorporation and legal formation of the Energy Infrastructure and Development Management

Company (EIDMC) have been completed, and its leadership selection process has been completed. The National Grid Company (NGC) is operational and is undergoing a review of its processes in the context of its new role. Taken together, this restructuring of the transmission network management aims to improve the operations and maintenance, and ultimately the functioning, of Pakistan's electricity transmission network via ongoing and anticipated new projects, with the support of the World Bank Group and Asian Development Bank.

- c. ***Privatizing inefficient generation companies (GENCOs).*** We are working closely with the Privatization Commission to assess the viability of privatizing two targeted GENCOs (Nandipur and Guddu) (¶36.e). In the event that privatization does not prove feasible, we will work to bring relevant companies under one entity to reduce redundancies, make necessary improvements, and enhance operations.
- d. ***Completing the transition to a competitive electricity market.*** NEPRA issued wheeling auction framework guidelines in January 2026; this will enable auctions under the auspices of the Competitive Trading and Bilateral Contract Market (CTBCM). The first wheeling auction, for 200 MW, will take place by end-June 2026. Once operational, the new market will allow bulk power consumers greater choice over their electricity supplier. The NEPRA-determined wheeling charge will be set such that up to 800 MW will be allowed in the market until 2031 as a transition measure, with scope for adjustment based on market response, system conditions, and policy direction, to ensure that sufficient capacity remains on the grid.
- e. ***Facilitating the move to renewable energy and rationalizing capacity relative to demand while securing grid sustainability.*** The publication of the revised 2025-35 Integrated System Plan, combining capacity (the former IGCEP) and transmission (TSEP) planning and aiming to reduce excess capacity and deliver significant savings, has been delayed as public hearings have been more extensive than expected. The Plan will be published by the end of May 2026. At the same time, we will apply the recently adopted net billing regulation to new consumers to better balance solar and grid demand, in line with international practice.
- f. ***Enhancing the Power Planning and Monitoring Company (PPMC).*** We have restructured the PPMC as a technical arm of the Power Division. It supports policy, regulatory, and tariff affairs; sector reforms; privatization; CD management; and integrated power and energy planning. We will further strengthen the human resources and secure a sustainable fee-based financing mechanism for PPMC to ensure its financial sustainability and resource adequacy so that it can effectively support the planning, monitoring, and reform implementation of the power sector and the energy sector more broadly, by end-December 2026. The financing mechanism will be developed and implemented consistent with the applicable legal and regulatory processes, including NEPRA's oversight on cost recovery.

34. Our gas sector strategy hinges on continued timely tariff adjustment and improved CD data and monitoring to preserve sectoral stability and viability.

- a.** We are navigating the recent disruptions in global gas markets through necessary price adjustments, planned improvements in RLNG management, stakeholder coordination, data monitoring, and gas loss prevention in order to maintain both sectoral viability and supplies. This includes our decision in March 2026 to increase consumer diesel and petrol prices by 20 percent following parallel spikes in global prices, as well as efforts underway with RLNG suppliers to facilitate sufficient supply.
- b.** We will continue to notify semiannual gas tariff adjustments in line with cost recovery, as determined by OGRA (**July 1, 2026 and February 15, 2027 new SBs**), while preserving tariff structure progressivity, protecting vulnerable household consumers, and fully reflecting the cost of imported RLNG diverted to domestic sector. We will also continue working to address RLNG surplus issues in the gas sector, including by continuing to seek to rationalize RLNG supplies while remaining within the parameters of existing contracts and through enhanced coordination and data-sharing with power sector counterparts under the newly-established integrated energy planning framework and Cabinet Committee on Energy.
- c.** We have developed a comprehensive dashboard featuring sub-components and drivers of CD. We have initiated a quarterly gas CD flow reporting system (also benefiting from improved data management and projection capacity) and have developed a CD Management Plan (CDMP) which we expect to roll out in FY27 after seeking necessary approvals. There will be a dedicated CD settlement wing/office to oversee the implementation of the CDMP. To that end, we will continue to provide quarterly gas CD data within two months of close of a quarter, along with monthly gas consumption and revenue data, to the Fund and other development partners with a six-week lag to the close of relevant billing month.
- d.** We are reducing CD pressures and unaccounted for gas (UFG) by improving gas system tracking and enforcement, improving ageing infrastructure (about 4,000 kilometers of transmission lines were upgraded last year and we will achieve the same this year, subject to OGRA determinations), and reviewing how Suis are benchmarked against losses.

35. We see an urgency to accelerate potential growth to ensure faster convergence of per capita income to regional and emerging market peers. This requires that our efforts focus on broad-based structural reforms—improving governance, reducing inefficiencies, boosting productivity and supporting private sector development—the only way to foster long-term growth without undermining macroeconomic stability and fiscal sustainability.

36. Advancing our SOE reform agenda is key to scaling back the state’s footprint and improving services. We are progressing toward filling remaining gaps in our SOE governance framework and, in parallel, implementing the framework to improve SOE’s viability, reduce fiscal liabilities and the role of the state in commercial enterprises, and improve services for Pakistanis. This includes:

- a. **Ensuring coverage of all SOEs under the SOE governance framework.** We have sent 6 amendments to SOE-dedicated laws to parliament for approval, to fully align them with SOE Act provisions, and are making progress on amending the remaining three SOE- with dedicated laws **(end-August 2026 SB)**.
- b. **Adopting appropriate governance mechanisms and safeguards for the Sovereign Wealth Fund (SWF) and its SOEs.** We have finalized, with Fund staff consultation, amendments to the SWF Law to bring it into line with international standards for public asset management and SOE holding companies and will submit to Parliament soon . These amendments, once adopted by Parliament **(end-March 2026 SB)**, will achieve the objectives outlined below, and the execution of the SWF Act and any other action aimed at preparing the SWF for its operation will only be carried out after these amendments become law.
 - i. **Clarify the legal nature and mandate of the SWF.** Legally define the SWF as a SOE, subject it to the SOE Act (adopting specific provisions to ensure the SWF's governance structures correspond with a holding entity's nature and mandate), and narrow its mandate to (i) holding and managing SOEs on behalf of the state and creating value through their operational and financial improvement; and (ii) attracting foreign direct investment by facilitating and mobilizing co-investment in strategic commercial ventures that generate financial returns in line with the SWF's Investment Mandate.
 - ii. **Divestments and procurement.** Requiring that privatization or sales of assets and its procurement processes are conducted based on rules and policies adopted and published by the SWF's Board that are in line with international standards and best practices and ensure open, competitive, transparent and non-discriminatory procedures, requiring minimum disclosure requirements for each stage of the process, including on beneficial ownership.
 - iii. **SWF governance.** Establish that the appointment of the SWF's Board and Advisory Committee's members is done through transparent, merit-based, and participatory processes to safeguard their professionalism and independence from undue public and private influence, including by introducing effective cooling off periods for stronger independence.
 - iv. **Governance of SWF-SOEs.** Ensure that SWF-owned SOEs remain under the same high-quality governance structures and accountability standards as all other SOEs, including by amending section 50 of the SWF Act to explicitly establish that SWF-owned SOEs are subject to the SOE Act and SOE Policy and any necessary additional amendments to regulate and operationalize the SWF's SOE ownership functions with SWF being owner/holding entity with appropriate oversight systems as agreed with Fund staff.

- v. **Fiscal safeguards.** Ensure that appropriate fiscal safeguards are in place, including by requiring that all revenues from SWF and sub-funds operations will be provided directly to the government and not retained by the SWF and that any funds required for SWF investments shall be allocated by the Federal Government through the budgetary process under Public Financial Management Act. In addition, by prohibiting the SWF to (i) incur debt or borrowing in any way; (ii) provide guarantees or collateral, including over SWF-SOEs shares or assets; (iii) lend to public or private entities, or any persons, foreign or domestic; (iv) participate in PPPs; (v) acquire financial assets or instruments of any kind; or (vi) receive any contributions from the central bank, SOEs or any other public body.
- c. **Adhering to the SOE governance framework.** We are planning to carry out the federal rightsizing committee's review of the purpose and rationale of various SOEs via a phased process and have included ten SOEs in the first phase. Of the ten, four are in the process of being privatized, another three are in the process of being wound up, and the last three are marked to enter the due diligence process, which we will complete by end-July 2026. We will complete the review of all SOEs by end-June 2027. We have finalized, working with the Asian Development Bank (ADB), guidance notes on business plans and statements of corporate intent, which will be published by end-May 2026. As of March 2026, thirty-four SOEs have now adopted and published business plans and statements of corporate intent. Thirty-nine SOEs have also issued IFRS-compliant financial statements. We will continue to work with SOEs to enhance the quality of reporting, including by providing additional training where needed. We will maintain international IFRS standards for all SOEs, with exceptions only for individual cases granted by the SECP/Cabinet Committee on SOEs. We have adopted and published a preliminary public service obligation (PSO) framework, which will guide the pilot incorporation of PSO agreements for the seven largest PSOs into the FY27 budget **(SB end-June 2026)**. Over the course of FY27, we will further refine the guidelines and incorporate an additional three PSOs, including the NHA, into the FY28 budget. Restructuring plans for both PR and the NHA have been completed and published.¹ Nearly all commercial SOEs now have majority-independent boards, aside from those that do not yet fall under the SOE Act or are at advanced stages of the privatization process. Independent boards will be appointed for the former once their statutory laws are brought into line with the SOE Act. Guidelines for the appointment of directors have been finalized and published.²
- d. **Fully operationalizing the CMU.** Our electronic database is now fully operational and online. We are exploring options for further automation of data integration; moreover, our next biannual report will be drawn from the portal. We will continue to deepen our reports' analysis of SOE business plans and performance with subsequent reports.

¹ <https://www.communication.gov.pk/Sitelimage/Misc/files/NHA-Restructuring-Plan.pdf>;
<https://www.railways.gov.pk/Sitelimage/Downloads/PR%20Rest%20Plan%20for%20uploading.pdf>

² https://www.finance.gov.pk/publications/BOARD_SOES.pdf

- e. **Advancing the privatization agenda.** Some progress has been made toward privatizing the 27 entities on the privatization list. Agreement on PIA privatization was signed in January 2026 and on First Women's Bank in October 2025. The first batch of DISCO private sector participation has been delayed as further steps are taken to address market/investor concerns, although we are moving forward with the second batch in parallel. We remain focused on a joint venture structure for the privatization of the Roosevelt Hotel, with the hiring of a new financial advisor expected to be completed by end-April 2026. We are re-initiating the privatization process for HBFC following an unsuccessful bid in December 2025. We have started work for a long-term concession for the Islamabad airport, and are currently hiring a financial advisor.

37. In order to implement a shift towards an export led and private sector driven economy, we are taking ambitious steps to scale back government intervention in commodity markets and enable private sector initiative. Amidst extreme uncertainty and food price volatility, this will reduce the risk of shortages in staple food commodities. Our interim wheat policy for the 2025/26 Rabi season, adopted in November 2025, has successfully guided expectations to help boost area under cultivation to a multi-year high. Procurement for building of strategic reserves will be executed through contracted private sector operators and procurement prices will be aligned with international market prices. In the meantime, federal and provincial governments, through mutual consultation, are advancing work towards a long-term wheat policy, to be adopted by end-May 2026, with the objective of removing structural impediments to price discovery and market development, including any barriers for trade between provinces. We are also advancing work towards the full liberalization of the sugar sector and have shared draft recommendations for a national sugar policy with provincial governments. A draft policy will be formulated by end-March and the new national policy will be agreed by federal and provincial governments and adopted by the federal cabinet by end-June 2026 (**end-June 2026 SB**).

38. We will strengthen our institutional capacities and take further measures to fight corruption to support inclusive growth and provide a level playing field for businesses and investments.

- a. **Implementation of the Governance and Corruption Diagnostic (GCD).** We have established three committees to monitor progress with the recently published Economic Governance Reform (EGR) plan to implement the priority recommendations of the GCD report. We will prepare progress reports on a six-month basis to track implementation and will publish them on the website of the Ministry of Finance. We are also organizing a policy dialogue (April 2026) to discuss institutional and structural implementation issues, design of performance indicators, common challenges and cross-cutting issues, public monitoring, reporting, and capacity development. We will invite development partners, civil society organizations and other stakeholders to participate in this process. On the basis of these discussions and in close consultation with key stakeholders, we will develop and publish in our semi-annual report outcome-based updates on progress. These updates will serve as a backdrop to a second

policy dialogue in July 2026, which will take stock of the six-month implementation of the EGR plan.

- b. *UNCAC Review Report.*** In line with our commitment to transparency and accountability, we informed the UNODC Secretariat of the publication of UNCAC Review Report by the Ministry of Law and Justice. The report is now also available on the UNODC's website.³
- c. *Corruption Risk Assessment.*** Tasked by the Anti-Corruption and AML/CFT Committee, constituted by the Prime Minister of Pakistan and chaired by the Minister for Law and Justice, the National Accountability Bureau (NAB) has been designated to lead the development of an action plan to mitigate corruption vulnerabilities in the top ten departments of the Government identified with highest corruption risks (**proposed revised end-October 2026 SB**). To guide the development of the plan, in consultation and agreement with IMF staff, by end-June 2026, the Anti-Corruption and AML/CFT Committee will develop and publish a methodology for assessing and prioritizing agency level corruption risks, and protocols for conducting the risk assessment, reporting and reviewing results of the analysis, and defining the plan to reduce corruption risks in identified agencies. Methodological alignment as a preliminary step to the corruption risk assessment is critical to ensure its comprehensiveness and effective use of all relevant information sources. The methodology should lay out the assessment criteria, making use of relevant information held by agencies and ministries across government, including the NAB, Auditor General, the Competition Committee, the FBR, and the FIA, and consider: (i) the value of money at risk due to corruption vulnerabilities pertaining to the agency's functions and budget; (ii) typologies of corruption in the assessed agency; (iii) the existence of structural weaknesses that give rise to corruption vulnerabilities; (iv) information on the frequency of corruption, including past and on-going corruption cases.
- d. *Provincial Anti-Corruption Establishments (PACEs).*** We will continue enhancing capacities of PACEs to conduct financial investigations in relation to corruption at the provincial level. In line with the AML Act and the National Fiscal Pact, the relevant federal notification process initiated by the Financial Monitoring Unit (FMU) will be issued by end-December 2026, designating the PACEs to investigate money laundering related to corruption offenses within their jurisdiction, and to request and receive financial intelligence from the FMU as an investigating agency.
- e. *Asset Declaration of High-Level Public Officials.*** To support the online publication of asset declarations of high-level federal civil servants (**end-December 2026 SB**), the Establishment Division revised the Civil Servant (Conduct) Rules requiring: (i) centralized digital submission and collection of asset declarations; (ii) risk-based verification; and (iii) disclosure of declarations with limited restrictions on confidential personal information. To this end, the Establishment Division will revise the declaration form to specify restrictions on confidential

³https://track.unodc.org/uploads/documents/UNCAC/CountryVisitFinalReports/2026_02_16_Pakistan_Cycle_II_Country_Review_Report_EN.pdf.

personal information by end-May 2026, and in coordination with the FBR, will develop a framework for risk-based verifications by end-June 2027. The FBR will develop a digital platform for the submission of asset declarations by end July 2026 to facilitate the implementation of the reform.

- f. Banks' Access to Asset Declarations for AML/CFT Purposes.** The SBP, FBR, and FMU continue to support banks' access to asset declarations of high-level federal public officials (BPS17-22). The FBR has issued a notification to expand banks' access to cover asset declarations of any officer of the federal or provincial governments or autonomous bodies, corporations, and companies owned by such governments. To enhance banks' awareness, by June 2026, we will publish access statistics on FBR's website.
- g. Independence and operation of NAB.** As the leading anti-corruption agency, NAB's institutional independence plays a key role in building public trust and institutional credibility. We will submit to parliament amendments to the NAB ordinance to ensure NAB's autonomy and transparency through a robust selection process of senior management and publication of operating rules and statistics (**new end-January 2027 SB**). To this end, we will review and improve the appointment process of the NAB chairman. Under the guidance of the Anti-Corruption and AML/CFT Committee, proposed amendments to the NAB Ordinance will be finalized and submitted to Parliament to: (i) adopt pre-determined qualification criteria (e.g., years of experience, integrity standards); (ii) establish a merit-based, open and competitive selection process; and (iii) designate a multi-sectoral stakeholder committee (with representatives from the government, opposition, judiciary, civil service, academia, and civil society) to conduct an open, rules-based rigorous and transparent recruitment. We will also finalize and publish NAB's investigation and prosecution rules, as well as annual statistics regarding the investigation, prosecution and conviction of corruption offences on NAB's website.

39. We continue to reduce barriers to international trade, including through the National Tariff and Auto Policies:

- a. Implementing the new National Tariff Policy (NTP).** We are continuing to implement the 2025-30 NTP, with the second phase of duty reductions to be legislated in the FY27 Finance Act, which is expected to considerably reduce the weighted average tariff, consistent with the agreed reductions under the program (Table 3).
- b. Liberalizing auto sector imports.** A new auto sector policy is in the advanced stages, and will be shared with the Fund by end-April 2026, ahead of its approval by the Cabinet. Through its progressive elimination of all ACDs and RDs, and substantial reduction in CD rates by FY30, it will be consistent with the agreed overall reduction in the weighted average tariff (Table 3). The Motor Vehicle Development Act, which gives the Engineering Development Board a statutory basis to enforce the new regime of environmental and safety standards for locally manufactured and imported vehicles, has been submitted to the parliament and is expected to be approved by the National Assembly before end-June 2026. With commercial importation

now legalized, we have abolished the personal baggage scheme and tightened criteria for the gift and transfer of residence schemes for used vehicle imports, to avoid misuse of these schemes.

- c. **Addressing non-tariff barriers (NTBs).** Our stock-take of the existing Export Policy Order and Import Policy Order has mapped 2,662 NTBs for review, with restrictions affecting 76 HS codes identified for removal by end-May, 2026. The remaining NTBs will be reviewed in batches, and presented to the Cabinet Committee on Regulatory Reform, for removal or simplification by end-September, 2026.

40. As part of our ongoing efforts to improve efficiency and provide a level playing field for investment, the government will refrain from providing any new fiscal incentives, such as tax breaks or subsidies (including on bank credit).

- a. **Special Economic Zones (SEZs), Export Processing Zones (EPZs) Special Technology Zones (STZs).** Building on our comprehensive plan to fully phase out all current SEZ and EPZ incentives by 2035, we are preparing a concept note defining the scope, objectives, and expected outcomes of legislative amendments to the SEZ Act **(end-June 2026 SB)**. For STZs, building on the comprehensive plan to phase out their incentives by 2035, we will prepare a concept note on the scope, objectives and expected outcomes of legislative amendments to the STZA Act by October 2026. By June 2027, we will enact amendments to: (i) the SEZ Act and phase-out existing fiscal incentives to SEZs (consistent with the FY26 Finance Bill) and shift from profit- based to cost-based incentives as per the agreed phase-out plan, and discontinue the rights and responsibilities of the BOA, BOI, and existing SEZ Authorities in granting tax incentives ; and (ii) the STZA Act to phase-out all existing fiscal incentives to STZs by 2035 **(new end-June 2027 SB)**. For EPZs, we have drafted amendments to prohibit sales from EPZs to the domestic market, which will be implemented upon approval by the Cabinet by September 2026. We remain committed to not introducing new zones and phasing out existing ones over time, with a view to levelling the playing field for investment and strengthening the business environment nationally.
- b. **Regulatory Reforms to enhance the Business Climate.** We have advanced our regulatory reform agenda through the Asaan Karobar (AK) Act, which was enacted in November 2025. The Rules for operationalization of the AK Technical Unit (Regulatory Quality Control Office) are being drafted, and approval by the Federal cabinet is expected by end-June 2026. The AK technical unit will complete a comprehensive review of existing regulations, which will be streamlined through a series of omnibus packages over a two-year horizon. The first omnibus package, comprising Federal RLCOs, would be presented to the Cabinet Committee on Regulatory Reform by end-September 2026, with parliamentary approval anticipated by end-December 2026. We will also establish the new Pakistan Regulatory Registry as a comprehensive and legally authoritative source on business regulations, starting with Federal Government and ICT regulations **(new end-June 2027 SB)**, and later extending to all provincial regulations. The BOI is coordinating with provincial governments to ensure passage of provincial AK Acts, which would extend regulatory streamlining to the provincial level.

- c. **Reforms to the Companies Act.** Following the Securities and Exchange Commission of Pakistan (SECP) proposal, Cabinet will approve and submit to parliament amendments to the Companies Act (**end-June 2026 SB**) to reduce the regulatory burden and transaction costs for companies and improve corporate governance and transparency for both listed and unlisted companies, including, among others, better clarifying directors' duties and liabilities, enabling stock-exchanges in monitoring corporate governance compliance, enhanced disclosure requirements for related party transactions, improving independence requirements for auditors, and strengthening protections for minority shareholders.

41. We continue to advance our efforts to improve the timeliness, quality and coverage of macroeconomic data:

- a. **Major Surveys and Producer Price Index (PPI).** The major surveys conducted in FY25 have been completed, and the PBS published results of the Labor Force Survey and Household Integrated Economic Survey in December and early January, respectively. An initiation survey for the new PPI (Industrial) will be completed by June 2026, which will create a basis for full collection of monthly prices starting in October, and the first internal dissemination to key stakeholders in January 2027. Data collection for three upcoming major surveys (the Census of Manufacturing Industries, the survey of Small and Household Manufacturing Industries, and the Family Budget Survey), will commence in the coming months, with publication of the CMI and FBS results expected late in FY27, and the SHMI in early FY28.
- b. **Government Finance Statistics.** The GFS mappings developed for GFSM 2014 reporting have been introduced into the IFMIS system, which will allow reports based on GFSM 2014 to be generated once ongoing system upgrades are completed by end-August 2026. We will continue our work on reconciling SOE accrual accounts with government's modified cash basis accounts. We will also seek to broaden the coverage of the above-the-line statistics to gradually include more extrabudgetary units with the objective of minimizing statistical discrepancy in government accounts.
- c. **Trade Statistics.** The PBS has prepared a full set of revised quarterly and annual import statistics for 2020-25, reflecting a full reconciliation of data collected by the Pakistan Single Window and PRAL, following issues previously identified with the source data. PBS will prepare revised monthly import statistics for 2020-25 for public dissemination by end-August 2026, alongside appropriate explanations. Procedures for ongoing import data collection are also being strengthened. The PBS is working closely with PSW to develop standardized data extraction criteria and data definitions to ensure trade data remains consistent across all stakeholders; this will be completed by end-May 2026. Further to that, a regular consultative mechanism is being put in place to ensure that any modifications to the trade data are appropriately reflected in PBS data reported to internal and external stakeholders.

Building Climate Resilience

42. Building climate change resilience remains a priority for Pakistan, one of the world's most climate-vulnerable countries. This was evidenced during the catastrophic 2022 floods and the severe 2025 floods. Policies supported by the Resilience and Stability Facility (RSF), in line with our National Adaptation Plan and commitments under our Nationally Determined Contributions, are helping to build resilience. The RSF is (i) mainstreaming climate issues into budget and investment planning; (ii) improving water system resilience and disaster response financing coordination; (iii) enhancing the enabling environment for green investments by strengthening Pakistan's climate information architecture; (iv) promoting green mobility and transport decarbonization; and (v) aligning energy sector reforms with our national climate change commitments.

43. Both RMs due under the second RSF review have been implemented. The SBP issued guidelines for the management of climate-related financial risks on December 26, 2025 **(RM7)**. Based on Pakistan's recently-adopted green taxonomy, the SECP issued guidelines to enable listed companies to disclose climate-related risks and opportunities on December 11, 2025 **(RM8)**. Taken together, these measures will strengthen our climate information architecture and management of climate-related financial risk, thus helping to finance private sector climate finance.

44. Progress toward future RMs is ongoing.

- a.** We are moving toward establishing, with Fund support, an implementation framework for coordinating federal and provincial disaster risk financing needs in the context of the National Disaster Risk Financing Strategy **(RM6, end-August 2026)**.
- b.** We are making progress toward establishing a comprehensive system for identifying and prioritizing climate-relevant spending. In the near future, we will increase the climate weighting in our Public Investment Procedures and Parameters methodology to at least 30 percent for infrastructure projects; develop explicit protocols for scoring projects against criteria; and publish the selection process and distribution of scores for new projects entering the PSDP **(RM1, end-August 2026)**.
- c.** We are working toward improving Pakistan's water system resilience: the digital e-Abiana irrigation service charge system, already in place in Punjab, is targeted for development and rollout in Sindh, Khyber Pakhtunkhwa, and Balochistan **(RM4, end-August 2027)**. We are also working toward establishing irrigation water tariff adjustment mechanisms consistent with operations and maintenance cost recovery in Punjab and Sindh **(RM5, end-February 2027)**. Provinces will seek assistance from World Bank expertise as necessary to ensure completion of these objectives.
- d.** We are proceeding with our planned electricity subsidy reform **(RM12, end-January 2027)**. This will replace the budgeted tariff differential subsidy and cross-subsidy system with a targeted budgeted subsidy framework for low-income consumers via BISP. We are working closely with the World Bank to link electricity consumers to the NSER database; we will strive

to complete the linking, along with validity checks by end-November 2026, after which we will determine eligibility criteria. In parallel, we are launching a communications drive, for which we will hire an external firm by end-May 2026 and are developing a payments mechanism for the subsidy. We notified in December 2025 the PPRA's adoption of new regulations mandating MEPS-compliant procurement and are now working with the provincial governments to adopt this at the provincial level. We are also working on a tracking system to measure progress toward MEPS compliance for five select electronic appliances at the product level, which will be in place by end-December 2026. **(RM13, end-June 2027).**

Financing and Program Monitoring under the EFF and RSF

45. We have secured adequate financing from our international partners to support our economic reform program and continue rebuilding our external buffers. Based on existing financing commitments from bilateral and multilateral partners, our program is fully financed for the next 12 months. As committed at the outset of the EFF, our bilateral partners will also continue rolling over short-term claims (including loans, swaps and deposits) for the duration of the program.

46. Implementation of policies under the program will be monitored through semiannual reviews, with semiannual performance criteria and continuous performance criteria, as set out in our MEFPs dated September 11, 2024, April 24, 2025, and November 20, 2025, and along with this MEFP. The attached Technical Memorandum of Understanding (TMU) defines the quantitative performance criteria, continuous performance criteria, indicative targets, and structural benchmarks under the program. Completion of the fourth review scheduled for September 2026 will require observance of the quantitative performance criteria for end-June 2026, as set out in Table 1, along with continuous PCs and ITs. The prior actions and structural benchmarks are set out in Table 2. Standing commitments are listed in Table 3. Progress in the implementation of policies under the RSF will be monitored through RMs, which are detailed in Table 4, and semiannual reviews are to occur concurrently with EFF reviews.

Table 1. Pakistan: Quantitative Performance Criteria and Indicative Targets 1/
(Billions of Pakistani rupees, at program exchange rates, unless otherwise indicated).

	FY2025/26								
	end-Sep 2025				end-Dec 2025				end-Mar 2026
	Prog. (IT) CR 25/109	Adjusted Prog.	Actual	Status	Prog. (PC) CR 25/332	Adjusted Prog.	Actual	Status	Prog. (IT) CR 25/332
I. Quantitative Performance Criteria									
Floor on net international reserves of the SBP (millions of U.S. dollars)	-7,000	-7,523	-6,674	Met	-6,500	-6,999	-5,634	Met	-5,600
Ceiling on net domestic assets of the SBP (stock, billions of Pakistani rupees)	14,971	15,116	14,890	Met	15,146	15,285	15,016	Met	15,560
Ceiling on SBP's stock of net foreign currency swaps/forward position (negative, millions of U.S. dollars)	-2,250	...	-2,198	Met	-2,000	...	-1,865	Met	-1,750
Ceiling on the general government primary budget deficit (cumulative, excl. grants, billions of Pakistani rupees) 2/	-460	-2,911	-3,497	Met	-3,194	-3,292	-4,106	Met	-3,418
Ceiling on the amount of government guarantees (stock, billions of Pakistani rupees)	5,700	...	4,424	Met	5,800	...	4,542	Met	5,800
Cumulative floor on targeted cash transfers spending (BISP) (billions of Pakistani rupees)	103	...	144	Met	321	...	326	Met	512
Cumulative floor on the number of new tax returns (thousands)	450	...	-1,101	Not Met	500	...	557	Met	750
Floor on net tax revenues collected by the FBR (cumulative, billions of Pakistani rupees) 3/	...	...	...	...	...	...	...	...	...
II. Continuous Performance Criteria									
Zero new flow of SBP's credit to general government	0	...	0	Met	0	...	0	Met	0
Zero ceiling on accumulation of external public payment arrears by the general government	0	...	0	Met	0	...	0	Met	0
III. Indicative Targets									
Floor on the weighted average time-to-maturity of the local currency domestic debt securities stock (years)	3.4	...	3.82	Met	3.4	...	3.99	Met	4.0
Cumulative floor on general government budgetary health and education spending (billions of Pakistani rupees)	600	...	591	Not Met	1,200	...	1,360	Met	2,170
Ceiling on the aggregate provincial primary budget deficit (cumulative, billions of Pakistani rupees) 2/	-432	...	-805	Met	-752	...	-1,227	Met	-1,217
Floor on net tax revenues collected by the FBR (cumulative, billions of Pakistani rupees) 3/	3,023	...	2,884	Not Met	6,490	...	6,161	Not Met	9,917
Floor on the consolidated net tax revenues collected by provincial revenue authorities (cumulative, billions of Pakistani rupees)	246	...	269	Met	488	...	568	Met	785
Floor on income tax revenues collected by the FBR from retailers (cumulative, billions of Pakistani rupees)	133	...	161	Met	366	...	334	Not Met	517
Ceiling on net accumulation of tax refund arrears (cumulative, billions of Pakistani rupees)	34	...	-62	Met	45	...	15	Met	42
Ceiling on power sector payment arrears (cumulative flow, billions of Pakistani rupees)	200	...	79	Met	300	...	299	Met	400

Sources: Pakistani authorities; Fund staff estimates.

1/ Fiscal year runs from July 1 to June 30. All definitions as per the attached Technical Memorandum of Understanding.

2/ Cumulative from the start of each fiscal year. "-" means surplus.

3/ The quantitative indicative target on net tax revenues collected by the FBR will be converted into a quantitative performance criterion from December 2026 onwards

Table 1. Pakistan: Quantitative Performance Criteria and Indicative Targets 1/ (continued)
(Billions of Pakistani rupees, at program exchange rates, unless otherwise indicated)

	FY2025/26		FY2026/27		
	end-Jun 2026	end-Sep 2026	end-Dec 2026	end-Mar 2027	end-Jun 2027
	Prog. (PC) CR 25/332	Proposed (IT)	Proposed (PC)	Proposed (IT)	Proposed (IT)
I. Quantitative Performance Criteria					
Floor on net international reserves of the SBP (millions of U.S. dollars)	-4,800	-5,300	-5,550	-4,050	-2,300
Ceiling on net domestic assets of the SBP (stock, billions of Pakistani rupees)	15,798	16,072	16,607	17,091	16,838
Ceiling on SBP's stock of net foreign currency swaps/forward position (negative, millions of U.S. dollars)	-1,500	-1,500	-1,500	-1,400	-1,250
Ceiling on the general government primary budget deficit (cumulative, excl. grants, billions of Pakistani rupees) 2/	-3,156	-1,955	-2,906	-3,229	-2,830
Ceiling on the amount of government guarantees (stock, billions of Pakistani rupees)	5,800	5,800	5,800	5,800	5,800
Cumulative floor on targeted cash transfers spending (BISP) (billions of Pakistani rupees)	694	124	363	593	815
Cumulative floor on the number of new tax returns (thousands)	1,000	100	600	800	1,000
Floor on net tax revenues collected by the FBR (cumulative, billions of Pakistani rupees) 3/	...	3,053	7,022	10,761	15,264
II. Continuous Performance Criteria					
Zero new flow of SBP's credit to general government	0	0	0	0	0
Zero ceiling on accumulation of external public payment arrears by the general government	0	0	0	0	0
III. Indicative Targets					
Floor on the weighted average time-to-maturity of the local currency domestic debt securities stock (years)	4.0	4.1	4.1	4.2	4.2
Cumulative floor on general government budgetary health and education spending (billions of Pakistani rupees)	3,470	731	1,462	2,643	4,227
Ceiling on the aggregate provincial primary budget deficit (cumulative, billions of Pakistani rupees) 2/	-1,464	-516	-1,116	-1,621	-1,937
Floor on net tax revenues collected by the FBR (cumulative, billions of Pakistani rupees) 3/	13,979	...	...	...	...
Floor on the consolidated net tax revenues collected by provincial revenue authorities (cumulative, billions of Pakistani rupees)	1,190	389	798	1,285	1,947
Floor on income tax revenues collected by the FBR from retailers (cumulative, billions of Pakistani rupees)	707	144	435	576	787
Ceiling on net accumulation of tax refund arrears (cumulative, billions of Pakistani rupees)	51	25	35	32	36
Ceiling on power sector payment arrears (cumulative flow, billions of Pakistani rupees)	400	250	300	350	300

Sources: Pakistani authorities; Fund staff estimates.

1/ Fiscal year runs from July 1 to June 30. All definitions as per the attached Technical Memorandum of Understanding.

2/ Cumulative from the start of each fiscal year. "-" means surplus.

3/ The quantitative indicative target on net tax revenues collected by the FBR will be converted into a quantitative performance criterion from December 2026 onwards.

Table 2. Pakistan: Structural Conditionality

Actions			
Prior Actions	Rationale	Status	
Fiscal			
1 (i) Collect PRs 322bn (0.3 percent of GDP) from disputed taxpayer obligations on which the courts have ruled in favor of the FBR; and (ii) issue a decision by the Finance Secretary on FY26 savings affecting revised estimates of expenditure ceilings, to be placed before the National Assembly along with the FY27 budget.	Mitigate the impact of the projected tax revenue shortfall and ensure the achievement of the FY26 underlying primary balance target of 1.6 percent of GDP.		
2 Allow full alignment of domestic fuel prices with international prices, followed by regular fortnightly adjustments.	Ensure fiscal sustainability and avoid costly budgetary subsidies.		
Structural Benchmarks	Rationale	Date	Status
Fiscal			
1 Do not grant tax amnesties, and do not issue any new preferential tax treatment (including exemptions, zero rating, tax credits, accelerated depreciation allowances, or special rates).	Protect tax revenue.	Continuous	Not met.
2 Seek ex-ante parliamentary approval for any expenditures that are non-budgeted or that exceed the budgetary appropriation.	Improved parliamentary oversight of budget execution.	Continuous	Met.
3 Approve a National Fiscal Pact devolving some spending functions to the provinces.	Address the mismatch of federal and provincial revenues and expenditures.	end-September 2024	Met.
4 Share with the IMF staff a report detailing actions to reduce the federal government's footprint.	Reduce the footprint of the state.	end-September 2024	Met.
5 Each province amends their Agriculture Income Tax legislation and regime to fully align it with the federal personal income tax regime for small farmers and the federal corporate income tax regime for commercial agriculture, so that taxation can commence from January 1, 2025.	Protect tax revenue.	end-October 2024	Not met. Implemented with delay in February 2025.
6 Fully implement compliance risk management measures in Large Taxpayer Units in large markets in Islamabad, Karachi, and Lahore Regional Offices.	Improve tax compliance.	end-December 2024	Met.
7 Develop and publish on the Ministry of Planning website: (i) the criteria for project selection, including a scorecard, detailing the weight assigned to each criterion and the methodology for calculating the score; and (ii) the annual limit on the total size of new projects entering the PSDP portfolio.	Better public investment management.	end-January 2025	Met.
8 Introduce a 5 percent FED on fertilizer and pesticide.	Protect tax revenue.	end-June 2025	Not Met.
9 Parliamentary approval of a FY26 budget in line with IMF staff agreement to meet program targets.	Ensure achievement of fiscal objectives.	end-June 2025	Met.
10 Implement the new AIT laws through a comprehensive plan, including the establishment of an operational platform for processing returns, taxpayer identification and registration, a communication campaign, and a compliance improvement plan.	Protect tax revenue.	end-June 2025	Met.
11 Finalize a roadmap by end-December 2025 that includes at least: (i) prioritization of key reform areas; (ii) staffing requirements and roles; (iii) specific timelines and milestones; (iv) revenue impact estimates; and (v) key performance indicators (KPIs) to monitor progress and outcomes (e.g. the number of audits, number of transactions covered by digital invoicing, etc.). Based on the roadmap, complete all actions necessary to fully implement at least three priority areas agreed with IMF staff, including any required subordinate legislation, staff hiring and allocation, and initial KPI reporting.	Enhance the effectiveness of the FBR.	end-March 2026	Met
12 Prepare a revenue neutral medium-term tax reform strategy including detailed tax reform plans and commitments to medium-term timing and long-term stability of tax policy reforms.	Strengthen the predictability and sustainability of tax revenue.	end-December 2026	In progress.
Governance			
13 Amend the Civil Servants Act to ensure that asset declarations of high-level public officials (including assets beneficially owned by them and a member of their family) are digitally filed and publicly accessible (with sufficient protection over private information) through the FBR, with a robust framework for risk-based verification by a single authority.	Enhance effectiveness of anti-corruption framework.	end-June 2025	Met.
14 Publish the full Governance and Corruption Diagnostic Assessment report.	Publicly identify critical governance vulnerabilities.	end-August 2025	Not met. Implemented as a prior action for the 2nd EFF Review.
15 Publish governance action plan based on the recommendations of the Governance Diagnostic Assessment.	Publicly identify reform measures to address critical governance vulnerabilities.	end-December 2025	Met.
16 Publish in a government website the asset declarations of high-level federal civil servant in line with the June 2025 legislative amendments.	Enhance transparency and accountability.	end-December 2026	In progress.
17 Publish an action plan to mitigate corruption vulnerabilities in identified departments based on an institutional-level risk assessment, including adopting a methodology approved by the Anti-Corruption and AML/CFT Committee chaired by the Ministry of Law and Justice in consultation and agreement with the IMF staff.	Identify and mitigate severe corruption vulnerabilities.	end-October 2026	In progress.
Social			
18 Annual inflation adjustment of the unconditional cash transfer (Kafaalat).	Maintain purchasing power in real terms.	end-January 2025	Met.
19 Annual inflation adjustment of the unconditional cash transfer (Kafaalat) program.	Maintain UCT real purchasing power.	end-January 2026	Met.

Table 2. Pakistan: Structural Conditionality (continued)

Actions			
Structural Benchmarks			
	Rationale	Date	Status
Monetary and Financial			
20 Average premium between the interbank and open market rate will be no more than 1.25 percent during any consecutive 5 business day period.	Maintain FX market functioning.	Continuous	Met.
21 Parliamentary approval of amendments to the bank resolution and deposit insurance legislation, in a manner that preserves the integrity of the draft legal amendments.	Strengthen crisis management toolkit.	end-October 2024	Met.
22 Place undercapitalized private banks under resolution unless (i) these banks are fully recapitalized by end-October 2024; or (ii) a legally binding agreement is in place by end-October 2024 towards a merger with other banks or with a new sponsor that would achieve full recapitalization by April 2025.	Enforce regulatory standards.	end-November 2024	Not met.
23 In consultation with Fund staff, revise regulations and underlying methodologies on risk mitigating measures, including enhanced collateral policy and by requiring counterparties to be financially sound.	Improve safeguards in monetary policy operations.	end-December 2024	Met.
24 Implement revised regulations on risk mitigating measures.	Improve safeguards in monetary policy operations.	end-September 2025	Met.
25 Prepare and publish a plan outlining the government's post-2027 financial sector strategy, outlining the institutional and regulatory environment from 2028 onwards.	Safeguard financial stability.	end-June 2026	In progress.
26 Complete a comprehensive assessment of remittance costs and structural impediments to cross-border payments, complemented by an action plan.	Boost FX inflows sustainably.	end-May 2026	In progress.
27 Conduct a comprehensive study of the bottlenecks for local currency bond market development and publish a strategic action plan to address areas of improvement.	Develop financial markets and diversify the investor base.	end-September 2026	In progress.
Energy Sector			
28 Complete all policy actions needed to prepare two DISCOs for privatization and concession transactions.	Improve DISCO management and efficiency.	end-January 2025	Met.
29 Eliminate captive power usage in the gas sector.	Push captive gas users on to the electricity grid and channel gas to the most efficient generators.	end-January 2025	Not met.
30 Public notification by the government of the December 2024 semiannual gas tariff adjustment determination.	Maintain tariffs at cost recovery levels.	February 15, 2025	Met.
31 Notifications of the annual electricity tariff rebasing and gas tariff adjustment.	Maintain energy tariffs at cost recovery levels.	July 1, 2025	Met.
32 Notification of the semi-annual gas tariff adjustment.	Maintain energy tariffs at cost recovery levels.	February 15, 2026	Met.
33 Adopt legislation to make captive power levy ordinance permanent.	Promote uptake of electricity grid usage and incentivize more efficient use of energy sources.	end-May 2025	Met.
34 Adopt legislation to remove the cap on the debt service surcharge.	Ensure adequate financing is available for CD conversion operation.	end-June 2025	Met.
35 Finalize preconditions for the private sector participation processes for HESCO and SEPCO.	Improve DISCO management and efficiency.	end-December 2026	In progress.
State-Owned Enterprises			
36 Amend the SWF Act and other legislation, in consultation with Fund staff and in line with MEFP 136.b, to adopt appropriate governance mechanisms and safeguards following international standards and good practices to (i) ensure that SOEs under the ownership of the SWF revert to the SOE Act's governance structures, (ii) that the SWF itself comes under governance mechanisms and safeguards in line with its principal nature as a holding company, and appropriate fiscal safeguards are in place for the SWF's operations.	Improve SOE governance by bringing all SOEs into line with the SOE legal framework approved in 2023 and strengthen SWF governance and accountability.	end-March 2026	Not met.
37 Amend the laws for 9 additional statutory SOEs, in consultation with Fund staff and in line with MEFP 136.a, to bring them in line with the SOE Act.	Improve SOE governance by bringing all SOEs into line with the SOE legal framework approved in 2023.	end-August 2026	In progress.
38 The government will sign public service obligations (PSO) agreements with each of the 7 largest PSOs before submission to Parliament of the FY27 budget, in line with updated manuals and guidelines in accordance with the SOE Act and Policy.	Improve transparency and costing of public obligations.	end-June 2026	In progress.

Table 2. Pakistan: Structural Conditionality (concluded)

Actions			
Structural Benchmarks	Rationale	Date	Status
Trade, Investment Policy, and Deregulation			
39 Prepare a plan based on the assessment conducted to fully phase out all current Special Economic Zone (including Export Processing Zone) incentives by 2035.	Improve efficiency and provide a level playing field for investment.	end-June 2025	Not met. Implemented with delay in October 2025.
40 Prepare a plan based on the assessment conducted to fully phase out all incentives in relation to Special Technology Zones and other industrial parks and zones by 2035.	Improve efficiency and provide a level playing field for investment.	end-December 2025	Met.
41 Submit to parliament all required legislation for lifting all quantitative restrictions on the commercial importation of used motor vehicles (initially only for vehicles less than five years old, subject to meeting minimum environmental and safety standards).	Liberalize trade and increase vehicle affordability.	end-July 2025	Met.
42 Federal and provincial governments will agree and the federal cabinet will adopt a national policy for sugar market liberalization containing key recommendations on licensing, price controls, import/export permissions, and zoning, and clear timelines for implementation.	Liberalize commodity markets.	end-June 2026	In progress.
43 Prepare and submit to parliament legislative amendments to the Companies Act, 2017 to strengthen compliance for unlisted firms, modernize corporate governance structures, and align corporate regulations with international best practices.	Reduce regulatory uncertainty, enhance transparency, and support capital market development.	end-June 2026	In progress.
44 Prepare and publish a concept note defining the scope, objectives, and expected outcomes of legislative amendments to the SEZ Act, including the rationale for reform, proposed KPIs, and the shift from profit to cost-based incentives.	Improve efficiency and provide a level playing field for investment.	end-June 2026	In progress.
New Structural Benchmarks			
Fiscal			
1 Parliamentary approval of a FY27 budget in line with IMF staff agreement to meet program targets, including an underlying primary balance of 2 percent of GDP.	Ensure achievement of fiscal objectives.	end-June 2026	
2 Prepare an audit manual and audit policy centralizing the audit case selection process via administrative prioritization and a report to monitor high-risk cases through the Compliance Risk Management system.	Align revenue administration with best international practices.	end-August 2026	
3 Amend PPRA rules to eliminate SOE preferences in awarding public procurement contracts without competition.	Ensure transparency and a level playing field in all public procurement.	end-September 2026	
Governance			
4 Enhance NAB's autonomy and transparency by: (i) submitting to parliament amendments to the NAB ordinance to establish an open, merit-based, rigorous and competitive selection process of senior management, including adopting pre-determined qualification criteria and designating a multi-sectoral stakeholder committee to conduct selection in line with the recommendations of the Governance and Corruption Diagnostic report; and (ii) publishing NAB's investigation and prosecution rules and annual statistics regarding the investigation, prosecution, and conviction of corruption offences.	Enhance transparency and accountability.	end-January 2027	
Social			
5 Annual inflation and generosity adjustment of the unconditional cash transfer (Kafaalat) program quarterly benefit.	Maintain UCT real purchasing power.	end-January 2027	
Monetary and Financial			
6 SBP to develop a roadmap for gradual foreign exchange regime liberalization, including appropriate sequencing (macroeconomic, financial stability, and other preconditions).	Liberalize FX regime.	end-March 2027	
Energy Sector			
7 Notification of the semi-annual gas tariff adjustment.	Maintain energy tariffs at cost recovery levels.	July 1, 2026	
8 Notification of the semi-annual gas tariff adjustment.	Maintain energy tariffs at cost recovery levels.	February 15, 2027	
9 Notification of the annual power tariff adjustment.	Maintain energy tariffs at cost recovery levels.	January 15, 2027	
Trade, Investment Policy, and Deregulation			
10 Enact amendments to: (i) the SEZ Act and phase-out existing fiscal incentives to SEZs (consistent with the FY26 Finance Bill) and shift from profit-based to cost-based incentives as per the agreed phase-out plan, and discontinue the rights and responsibilities of the BOA, BOI, and existing SEZ Authorities in granting tax incentives; and (ii) the STZA Act to phase-out all existing fiscal incentives to STZs by 2035.	Improve efficiency and provide a level playing field for investment.	end-June 2027	
11 Establish the Pakistan Regulatory Registry as a comprehensive and legally authoritative ("with positive security") source on business regulations for Federal Government and ICT.	Reduce regulatory uncertainty, and enhance transparency	end-June 2027	

Table 3. Pakistan: Standing Commitments

Commitments	Thematic Area	EFF Review	MEFP 1
Fiscal			
1 Use any windfall from SBP dividends exceeding 1 percent of GDP to reduce borrowing and retire debt.	Public Financial Management	1st	5.c
2 Refrain from introducing any fuel subsidy or cross-subsidy scheme.	Expenditure Policy	1st	6
3 Refrain from offering any new fiscal incentive or guaranteed returns (in any currency) to firms or any investment project.	Public Financial Management	1st	7.i
4 Publish semi-annual reports providing updates on debt management strategy outlook and implementation.	Debt Management	2nd	20
Social			
5 Implement annual inflation adjustments for UCT benefits to ensure that the most vulnerable households' purchasing power remains, at a minimum, constant in real terms.	BISP	1st	8
6 Implement readjustment of UCT benefits upon the release of any new household surveys to continue transfers equivalent to 15 percent of the bottom quintile's consumption once this threshold is reached.	BISP	1st	8
7 Keep the NSER live, keep BISP enrolment open; administer the regular re-declaration of BISP beneficiaries' status on the intended three-year cycle.	BISP	1st	9
Monetary, FX, and Financial			
8 Refrain from involvement in credit allocation decisions, sectoral lending targets.	Monetary Policy Transmission	1st	13
9 Refrain from outright secondary-market purchases or maturity extensions on government securities held by SBP.	Safeguards	1st	13
10 Do not introduce new SBP refinancing schemes during transition or thereafter.	Monetary Policy Transmission	1st	14
11 Maintain flexible exchange-rate regime with unrestricted interbank price discovery.	Foreign Exchange Market	1st	15.a
12 Limit SBP's net FX sales to at most balancing net purchases each quarter; consult IMF if gross sales exceed US\$200million in any rolling 30-day period.	Foreign Exchange Market	1st	15.b
13 Continue to publish SBP's monthly FX interventions with a three month lag, and to announce (semiannually) our six month-ahead gross reserve target and FX debt service of the government over the corresponding period.	Foreign Exchange Market	1st	15.c
14 Refrain from extending deposit insurance system to MFBs unless capital shortfalls addressed and other preconditions met.	Financial sector	1st	16.c
15 Implement the SECP 5-year Strategic Plan for the insurance sector.	Financial sector	2nd	28
16 Strengthen bank resolution and crisis management frameworks.	Financial sector	2nd	26b
Energy			
17 All provinces agree not to grant new electricity or gas subsidies.	Power/Electricity Subsidies	1st	20.a
18 In the event that DSS revenues fall short of the annual payment requirement, the DSS will be increased to make up for the shortfall and calibrated per any anticipated future shortfalls in the succeeding year...There will be no fiscalization of any revenue shortfall...We will prepare a plan to retire, in a timely way, the interest-bearing CD stock...which will not utilize subsidy resources.	Power/Arrears/Subsidies	1st	20.b
19 Refrain from netting out cross-arrears (unless they are independently audited); using "non-cash" settlements (e.g., payables against the reimbursement of on lent loans to DISCOs); and issuing government guarantees except where there is a need to substitute an existing government guarantee on maturity.	Power/Arrears	1st	20.d(viii)
20 Refrain from signing additional external RLNG contracts given current surplus.	Gas	1st	21.b
21 Provide OGRA advice within 40 days of tariff determination to enable automatic notification under 2022 amendment.	Gas	1st	21.d
22 The incremental pricing plan will not allow differentiated treatment to specific industries or sectors. A review of the incremental price and scheme will automatically be triggered to incorporate any additional marginal cost if growth of incremental consumption of the industrial and agriculture sectors in aggregate exceeds 25 percent above the baseline in a given month. Semi-annual reviews of the scheme will ensure continued cost revenue alignment. Any losses due to the scheme's failure of revenues to keep up with tariffs will be borne fully by higher tariffs on industry and agriculture. Only positive FCAs will be applicable to incremental consumption. The scheme will expire three years from its inception date, with no possibility of rollover, and will be terminated immediately if it requires upward tariff adjustment in two consecutive reviews.	Power	2nd	33.c
23 The semiannual captive power levy (CPL) adjustment will continue increasing by 5 percentage points every six months until the premium reaches 20 percent in August 2026. Any levy proceeds transferred to the electricity grid on a monthly basis would aim to reduce prices evenly across the electricity tariff structure.	Gas	2nd	35.a
Structural			
24 Carry out the execution of the SWF Act and any other action aimed at preparing the SWF for its operation only after all required reforms are complete and the amendments as agreed with the IMF become law.	SOEs	1st	23.b
25 Refrain from federal/provincial support pricing & procurement operations for wheat.	Deregulation	1st	24
26 Implement duty reductions under the new NTP to reduce the weighted average applied tariff from 10.6 percent in FY25 to 7.4 percent by FY30. Duty reductions for the auto sector, when added to those under the NTP, will bring the weighted average tariff to below 6 percent by FY30.	Trade Policy	1st	26
27 Refrain from introducing any new Regulatory Duties on imports.	Trade Policy	1st	26
28 Ensure that the SIFC does not propose, nor that the government provide, regulatory, spending, or tax-based incentives of any sort, or any guaranteed returns, or take any other action that could distort the investment landscape. Ensure that all investment made under the SIFC results from the standard Public Investment Management framework.	Investment Policy	1st	27
29 Refrain from: (i) creating new SEZs (or other zones); (ii) providing new fiscal or other incentives related to zones; and (iii) renewing any existing incentives.	Investment Policy	1st	28.a
30 Phase out all additional duties currently charged for "localized" items/inputs in the auto sector; remove the regime of special duties applied to imports used for the auto sector, including through the 5th Schedule to the Customs Act and SRO 655(I)/2006; and extend the principle of removing preferential treatment of local production to other industries. These commitments will be implemented gradually from July 2026 to June 2030.	Preferential Treatment	2nd	41.b

Table 4. Pakistan: RSF Reform Measures

Reform Area	Reform Measure	Timing	Expected Outcome	IMF CD Input	Development Partner Inputs	Prospective BoP Risk Reduction
Mainstreaming climate issues into budget and investment planning.	RM1. Increase the climate change (adaptation and mitigation) weighting in the Public Investment Procedures and Parameters methodology to at least 30 percent for infrastructure projects, develop explicit protocols for scoring projects against criteria, and publish the selection process and distribution of scores for new projects entering the PSDP.	end-August 2026 (4th EFF Review)	Comprehensive system for identifying climate-relevant spending across federal and provincial government, detailed budgeting in line with National Climate Change Policy, ongoing system for monitoring execution against planned climate spending.	FAD advising.	FAD to consult with the World Bank on the climate finance element of the selection process	Improved fiscal and external sustainability via more efficient/lower expenditure on and import demand for climate-related climate infrastructure and disaster relief.
	RM2. Revise PSDP call circular such that, for all new major infrastructure projects (greater than PRs 7.5 bn), only projects that have undertaken climate vulnerability, adaptation, and mitigation screening will be included in the budget; and publish a consolidated report summarizing the screening assessments for these projects.	end-August 2027 (6th EFF Review)	Enforcement of requirements for project selection; enhanced climate-sensitivity of PSDP over time.	FAD advising.	Supplemental support from the ADB, along with new budget preparation TA from the World Bank.	
	RM3. Expand the federal climate budget-tagging framework to include expenditure on grants and subsidies and extend budget-tagging to expenditure by the provinces. Publish an annual climate budget statement and quarterly execution reports, tracking climate expenditure across each category and explaining any deviations from targets.	end-August 2027 (6th EFF Review)	Enforcement of climate screening requirements in practice. Stronger evidence base on climate mitigation impacts and adaptation aspects of public investment projects. Enhanced scrutiny of project preparation and appraisal.	FAD advising.	European Commission developing new PFM TA support. FCDO coordinating provincial green budget integration.	
Improving water system resilience and disaster response financing.	RM4. Adoption and implementation of the e-Abiana irrigation service charge collection system by the irrigation authorities of Sindh, Khyber-Pakhtunkhwa, and Balochistan.	end-August 2027 (6th EFF Review)	Increased water revenue collections among the three provinces. Improve the effectiveness of water pricing.		World Bank to provide technical support.	Improved fiscal and external sustainability via more efficient/lower expenditure on water system maintenance and disaster relief in the event of a climate shock.
	RM5. Introduce an irrigation water tariff adjustment mechanism in Punjab and Sindh with the aim to recover the operational and maintenance costs of irrigation infrastructure.	end-February 2027 (5th EFF Review)	Incentivize more efficient use of water resources in a supply-constrained environment.		World Bank to provide technical support.	
	RM6. In the context of the National Disaster Risk Financing Strategy, adopt an implementation framework that encompasses federal and provincial disaster risk financing needs as part of the national risk layering approach and establishes a coordination mechanism for disaster risk financing across the federal and provincial authorities.	end-August 2026 (4th EFF Review)	Improve the coordination of DRF across the federal and provincial governments, consolidate provincial DRF needs in the national DRF strategy to ensure adequate resources and access to innovative instruments.	FAD advising, TA as needed.		
Strengthen the climate information architecture and management of climate-related financial risk	RM7. SBP issuance and adoption of guidelines for the implementation of climate related financial risk management by supervised commercial banks in line with the 2022 BCBS principles for the effective management and supervision.	end-December 2025 (3rd EFF Review) (MET)	Incorporation of climate related financial risk considerations into risk management of banks and bank supervision.			Enhanced financial sector resilience via lower financial sector losses in the context of climate shocks.
	RM8. Ministry of Finance to adopt by way of decree a green finance taxonomy adapted to Pakistan's updated NDC. Based on the adopted taxonomy, the SECP will issue disclosure guidelines to enable listed companies to disclose climate-related risk and opportunities information, including taxonomy-aligned data.	end-December 2025 (3rd EFF Review) (MET)	Fuller incorporation of climate considerations into Pakistan's financial and private sector architecture.	MCM to advise as needed.	World Bank working with the authorities on developing a green taxonomy.	Enhanced climate adaptation infrastructure and external financing through improved climate investment facilitation.
Promoting green mobility and transport decarbonization	RM9. Adopt a supplementary carbon levy via the PDL on gasoline and diesel of Rs 5 per liter, phased in over two years; and add fuel oil to the PDL, with the base and supplementary rate applicable.	end-June 2025 (2nd EFF Review) (MET)	Significant reduction of CO2 emission. Incentivize the uptake of EVs, contributing to the authorities' goal of 30% penetration of new passenger EV sales and 50% for electric 2-3 wheelers by 2030. Reduce balance of payments stability risks by shifting away from imported fuels/petroleum products.	FAD advising, including via CPAT modeling.		Improved external sustainability via lower fossil fuel import demand.
	RM10. Adopt, as part of the FY26 budget law, a revenue-neutral scheme including a subsidy for EVs and a supplementary tax on internal combustion engine vehicles, in line with the New Energy Vehicle Policy 2025-2030 and Fund recommendations.	end-June 2025 (2nd EFF Review) (MET)	Significant reduction of CO2 emission. Incentivize the uptake of EVs in a progressive fashion, contributing to the authorities' goal of 30% penetration of new passenger EV sales and 50% for electric 2-3 wheelers by 2030. Reduce balance of payments stability risks by shifting away from imported fuels/petroleum products.	FAD providing modeling and advice on subsidy and tax modalities and magnitude.		
	RM11. Adopt a PPP-viability gap funding framework that provides one-off subsidies to incentivize private sector investment in EV charging stations; ensure an open bidding process and include clear criteria to evaluate the eligibility of projects for gap funding; and implement the first bid window, in line with Fund recommendations.	end-February 2027 (5th EFF Review)	Significant reduction of CO2 emission. Create efficient incentives for the uptake and use of EVs, contributing to the authorities' goal of 30% penetration of new passenger EV sales and 50% for electric 2-3 wheelers by 2030. Reduce balance of payments stability risks by shifting away from imported fuels/petroleum products.	FAD providing modeling and advice on the framework.		
Aligning energy sector reforms with national mitigation commitments.	RM12. Budgeted electricity tariff differential subsidy and cross-subsidy system replaced with targeted subsidy framework for low-income consumers, with BISP disbursements through new system by end-January 2027.	end-January 2027 (5th EFF Review)	Better-targeted and more progressive subsidies leads to reduced incentive to overconsume electricity among higher-income consumers; reduced pressure from industry to deliver lower tariffs that do not align tariffs with cost and lead to wasted power; and reduced incentive for theft among lower-income consumers and thus lower energy losses.		World Bank to provide support, including analysis and advice to the authorities on consumer identification and verification, subsidy design, and implementation.	Improved external sustainability via lower fossil fuel import demand and increased productivity.
	RM13. PPRA adoption of new regulation by end-December 2025 mandating certain new electric appliances (fans, LEDs, refrigerators, air conditioners, and motors) procured at the federal and provincial level are MEPS-compliant; and achievement of new appliances entering the market for sale as MEPS-compliant (40 percent fans; 30 percent LEDs; 35 percent refrigerators; 30 percent air conditioners; 25 percent motors) by end-June 2027.	end-June 2027 (6th EFF Review)	By end-June 2027, new appliances (fans, LEDs, refrigerators, air conditioners, and motors) entering the market carry labels or comply with MEPS.		World Bank to provide support, including work with the authorities on the development of a tracking methodology for the uptake of MEPS-compliant appliances.	

Attachment II. Technical Memorandum of Understanding

1. This Technical Memorandum of Understanding (TMU) sets out the understanding between the Pakistani authorities and the IMF staff regarding: (i) the **definitions** of quantitative performance criteria (and their adjustment mechanisms), indicative targets, and—if needed—prior actions and structural benchmarks in Section A below; and (ii) the respective **reporting requirements** used to monitor developments—for the economic program under the Extended Fund Facility (EFF)—as described in the authorities' latest Letter of Intent (LOI) dated November 20, 2025, and the attached Memorandum of Economic and Financial Policies (MEFP, notably its Tables 1 and 2) in Section B below. To this effect, the authorities will provide the necessary data to the IMF as soon as it becomes available. The definitions used in this TMU will be adjusted to reflect any changes in program design and accounting classifications introduced during the program period.

Text Table 1. Pakistan: Program Exchange Rates
(Units of currency per U.S. dollar) ^{1/}

Currency	Rate	Currency	Rate
EUR	0.935016	THB	36.800095
JPY	160.909469	MYR	4.717496
CNY	7.266408	SGD	1.357050
GBP	0.790920	INR	83.448119
AUD	1.507727	SAR	3.751497
CAD	1.371050	SDR	0.760260

^{1/} As of June 28, 2024.

2. For purposes of monitoring under the program, all assets and liabilities as well as debt contracted, denominated in Special Drawing Rights (SDRs) or in currencies other than the U.S. dollar, are converted into U.S. dollars at the program exchange rates. The program exchange rate of the Pakistani rupee to the U.S. dollar is set at 278.3412 rupee per one U.S. dollar. The corresponding cross exchange rates for other foreign currencies are provided in Text Table 1.

DEFINITION OF PERFORMANCE CRITERIA AND INDICATIVE TARGETS

A. Overview

3. The program sets performance criteria and indicative targets for defined test dates (MEFP Table 1) as well as defines continuous performance criteria that apply throughout the program period. The program sets the following performance criteria:

- **Performance Criteria.**
 - *Floor on the net international reserves (NIR) of the State Bank of Pakistan (SBP)* (millions of U.S. dollars);
 - *Ceiling on the net domestic assets (NDA) of the SBP* (stock, billions of Pakistani rupees);
 - *Ceiling on SBP's stock of net foreign currency swap/forward position* (millions of U.S. dollars);
 - *Ceiling on the general government primary budget deficit excluding grants* (cumulative flows, billions of Pakistani rupees);
 - *Ceiling on the amount of government guarantees* (stock, billions of Pakistani rupees);
 - *Floor on targeted cash transfers spending (BISP)* (cumulative, billions of Pakistani rupees); and
 - *Floor on the number of new tax returns* (cumulative, thousands).

- **Continuous Performance Criteria.**
 - *No new flow of SBP's credit to general government;*
 - *Zero ceiling on the accumulation of external public payment arrears by the general government; and*
 - *Other (see ¶25).*
- **Indicative Targets.**
 - *Floor on general government budgetary health and education spending (cumulative, billions of Pakistani rupees);*
 - *Floor on net tax revenues collected by the Federal Board of Revenue (FBR) (cumulative, billions of Pakistani rupees);*
 - *Ceiling on net accumulation of tax refund arrears (flow, billions of Pakistani rupees);*
 - *Ceiling on power sector payment arrears (flow, billions of Pakistani rupees);*
 - *Floor on the weighted average time-to-maturity of the domestic debt securities stock in local currency, including T-bills, PIBs, and Sukuks (years);*
 - *Ceiling on the aggregate provincial governments' primary budget (cumulative, billions of Pakistani rupees);*
 - *Floor on the consolidated net tax revenues collected by provincial revenue authorities (cumulative, billions of Pakistani rupees); and*
 - *Floor on the income tax revenue collected by the FBR from retailers (cumulative, billions of Pakistani rupees).*

B. Performance Criteria

B.1. Floor on the Net International Reserves (NIR) of the SBP

Definition

4. The general government is defined as the central (federal) government and local (provincial) governments, excluding state-owned enterprises. The definition of the general government includes any new funds, or other special budgetary or extra-budgetary entities, that may be created during the program period to carry out operations of a fiscal nature as defined in the IMF's Manual on Government Finance Statistics 2014. The authorities will inform IMF staff on the creation of any such entities without delay.

5. Net international reserves (stock) of the SBP are defined as the U.S. dollar value of the difference between usable gross international reserve assets and reserve-related liabilities, evaluated at program exchange rates.

6. Usable gross international reserves of the SBP are readily available claims on nonresidents denominated in foreign convertible currencies and controlled by the monetary authorities for meeting balance of payments financing needs, for intervention in exchange markets to affect the currency exchange rate, and for other related purposes.

Gross official reserves include: (i) holdings of foreign currencies; (ii) holdings of SDRs; (iii) the reserve position in the IMF; and (iv) holdings of fixed and variable income instruments. Excluded from usable reserves, inter alia, unless there is also a reserve-related liability associated with it, are: (i) claims on residents; (ii) assets in nonconvertible currencies; (iii) precious metals; (iv) illiquid assets; (v) assets that are pledged or collateralized; (vi) any reserve assets that are not readily available for intervention in the foreign exchange market because of lack of quality or liquidity that limits marketability at the book price; and (vii) balances held at foreign branches of non-investment rated domestic banks.

7. Reserve-related liabilities of the SBP include all foreign exchange liabilities to residents (except general government) or nonresidents, including: (i) foreign currency liabilities, excluding liabilities to the general government, with remaining maturity of one year or less; (ii) any foreign exchange liabilities of SBP and general government arising from derivatives positions (such as futures, forwards, swaps, and options) on a net outstanding basis (defined as the long position minus the short position); (iii) outstanding IMF credits to Pakistan; and (iv) foreign exchange deposits with the SBP of foreign governments, foreign central banks, foreign deposit money banks (excluding regulatory capital deposits of foreign banks with the SBP), international organizations, and foreign nonbank financial institutions, as well as domestic financial institutions (excluding regulatory capital deposits of domestic financial institutions with the SBP). The reserve-related liabilities of the SBP exclude SDR allocations and accrued interest on reserve-related liabilities.

8. Aggregate net position in the foreign exchange derivatives is defined as the aggregate net positions in forwards and futures in foreign currencies of the SBP and general government vis-à-vis the domestic currency (including the forward leg of currency swaps).

9. Gross sale of foreign exchange includes outright and swap sales of foreign exchange by the SBP to banks in the foreign exchange interbank market by using foreign exchange market intervention. The swap sale of foreign exchange and maturities of the forward transactions will be measured on a net daily basis.

10. Net purchase of foreign exchange is defined as outright and swap purchases of foreign exchange minus outright and swap sales of foreign exchange by the SBP from/to banks in the foreign exchange market by using foreign exchange market intervention. The net purchase of foreign exchange will be measured on a net daily basis.

Adjustment Mechanism

11. The floor on NIR will be **adjusted** upward (downward) by the cumulative excess (shortfall) in:

a. *cash inflows usable for the financing of the government budget from multilateral and bilateral creditors, commercial borrowing, and bond issuance* relative to the projected inflows (Table 1). Cumulative cash inflows usable for the financing of the government budget are defined as external disbursements (including grants) from official multilateral creditors (including, but not limited to the Asian Development Bank (ADB), Islamic Development Bank, and

World Bank), official bilateral creditors (including, but not limited to bilateral oil facilities, China, Saudi Arabia, UAE, DFID-UK, and USAID), external bond placements and other commercial borrowings that are usable for the financing of the central government budget (including foreign currency financing extended by local branches of foreign banks), plus proceeds from sales of state-owned assets to official bilateral partners, sovereign wealth funds. Downward adjustment of the floor on NIR will be limited to a maximum of US\$2,000 million for both the June 2026 and December 2026 test dates.

B.2. Ceiling on the Net Domestic Assets (NDA) of the SBP

Definition

12. Net domestic assets of the SBP are defined as the difference between reserve money (as defined below) minus the NIR of the SBP (as defined above). For the purposes of computing the NDA target, the NIR is valued at the program exchange rate (112) and expressed in Pakistani rupee.

13. Reserve money (RM) is defined as the sum of: (i) currency outside schedule banks (deposit money banks); (ii) schedule banks' domestic cash in vaults; (iii) schedule banks' required and excess rupee and foreign exchange deposits with the SBP; and (iv) deposits of the rest of the economy with the SBP, excluding those held by the federal and provincial governments and the SBP staff retirement accounts.

Adjustment Mechanism

14. Consistent with the NIR target adjustment mechanism (as defined above), the ceiling on the NDA will be **adjusted** downward (upward) by the cumulative excess (shortfall) in:

a. cash inflows from multilateral and bilateral creditors, and commercial borrowings and bond issuances relative to the projected inflows (Table 1) and evaluated at the program exchange rate.

As in the case for NIR, the upward adjustment of the ceiling on NDA will be limited to the same maximum adjustor limit set for NIR evaluated at the program exchange rate.

B.3. Ceiling on SBP's Stock of Net Foreign Currency Swap/Forward Position

15. The **stock of net foreign currency swap/forward positions** is defined as the aggregate net positions in forwards and futures in foreign currencies of the SBP vis-à-vis the domestic currency (including the forward leg of currency swaps). It will be evaluated at the program exchange rate.

B.4. Ceiling on the General Government Primary Budget Deficit Excluding Grants

Definition

16. The **general government primary budget deficit (excluding grants)** is monitored quarterly as the general government's overall budget deficit (excluding grants) minus the consolidated interest bill of the federal and provincial budgets.

17. The **general government overall budget deficit (excluding grants)** is measured as the cash deficit from below the line, defined as the sum of:

- a. *net external budget financing***, excluding valuation changes, with foreign currency disbursements/payments converted into PRs at the actual exchange rates applied to each transaction;
- b. *change in net domestic credit from the banking system (cash basis)***, excluding valuation changes from deposits denominated in foreign currency and government securities bought by non-residents (notably T-bills, Pakistan Investment bonds (PIBs), Naya Pakistan Certificates, and Banao Certificates);
- c. *change in the net domestic nonbank financing***, excluding valuation changes. These comprise: (i) privatization receipts (either received directly or transferred from the privatization accounts to the general government budget, including from abroad and in foreign currency); (ii) change in the stock of issued government securities held outside the general government and the banking system, net of valuation changes; (iii) change in net deposits and reserves received by the general government (public accounts deposits); (iv) any other government borrowing from domestic nonbank sources net of repayments; minus (v) change in general government deposits with nonbank financial institutions; and
- d. *total external grants to the federal and provincial governments***, which are defined as the sum of project grants, cash external grants for budgetary support, capital grants reflecting the principal amounts of external debt cancellation or swaps, and other grants. External grants in foreign currencies are converted into PRs at the actual exchange rates applied to each transaction.

18. *Net external budget financing* (excluding valuation changes and all external financing counted as reserve liabilities of the SBP, as defined above) is defined as the sum of:

- a. *external budget loans*** to the general government, including those on-lent to financial institutions and companies (public or private) and external emergency relief lending. It comprises those with: (i) medium- and long-term maturity from official multilateral sources (including IMF budget support), official bilateral sources, and private sector sources (e.g., bonds and non-residents' purchases of PIBs, Naya Pakistan Certificates, and Banao Certificates); and (ii) short-term maturity, net of foreign portfolio investment excluding

non-residents' purchases of Naya Pakistan Certificates and Banao Certificates but including non-residents' purchases of domestic T-bills; and

- b. net external debt amortization flow** of the general government, which is the change in its stock of external debt service arrears net of the debt amortization due on its external budget loans (with the latter accounting for the impact of any rescheduled, relieved, or accelerated amortization, including that related to debt swaps or debt cancellation recorded as capital grants).

Adjustment Mechanism

19. The ceiling on general government primary budget deficit (excluding grants) will be **adjusted** on a cumulative basis since the beginning of the fiscal year:

- a.** downward (upward) by any shortfall (excess) in **external project financing** relative to the program projections evaluated in Pakistani rupee terms at actual average quarterly exchange rates (see Text Table 1). External project financing is defined as disbursements from bilateral and multilateral creditors to the general government for specific project expenditure;
- b.** downward by any under execution in the **targeted cash transfers (BISP)** relative to the indicative program target;
- c.** downward by any excess in the flow of **power sector payment arrears** above the indicative program target;
- d.** downward by any excess in the flow of **tax refund arrears** (as defined below) relative to their respective indicative program targets;
- e.** downward by any **extraordinary dividends** received by the government, as per GFSM 2014 (see ¶5.115, 5.116, 9.49), should be classified as withdrawals of equity rather than government revenue. This adjustor will be applicable for targets from end-September FY27 onward.
- f.** downward (upward) by any excess (shortfall) in the flow of **SBP profit transfer** relative to their respective projections (Text Table 2).

Text Table 2. Pakistan: Projections for SBP Profit Transfer (Cumulative flows from start of fiscal year; billions of Pakistani Rupees)			
end-Mar 2026	end-Jun 2026	end-Sep 2026	end-Dec 2026
2,428	2,428	1,435	1,435

B.5. Ceiling on the Amount of Government Guarantees

20. The ceiling on the amount of government guarantees applies to the stock of publicly guaranteed debt for which guarantees have been issued by the central government. It includes both domestic government guarantees, including guarantees to SOEs for commodity operations, and external government guarantees. External government guarantees will be converted into Pakistani rupees at the program exchange rate. If any entity incurs interest arrears on borrowings backed by the guarantee, for purposes of the QPC such guarantee shall be evaluated as the higher of the value of the guarantee issued or the total amount owed. This ceiling excludes guarantees issued by the Ministry of Finance for the SBP borrowing from the IMF.

B.6. Floor on Targeted Cash Transfers Spending (BISP)

21. The floor on targeted cash transfers spending (BISP) applies to the cumulative targeted cash transfers on social spending by the Benazir Income Support Program (BISP), i.e., all spending on unconditional cash transfer and conditional cash transfer BISP programs. The end-June 2026 QPC will include spending on Q4 FY26 UCT and CCT disbursements that are delayed through end-July 2026 due to foreseen technical issues. Spending on Q4 FY26 disbursements beyond end-July 2026 will not be included in the end-June 2026 QPC or the end-September 2026 IT. All targets beyond end-June 2026 will not allow for any delays in disbursement.

B.7. Floor on Net Tax Revenues Collected by the Federal Board of Revenue (FBR)

22. Net tax revenues collected by the FBR are defined as the sum of revenues collected from: (i) general sales tax (GST) on goods (including GST on services collected in Islamabad Capital Territory); (ii) customs duties, customs registration fees and levies; (iii) excise duties on imported products; (iv) excise duties on domestic products; (v) levies (toll) on oil derivatives; (vi) other proceeds and fees; (vii) sales tax; and (viii) unclassified revenues (including income tax) minus the tax refunds. Net revenue collection is defined, for each test date, as the cumulative sum of net revenues collected since the beginning of the respective fiscal year. The floor on the collection of net revenues by the FBR is measured quarterly based on cumulative end-of-quarter data. This will be an indicative target for end-June 2026 and will become a QPC starting end-December 2027.

B.8. Floor on the Number of New Tax Returns

23. The floor on the number of new income tax returns will be measured as the additional non-nil-tax returns beyond the existing stock of non-nil-tax filers. Non-nil-tax filer returns are defined as filers presenting a tax return with a liability greater than zero or returns that initially had a liability of zero, which was then amended after FBR scrutiny of the return and supporting documentation. The stock of non-nil-tax filers is 3,531,767 as of end-June 2025, and the floor on the number of new tax returns will be counted from the starting point of 3,531,767.

C. Continuous Performance Criteria

C.1. No New Flow of SBP's Credit to General Government

24. To protect the capability of the central bank to pursue its price stability objective, there should be no new flow of **SBP's direct credit to the general government**, including in the form of purchases of public debt securities on the primary market. The performance criterion applies on a continuous basis throughout the program period.

C.2. Zero Ceiling on the Accumulation of External Payment Arrears by the General Government and SOEs

25. **External payment arrears** are defined as all unpaid debt-service obligations (i.e., payments of principal and interest) of the general government (federal and provincial government, and SBP), and state-owned enterprises to nonresidents arising in respect of public sector loans, debt contracted or guaranteed (including unpaid penalties or interest charges associated with these obligations that are beyond 30 days after the due date). The definition of debt, for the purposes of the EFF, is set out in ¶8 of [2020 Guidelines on Public Debt Conditionality in Fund Arrangements](#). The ceiling on the accumulation of external payment arrears is set at zero. The performance criterion applies on a continuous basis throughout the program period.

C.3. Other Continuous Performance Criteria

26. During the program period, **Pakistan will not:**

- a. impose or intensify **restrictions on the making of payments and transfers** for current international transactions;
- b. introduce or modify **multiple currency practices (MCPs)**;
- c. conclude **bilateral payment agreements** that are inconsistent with Article VIII of IMF Articles of Agreement; and
- d. impose or intensify **import restrictions** for balance of payments purposes.

D. Indicative Targets

D.1. Floor on the Weighted Average Time-To-Maturity of the Domestic Debt Securities Stock

27. **The weighted average time-to-maturity (ATM) of the local currency domestic debt securities stock** is calculated based on the exact remaining time to maturity (in years) of each instrument in the portfolio (T-bills, PIBs, Sukuks). The remaining time to maturity of each instrument as of the relevant test date will be weighted by (i) the realized value at issuance for short-term

instruments (original maturities of one year or less), including T-bills and short-term Sukuks; (ii) the face value for longer-term coupon-bearing instruments (original maturities greater than one year), including PIBs and longer-term Sukuks, and (iii) nominal value (realized value plus accrued interest) for zero-coupon bonds (both conventional instruments and Sukuks with original maturities greater than one year).

D.2. Floor on General Government Budgetary Health and Education Spending

28. The floor on the general government budgetary health and education spending will apply to the cumulative budgetary spending on health and education by the federal and provincial governments.

D.3. Ceiling on the Aggregate Provincial Primary Budget Deficit

29. The aggregate provincial primary budget deficit is monitored quarterly as the aggregate overall budget deficit of the four provincial governments (Punjab, Sindh, Khyber Pakhtunkhwa, Balochistan), minus the aggregate interest bill of the four provincial budgets.

30. The aggregate provincial overall budget deficit is measured as the cash deficit from below the line.

D.4. Floor on the Consolidated Net Tax Revenues Collected by Provinces

31. Net tax revenues collected by the provinces are defined as the sum of revenues collected from: (i) general sales tax (GST) on services (excluding GST on services collected in Islamabad Capital Territory); (ii) stamp duties; (iii) property tax; (iv) agriculture income tax; (v) registration fees; and (vi) unclassified revenues minus the tax refunds. Net revenue collection is defined, for each test date, as the cumulative sum of net revenues collected since the beginning of the respective fiscal year. The floor on the collection of net revenues by the provinces is measured quarterly based on cumulative end-of-quarter data.

D.5. Ceiling on Net Accumulation of Tax Refund Arrears

32. The ceiling on the net accumulation of tax refund arrears applies to the cumulative flow of tax refund arrears. The stock of tax refund arrears is defined as the amount of tax refund claims supported by requisite documentation that have not been settled (through a cash refund, netting out against obligations of taxpayers, payment with a government bond/promissory note or an official decision to reject the claim) within a specified time period after the tax refund claim has been submitted to the FBR. The stock of income tax refund arrears is PRs 234.8 billion as of end-June 2025, and the net accumulation of income tax refund arrears will be counted from the starting point of PRs 234.8 billion; the stock of sales tax arrears at end-June 2025 is PRs 155.5 billion, and the net accumulation of sales tax refund arrears will be counted from the starting point of PRs 155.5 billion.

D.6. Floor on the Income Tax Revenue collected by the FBR from Retailers

33. The floor on the **income tax revenue from retailers** is defined as the sum of revenues from: (i) income tax return filings; (ii) withholding income taxes; and (iii) advance income taxes, paid by (i) retailers; (ii) wholesalers; and (iii) traders. Income tax revenue is defined, for each test date, as the cumulative sum of revenues collected since the beginning of the respective fiscal year.

D.7. Ceiling on Power Sector Payment Arrears

34. **Power sector payment arrears** are defined as power sector payables in arrears that arise from: (i) line losses and non-recoveries that are not recognized by NEPRA; (ii) non-recoveries from supply to Azad Jammu and Kashmir (AJ&K), other federal and provincial governments including FATA, private consumers, and Baluchistan Tube Wells; (iii) accrued markup from the servicing of PHPL; (iv) late payment surcharges; (v) delays in subsidy payments; (vi) delays in tariff determinations resulting in pending generation cost; (vii) non-payments by K-Electric; (viii) loan principal repayments and net debt service surcharges; and (ix) other adjustments (including prior year recoveries, spillovers etc.).

E. Key Performance Indicators for Priority Areas of FBR's Transformation Plan

35. **FBR will provide monthly information on the outturns for key performance indicators** (see MEFP ¶9 a b and c). The authorities will set specific targets for the following performance indicators in consultation with the IMF staff at the time of FY27 budget preparation:

- The value of audit adjustments (excl. penalties and interest) paid within 120 days of audit completion (Prs Bn);
- Completed audit cases with adjustment paid within 120 days, as a percentage of all cases completed (percent);
- The total value of digital invoices processed by the invoicing system;
- The number of active sales tax payers using the system;
- The increase in sales tax revenues from monitored locations;
- The volume of goods identified in monitored locations.

PROGRAM REPORTING REQUIREMENTS

36. To effectively monitor the program performance, the authorities will provide all the needed data to the IMF in line with Article VIII, Section 5 of the IMF Articles of Agreement as deemed necessary. Performance under the program is monitored from data supplied to the IMF by the SBP, Ministry of Finance, FBR, Pakistan Bureau of Statistics, Ministry of Energy (Power and Petroleum Division), and other agencies as outlined in Table 2 below. Irrespective of the requirements outlined in Table 2, the authorities will report on an ongoing/continuous basis any non-observance of continuous PCs. The authorities will transmit promptly to IMF staff any data revisions as well as other information necessary to monitor the arrangement with the IMF.

Table 1. Pakistan: Projected External Disbursements
(Millions of U.S. dollars)

	FY2026		FY2027			
	Jan-Mar 2026	Apr-Jun 2026	Jul-Sep 2026	Oct-Dec 2026	Jan-Mar 2027	Apr-Jun 2027
	Proj.	Proj.	Est.	Proj.	Proj.	Proj.
Multilateral and bilateral disbursements	3,543	5,716	2,690	4,551	3,716	5,230
<i>of which: in cash</i> 1/	3,257	5,316	2,406	4,229	3,432	4,867
<i>of which: Commodity loans (including Saudi and IDB facilities)</i>	696	769	500	504	782	819
<i>of which: project support</i> 2/	740	1,072	771	874	756	985
<i>of which: sales of state-owned assets</i>	0	0	0	0	0	0
International bond issuance 3/	0	750	0	0	500	500
Commercial borrowing 4/	0	1,900	1,500	411	0	2,500
Other	0	0	0	0	0	0
Gross inflows	3,543	8,366	4,190	4,962	4,216	8,230
<i>of which: in cash</i>	3,257	7,966	3,906	4,640	3,932	7,867
<i>memo: New loans/deposits at SBP</i> 5/	0	-450	0	0	0	0

1/ Assumes that 65 percent of project loans and 50 percent of project grants are received in cash.

2/ Excluding WB Policy-for-Results Lending.

3/ Includes Naya Pakistan Certificates (NPC). NPC flows are recorded on a net basis.

4/ Includes foreign currency denominated loans from local branches of foreign banks.

5/ Not included in multilateral and bilateral disbursements for the purposes of the adjustor.

Note: Cumulative excess/shortfall of flows cumulates from January 1, 2026 onwards.

Table 2. Pakistan: Monitoring and Reporting Requirements

Reporting Agency	Type of Data	Description of Data	Frequency	Timing
State Bank of Pakistan (SBP)	SBP balance sheet	Summary	Weekly	First Thursday of the following week
	SBP balance sheet	Summary at program exchange rates; and by official exchange rates	Monthly	Within 15 days of the end of each month
	Monetary survey	Summary banking system balance sheet for the central bank at both program exchange rates and by chart of accounts at actual official exchange rates; the consolidated balance sheet of commercial banks at actual official exchange rates	Monthly	Within the first 30 days of each month.
	International reserves	By (i) program exchange rates; and (ii) at actual official exchange rates.	Daily	The following working day
	International reserves	Inflows/outflows into/out of Naya Pakistan Certificates.	Daily	The following working day
	Foreign exchange market	Market exchange rates (buying and selling); weighted average customer exchange rate; monthly trade volume, and high and low exchange rate of the interbank, the KERB market.	Daily/ Monthly	Within one day/ monthly within five working day
	Foreign exchange market	SBP foreign exchange operations, and intervention (volume), distinguishing within spot transactions the outright purchase/sale and purchase/sale related to forward contract	Daily	Within one day
	Foreign exchange market	SBP operation against the domestic currency in swap/forwards by (volumes)	Daily	Within one day
	Foreign exchange market	SBP operations against the domestic currency in swap/forwards (including all legs of transactions): for each day, the initial outstanding FX swap/forward position, summary of transactions during the day, the end-of-day position	Daily	Within one day
	Foreign exchange market	Interbank market transactions in the spot market for US dollars: total value transacted in US\$, total number of transactions, number of banks involved in transactions, average value transacted in US\$ (simple mean, untrimmed), weighted average price transacted (untrimmed), simple average price transacted (simple mean, untrimmed), standard deviation of values transacted (untrimmed), and standard deviation of prices transacted (untrimmed).	Daily	Within one day

Table 2. Pakistan: Monitoring and Reporting Requirements (continued)

Reporting Agency	Type of Data	Description of Data	Frequency	Timing
State Bank of Pakistan (SBP)	Foreign exchange market	Interbank market transactions in the forward market for US dollars: total value transacted in US\$, total number of transactions, number of banks involved in transactions, average value transacted in US\$ (simple mean, untrimmed), standard deviation of values transacted (untrimmed), average maturity (simple mean, untrimmed), standard deviation of maturity (untrimmed).	Daily	Within one day
	Foreign exchange market	Aggregate customer transactions of commercial banks, with breakdown into gross sales and purchases.	Weekly	Third working day of the following week
	Foreign exchange market	Stock of dividend/profit payments pending execution which have cleared any necessary regulatory processes.	Monthly	Within one week
	Foreign exchange market	Breakdown of short, long, counterparts, of the swap/forward contracts	Daily	Within one day
	Foreign exchange market	Outstanding swap/forward positions by maturity buckets, and counterparties.	Monthly	Third working day of the following month
	Net International Reserves	Net International reserves at program exchange rates as defined in TMU, including a breakdown by currency and specification of <i>nostro</i> balances with foreign branches of National Bank of Pakistan.	Quarterly	Seventh working day after quarter end
	External financing	Foreign assistance received and projections for the coming four quarters. Please categorize all grants and loans by program/project, and the amounts received/expected in cash.	Quarterly	Within 15 days of the end of each quarter
	Interbank money market	Daily interbank repo volume and interest rate of trades	Daily	Within one day
	SBP operations	Repo (reverse repo) operations, open market operations	Weekly	First Monday of the following week
	Bank liquidity	Excess reserves, in local currency	Bi-weekly	With a lag of 15 days
	T-bill and coupon bond financing, SBP securities	Auction data: date, original and remaining maturities, issuance volume, allocation, average yield and coupon yield (if available)	Fortnightly	Last working day of the fortnight
	Banking data	Sectoral distribution of loans and deposits; loans and deposits by local and foreign currency; deposit and lending rates, disaggregated between new operations and outstanding stock	Monthly	Within 25 working days of the end of each month
	Banking data	Loan maturities	Quarterly	Within 45 days of the following quarter
	Banking data	Regularity capital deposit requirement deposits of foreign and domestic schedule banks with the SBP (account numbers 33052 and 330506)	Monthly	Within 15 days of the end of each month

Table 2. Pakistan: Monitoring and Reporting Requirements (continued)

Reporting Agency	Type of Data	Description of Data	Frequency	Timing
State Bank of Pakistan (SBP)	Banking indicators	Core Financial Stability Indicators (FSIs), including but not limited to capital adequacy; asset composition and quality; profitability; liquidity; open FX positions – in aggregate and bank-by-bank (without names)	Quarterly	Within 45 days of the following quarter
	Banking indicators	Liquidity data and deferred/restructured loans	Weekly	Within 5 days of the end of each week
	Banking data	Banks' net open foreign exchange positions split between total foreign assets and foreign exchange liabilities: in aggregate for the system and bank by bank (without names, but with consistent identifiers across datasets)	Monthly	Within five days of the end of each month
	Banking data	Holdings of government securities – in aggregate and bank-by-bank (without names, but with consistent identifiers across datasets)	Monthly	Within 7 days of the end of each month
	Banking sector stress tests	Results of stress tests on exchange rate, liquidity, and credit risk	Quarterly	Within 60 days
	Transfers	Workers' remittances.	Monthly	Within 25 days of the following month
	Other monetary data	The SBP survey, ODCs and DCs published in IFS.	Monthly	Within 45 days of the end of each month
	SBP refinance schemes	Outstanding position under SBP refinance schemes (by program)	Monthly	Within 25 days of the end of each month
	Balance of payments	Detailed export and import data Detailed balance of payments data	Monthly	Within 28 days of the end of each month
	Privatization receipts	Balance on the PC Fund account; gross inflows into and outflows from the PC Fund account during the month, specifying the nature of each transaction	Quarterly	Within seven days of the end of each quarter
Ministry of Finance (MOF)	External debt	Disbursements and stock of outstanding short-term and contracting or guaranteeing and outstanding stock of medium-and long-term external debt of the government, the SBP, and state-owned companies; any stock of arrears on external debt service and outstanding stock of government guarantees and external arrears.	Monthly	Within 25 days of the following month
	External financing	Foreign assistance received and projections for the coming four quarters. Please categorize all grants and loans by program/project, and the amounts received/expected in cash and in kind.	Quarterly	Within 15 days of the end of each quarter
	External financing	List of all disbursements and amortization payments for external budget financing and external grants (above US\$3 million or equivalent), including date of the transaction, foreign currency amount, exchange rate applied, rupee amount credited, creditor (or donor agency).	Quarterly	Within 25 days of the end of each quarter

Table 2. Pakistan: Monitoring and Reporting Requirements (continued)

Reporting Agency	Type of Data	Description of Data	Frequency	Timing
Ministry of Finance (MOF)	Domestic financing	Gross disbursements and amortization of Naya Pakistan Certificates by residents (in PRs) and non-residents (in PRs and US\$).	Quarterly	Within 25 days of the end of each quarter
	Domestic debt	Domestic debt composition	Monthly	Within 25 days of the end of each month
	Domestic debt	T-Bill, PIB, and Sukuk Bid sheet from domestic debt auctions, including auctions via PSX.	Daily	Within 1 day of each T-Bill and PIB auction
	Federal government	Federal and provincial governments fiscal operations (including fiscal outcomes broken down by province)	Monthly	Within 30 days of the end of each month
	Federal government	Government guarantees - issued and executed (reported separately). Name of entity receiving the guarantee and the value of the guarantee. Interest arrears on guaranteed loans, if any.	Quarterly	Within 15 days of the end of each quarter
	Consolidated general government	Federal and provincial governments (including fiscal outcomes broken down by province)	Quarterly	Within 45 days of the end of each quarter
	Consolidated general government	Federal and provincial governments	Annual	Within 180 days of the end of each year
	Federal government	Fiscal financing sources: Detailed quarterly financing plan for the coming 12 months including projections for domestic public securities (issuance and maturities), external financing, SBP profits, short-term borrowing, other financing schemes, and borrowing from the SBP.	Monthly	One month in advance
	General government	Total general government budgetary spending on health and education broken down into spending by the federal and provincial governments	Monthly	Within 15 days of the end of each month
	Federal government	Stock of government borrowing from the SBP	Quarterly	Within the first five days of each quarter.
Pakistan Bureau of Statistics (PBS)	SPI, CPI, WPI	Detailed monthly price indices	Monthly	Within five days of the following month
	CPI	Index of core inflation	Monthly	Within 21 days of the end of each month
Federal Board of Revenue (FBR)	Revenue collection	Total revenue collected separately by the tax administration and customs administration, including revenue by individual tax, and social contributions.	Monthly	Within seven days of the end of each month
	Tax arrears	By category	Monthly	Within seven days of each month
		By type of tax	Monthly	Within seven days of the end of each month
	All tax refund claims in arrears	Itemized by tax category (GST, income, customs duties, etc.)	Monthly	Within seven days of the end of each month

Table 2. Pakistan: Monitoring and Reporting Requirements (continued)

Reporting Agency	Type of Data	Description of Data	Frequency	Timing
Federal Board of Revenue (FBR)	Automated GST refunds	Detailed data, by type of tax, of outstanding tax credits for all types of tax revenues	Monthly	Within seven days of the end of each month
		Number of refunds that were processed automatically (share of total refunds); total value of automated and automatic refunds and offsets; average waiting time (days) to receive refund	Monthly	Within seven days of the end of each month
	Large taxpayers	Data on the number of taxpayers and amount of taxes managed by the large taxpayer units (LTUs)	Monthly	Within seven days of the end of each month
	Import data	Total value of recorded imports Total value of duty-paid recorded imports; Number of total transactions involving recorded imports; Number of total transactions involving nonduty free recorded imports	Monthly	Within 30 days of the end of each quarter
	Audits	Percentage of selected companies and identified revenue from audits	Quarterly	Within 45 days of the end of each month (monthly data provided on a quarterly basis)
	New taxpayers	Total number of notifications delivered; Number of taxpayers newly registers (voluntary and notified); Number and value if tax returns filed by newly taxpayers (voluntary and notified); Total value of revenue collected (voluntary and notified)	Monthly	Within seven days of the end of each month
	New taxpayers (retailers)	Number of registered retailers; Number and value of tax returns filed by newly registered taxpayers; Total value of revenue collected	Monthly	Within seven days of the end of each month
	Track and trace system	Number of facilities with track and traces; machines installed (cigarettes, fertilizer, sugar, cement); Total value of revenue collected per facility	Monthly	Within seven days of the end of each month
Ministry of Water and Power		CD flow report (detailing key components of CD flow); DISCO collections, broken down by DISCO; DISCO losses, broken down by DISCO; Electricity consumption by major consumer group (domestic and industrial, with domestic separated by slab); Revenues by major consumer group (domestic and industrial, with domestic separated by slab); Number of consumers by major consumer group (domestic and industrial, with domestic separated by slab); Tariffs by major consumer group (domestic and industrial, with domestic separated by slab) Anti-theft yields; Arrears to IPPs (broken down by each IPP)	Monthly	Within 25 days from the end of the month.

Table 2. Pakistan: Monitoring and Reporting Requirements (concluded)

Reporting Agency	Type of Data	Description of Data	Frequency	Timing
Ministry of Petroleum and Natural Resources		Detailed CD flow (receivables) data by entity and receiver, per file; Gas tariffs, broken down by consumer category, with domestic consumers further broken down by slab; Gas volume sales, broken down by consumer category, with domestic consumers further broken down by slab; Gas revenues, broken down by consumer category, with domestic consumers further broken down by slab; UFG losses per entity	Monthly	Within 30 days from the end of the month
BISP	Targeted cash transfers	Coverage (number of beneficiaries paid) and payment by all BISP programs.	Monthly	Within 30 days from the end of the month
Ministry of Finance	Financial statements	Financial statements (cash flow, income statement, and balance sheet) and operational indicators for Pakistan Railways, Pakistan Steel Mills and Pakistan International Airline	Quarterly	Within 30 days from the end of the quarter
Pakistan Public Procurement Authority	Public Procurement	Number and amounts of public procurement through the e-PADS system (planned, in-progress, and completed) at the Federal and Provincial levels (including petty purchase, request for quotation, open competitive bidding, and other alternate methods of procurement)	Quarterly	Within 30 days from the end of the quarter



PAKISTAN

April 23, 2026

THIRD REVIEW UNDER THE EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY, SECOND REVIEW UNDER THE RESILIENCE AND SUSTAINABILITY FACILITY ARRANGEMENT—WORLD BANK ASSESSMENT LETTER FOR THE RESILIENCE AND SUSTAINABILITY FACILITY

This note provides the World Bank Group's current assessment of Pakistan's climate vulnerability, and of government policies and commitments on adaptation and mitigation, focusing on material developments since the previous assessment letter (May 7, 2025). It also summarizes WBG engagement relevant to Pakistan's RSF-supported program.

COUNTRY VULNERABILITY TO CLIMATE CHANGE, INCLUDING HUMAN, SOCIAL AND ECONOMIC COSTS

1. Pakistan remains highly exposed to climate shocks, including recurrent floods, intensifying heatwaves, and accelerated glacial melt, with implications for macro fiscal stability, livelihoods, and poverty reduction. In 2025, severe monsoon floods caused multibillion dollar damages and widespread displacement, echoing the catastrophic 2022 floods and underscoring persistent systemic risk. Recent Climate Risk Index assessments also reflect Pakistan's elevated vulnerability over both single year and long-term horizons.

A. Government Policies and Commitments in Terms of Climate Change Adaptation and Priority Areas to Strengthen Resilience

2. There is sustained progress towards the implementation of National Adaptation Plan (NAP): Following the launch of the National Adaptation Plan (NAP) in 2023, the Ministry of Climate Change & Environmental Coordination (MoCC&EC) is developing a digital monitoring and evaluation system for the NAP, which is expected to be completed by mid-2026. This system will allow the Government, for the first time, to systematically track sectoral and provincial adaptation progress, strengthen transparency of implementation, and provide a platform for integrating climate risk data into broader planning processes.

3. The Prime Minister has also endorsed a national flood preparedness plan in light of the National Disaster Management Authority (NDMA) warnings that the 2026 monsoon season may be more intense, with projections for increased rainfall severity and geographic spread.

The plan focuses on improving federal provincial coordination on disaster response; strengthening early warning systems; prioritizing flood mitigation infrastructure; and restoring or reinforcing climate damage assets. In parallel, NDMA issued the *National Disaster Response Plan 2026*, which provides a comprehensive and scalable framework to guide response operations across government tiers. Furthermore, the MoCC&EC is drafting a *National Glacier Preservation Strategy*, currently under consultation with federal and provincial stakeholders. The *Strategy* is intended to fill a gap in systematic glacier monitoring and to support integration of glacier related data into national and provincial water planning, recognizing Pakistan's unique vulnerability as home to the world's largest concentration of nonpolar glaciers.

4. 2026 monsoon season may be more intense, with projections for increased rainfall severity and geographic spread.

The plan focuses on improving federal provincial coordination on disaster response; strengthening early warning systems; prioritizing flood mitigation infrastructure; and restoring or reinforcing climate damage assets. In parallel, NDMA issued the *National Disaster Response Plan 2026*, which provides a comprehensive and scalable framework to guide response operations across government tiers. Furthermore, the MoCC&EC is drafting a *National Glacier Preservation Strategy*, currently under consultation with federal and provincial stakeholders. The *Strategy* is intended to fill a gap in systematic glacier monitoring and to support integration of glacier related data into national and provincial water planning, recognizing Pakistan's unique vulnerability as home to the world's largest concentration of nonpolar glaciers.

5. As part of the RSF program, Pakistan has introduced climate risk assessments for all public investment projects exceeding PKR 7.5 billion, mandating all large infrastructure proposals systematically evaluate exposure to floods, heatwaves, and other climate hazards before approval.

This is the first time Pakistan has moved toward integrating climate risk screening into its core development programming processes. In parallel, the Government has adopted minimum climate related expenditure shares, requiring at least 30% of total infrastructure spending to be directed toward climate relevant or climate resilient measures, reflecting an effort to reorient public investment toward adaptation and resilience.

6. Climate budget tagging continues to expand.

At the federal level, ministries are required to classify budget lines based on their climate relevance, and provinces—especially Punjab—have begun operationalizing climate budget tagging at scale, embedding it into annual development planning. Punjab's FY2025–26 Annual Development Programme tagged Rs795 billion as climate related (including Rs277 billion for adaptation investments across water, agriculture, and urban sectors). This represents a substantial shift toward subnational integration of climate priorities into routine public financial management.

7. Financial regulators have taken concrete steps to align the financial system with Pakistan's climate resilience objectives. On December 10, 2025, the State Bank of Pakistan issued a circular requiring all banks and Development Finance Institutions to adopt the Pakistan Green Taxonomy, ensuring that lending and investment portfolios incorporate nationally defined green criteria beginning in 2026. Simultaneously, the Securities and Exchange Commission of Pakistan issued revised ESG Disclosure Guidelines for listed companies. These guidelines introduce a phased timetable under which climate risk disclosures become mandatory by June 2029, strengthening transparency and supporting the transition to climate-aligned capital flows. On May 16, 2025, Pakistan launched its first Sovereign Domestic Green Sukuk valued at US\$100m at the Pakistan Stock Exchange, to fund climate-resilient and new energy projects in the country.

8. The State of Bank of Pakistan has also launched a climate stress testing framework, requiring phased implementation by June 2029. The framework promotes systematic assessment of banks' exposure to climate related transition and physical risks, helping strengthen the financial sector's resilience and supporting climate aligned credit allocation over time. Together, these measures represent a significant institutional step toward integrating climate considerations across Pakistan's financial system.

B. Government Policies and Commitments in Terms of Climate Change Mitigation and Priority Areas to Reduce Greenhouse Gas Emissions

9. Pakistan's energy transition has continued to gain momentum, with renewables surpassing earlier national targets ahead of schedule. Strong solar investments—especially several gigawatts of distributed generation capacity by consumers — has positioned solar as the fastest-growing contributor to the power mix. Subnational initiatives, particularly in Punjab and Sindh, have accelerated the uptake of distributed solar, including through public facilities, municipal programs, and rooftop adoption reforms.

10. At the federal level, the regulatory landscape evolved with the introduction of the Prosumer Regulations 2026, shifting new applicants from net metering to a net billing framework. While this reform aims to ensure long-term financial sustainability of the power system, it has introduced new dynamics for private investment decisions by altering payback periods for households and commercial users. Ensuring predictable and well-sequenced policy signals will be important to maintain investor confidence and continue scaling renewables at the pace required to meet Pakistan's medium-term clean energy objectives.

11. The New Energy Vehicle policy 2025–2030 represents a significant step toward decarbonizing Pakistan's transport sector. It establishes phased national targets for electric vehicle (EV) penetration across two-wheelers, three-wheelers, and passenger vehicles; provides calibrated purchase subsidies; and outlines fiscal incentives to support domestic assembly and

charging-infrastructure growth. The policy also mandates the future electrification of portions of the federal public fleet, reflecting the government's commitment to lead by example. A notable feature of this new policy is its explicit inclusion of social equity measures, reserving a portion of EV subsidies for women and lower-income consumers. This reflects an effort to ensure that the transition to clean mobility supports both environmental goals and social inclusion priorities.

12. Pakistan has continued to strengthen its readiness for international market-based mitigation under Article 6.2 of the Paris Agreement. The MoCC&EC has recently issued Letters of Intent for several mitigation activities, including two World Bank-supported projects: the *Punjab Rural Sustainable Water Supply & Sanitation Project* and the *Sindh Solid Waste Emergency and Efficiency Project*. These engagements are expected to generate verified emissions reductions and Internationally Transferred Mitigation Outcomes, unlocking approximately US\$40 million in results-based climate finance once verification milestones are met. This signals initial steps towards realizing a significant carbon finance potential if regulatory frameworks and institutional coordination are further strengthened.

13. The Government has also advanced fiscal reforms to support decarbonization, most notably by institutionalizing a carbon levy with a legislated escalation path. The levy is intended to discourage emissions-intensive fuels, encourage EV adoption, and reduce the economy's reliance on fossil energy. It is also projected to generate meaningful fiscal revenues that could support broader climate priorities. A clearer framework for monitoring the allocation and climate relevance of levy proceeds would further strengthen transparency, help demonstrate the instrument's mitigation contribution, and reinforce its alignment with Pakistan's national climate objectives.

C. Other Challenges and Opportunities

14. Pakistan's energy sector continues to navigate significant macro-fiscal pressures as the government implements tariff rationalization and subsidy reforms. Circular debt—estimated at Rs 1.764 trillion in the power sector and Rs 3.442 trillion in the gas sector as of early 2026—has led the Government's commitments under the IMF program to implement regular tariff adjustments, phase out untariffed subsidies, convert the accumulated stock in the power sector into CPPA-G liabilities and introducing an extra charge for electricity consumers to retire the principle stock amount. While these reforms aim to restore financial sustainability, they also create short-term affordability challenges. Looking forward, annual electricity tariff rebasing, semi-annual gas tariff adjustments, and the planned introduction of a carbon levy beginning July 2025 are expected to gradually align price signals with underlying costs, which could help crowd in private investment and create fiscal space for climate-related spending, provided reforms are implemented predictably and accompanied by safeguards, while targeting for vulnerable consumers could be further improved.

15. Ensuring stable and predictable policy signals remains essential for sustaining private-sector participation in Pakistan’s clean energy transition. Recent regulatory adjustments—such as the shift in prosumer rules from net metering to net billing, along with selected changes in transport-related taxation affecting hybrid and electric vehicles—have introduced new dynamics for investors and households. While these reforms aim to align incentives with long-term system sustainability, the pace and sequence of policy changes underscore the importance of clear communication, regulatory continuity, and transitional arrangements. Strengthening predictability in the investment environment, alongside careful attention to distributional impacts, will help maintain public confidence and support the expansion of clean technologies across all income groups.

16. Pakistan continues to advance its disaster risk financing agenda, with steps underway to develop a national DRF strategy that can improve the timeliness and predictability of post-disaster resource flows. Building on existing instruments, the emerging strategy seeks to create an integrated framework that combines ex-ante financial preparedness tools—such as contingency financing, risk layering, and insurance mechanisms—with more traditional ex-post budgetary responses. Operationalizing these instruments will require clear institutional mandates, strengthened coordination between federal and provincial authorities, and improved data systems to support risk modelling and payout triggers. As progress continues, further formalization of financing instruments will help ensure that resources can be mobilized rapidly and transparently in response to increasingly frequent climate-related shocks.

17. The development of an economy-wide long-term Low-emissions Strategy (LTS) represents an important next step in consolidating Pakistan’s climate mitigation vision beyond the time-bound objectives of its NDCs.¹ An LTS would help articulate sectoral transition pathways, clarify sequencing of reforms, and provide long-term signals to investors on the direction of Pakistan’s energy, transport, agriculture, and industrial transformation. Such a strategy would also strengthen the coherence of policy frameworks across ministries, support the prioritization of climate-aligned public investment, and reinforce Pakistan’s credibility in accessing international climate finance. Advancing work on the LTS would therefore complement existing policies and deepen the institutional architecture needed for sustained emissions reductions.

18. Pakistan’s growing exposure to climate-linked trade measures, particularly the EU’s evolving Carbon Border Adjustment Mechanism (CBAM), underscores the importance of accelerating decarbonization within key export sectors. While current

¹ Under Article 4.19 of the Paris Agreement, all countries are encouraged to formulate and communicate long-term low greenhouse gas emission development strategies to the UNFCCC

CBAM coverage is limited, potential expansion to additional products—such as textiles—could create new competitiveness challenges unless firms are equipped to measure, report, and verify emissions at the facility level. Preparing for this emerging landscape will require enhanced MRV readiness, sector-specific decarbonization pathways, and strengthened collaboration between environmental and trade authorities. Proactive measures taken now can help preserve market access, support export resilience, and position Pakistan to benefit from the global shift toward lower-carbon value chains.

D. World Bank Group Engagement Related to Climate Change

19. The World Bank Group's 10-year Country Partnership Framework (2026–35) provides the overarching structure for its climate engagement in Pakistan. Committing up to US\$20 billion in World Bank lending and a further US\$20 billion in IFC and MIGA private sector mobilization — a total envelope of US\$40 billion at US\$1.5–2 billion per year. Two of the six CPF outcomes are explicitly climate-focused: Outcome 3 (Increased resilience to climate change) and Outcome 4 (Cleaner energy and better air quality). Since FY2014, all IDA/IBRD projects in Pakistan have been screened for climate and disaster risks, with 39% of commitments delivering climate co-benefits across adaptation and mitigation.

The WBG portfolio includes both on-going operations and a strong pipeline of operations under preparation, supported by strong knowledge and analytical program is leading transformative engagements in clean air, flood resilient reconstruction, carbon market readiness, urban resilience, grid capacity for renewable integration, and reduce air pollution. Select examples include:

- **Under Implementation:**

- **Punjab Clean Air Program:** In the context of improving air quality, the program develops a comprehensive assessment to support the Punjab Industry sector towards the transition to resource efficiency and cleaner production with a focus on clean energy.
- **Pakistan Public Resources for Inclusive Development MPA – Federal (PRID-MPA):** Strengthens Pakistan's federal fiscal system to support macroeconomic stability and service delivery through improvements in revenue collection, public expenditure efficiency, and data systems. Of direct climate relevance, the program has a component on rationalization of energy subsidies, supporting the transition away from broad, policy-distortive electricity subsidies toward a targeted welfare-based model — reducing fiscal drag from the power sector while improving incentives for clean energy investment.
- **Punjab Inclusive Cities Program (PICP):** Enhances urban resilience and climate-proof service delivery across 16 secondary cities in Punjab, aligned with the NAP's urban

resilience pillar. This includes 2 Public Private Partnership water projects via IFC PPP transaction advisory.

- **Sindh Flood Emergency Housing Reconstruction Project (SFEHRP):** Supports beneficiary-driven, multi-hazard resilient reconstruction of core housing units damaged or destroyed by the catastrophic 2022 floods across 24 affected districts of Sindh. Through owner-driven cash grants, skills development on climate resilient construction practices, and technical assistance to the Government of Sindh, the project is facilitating the reconstruction of approximately 770,000 houses by 2028.
- **Under Preparation:**
 - **Boosting Energy Security through Transmission in Pakistan (BEST-PAK) MPA Program Phase 1:** A 10-year program aims to modernize Pakistan's national transmission infrastructure to improve grid reliability and enhance capacity to absorb cleaner energy resources at scale while ensure improving system resilience and overall security of electricity supply, directly supporting NDC 3.0's clean energy targets.
 - **Pakistan Finance for Lowering Emissions in Water and Waste Sectors (Pak-FLOW) Project:** Will develop a MRV systems needed to support Pakistan's access an approximate \$40 million in climate finance under Article 6 of the Paris Agreement, including the recently issued Letter of Intent to 2 WB-funded projects (noted above).
 - **Resilience, Early Action, and Disaster Readiness for KP (READY-KP):** Strengthens flood and disaster resilience in one of Pakistan's most climate-exposed provinces through resilient infrastructure, an integrated Flood Early Warning System, and institutional preparedness capacity building targeting 2.5 million direct beneficiaries.
 - **Khyber Pakhtunkhwa Clean Air Project:** Aims to strengthen air quality management and reduce population-weighted PM2.5 annual average exposure in the Peshawar Basin in Kyber Pakhtunkhwa Province with expected financing of US \$200mn.

20. IFC is actively supporting Pakistan's climate and sustainability transition through a broad set of advisory and financing initiatives. Its work includes helping the State Bank of Pakistan develop green banking guidelines and an Environmental & Social Risk Management manual, development of the Pakistan Green Taxonomy (in collaboration with WB), and pioneering Pakistan's first sustainability linked loans with gender and water KPIs, with additional Sustainability Linked Loan and Green Bond issuances in the pipeline. IFC also provides energy efficiency advisory, and green building certification through the EDGE program—while conducting ESG advisory to strengthen environmental and social risk practices in the banking sector and capital markets. IFC is rolling out an e-mobility advisory with the Ministry of Production and Industries. This project is designed to strengthen policies, regulations, and standards to incentivize investment in local manufacturing of e-2/3Ws. It will help to accelerate the adoption of e-2/3Ws in Pakistan through developing quality safety

testing standards and regulatory frameworks for manufacturing and charging infrastructure and vehicles as well as the removal of administrative barriers that inhibit investment. To scale climate finance, IFC is implementing the **US\$120 million CIFPAK blended finance facility**, the largest single country program of its kind by IFC or the UK, aimed at creating an enabling ecosystem for climate investment and an adaptation focused project pipeline.

21. MIGA engagement in Pakistan focuses on mobilizing private capital for clean energy and improving the enabling environment for investment. MIGA currently provides US\$82.7 million in guarantees supporting the 102-MW Gulpur run-of-river hydropower project, contributing to low-carbon generation capacity and reducing reliance on higher-emissions thermal power. In addition, MIGA is working with the Government of Pakistan and financial sector stakeholders to strengthen the investment climate and expand the role of political risk insurance and credit enhancement instruments—support that complements IFC’s private-sector development initiatives.

22. Pakistan has advanced a number of RSF-relevant reforms and systems since the last Assessment Letter. Notably in adaptation planning and monitoring, climate-responsive public financial management, financial-sector alignment, renewable energy deployment, clean transport policy, and Article 6 readiness. Continued progress would be further strengthened by: (i) maintaining policy predictability to support private investment; (ii) formalizing DRF instruments; (iii) articulating an economy-wide long-term strategy; and (iv) accelerating CBAM-related readiness. The World Bank Group stands ready to continue supporting Pakistan in implementing a credible, well-sequenced, and inclusive climate transition consistent with RSF objectives.



PAKISTAN

May 4, 2026

THIRD REVIEW UNDER THE EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY AND SECOND REVIEW UNDER THE RESILIENCE AND SUSTAINABILITY FACILITY ARRANGEMENT—SUPPLEMENTARY INFORMATION

Approved By
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Prepared by the Middle East and Central Asia Department

This supplement provides an update on the status of the outstanding prior actions (PAs), and on program performance since the issuance of the report on April 24. These recent developments do not alter the thrust of the staff appraisal.

1. The authorities met the two outstanding prior actions:

- The weekly fuel price adjustment on April 24, 2026, restored full alignment of domestic fuel prices with international prices, and this was maintained in the weekly adjustment on May 1, 2026. Given the surge in international crack spreads on high-speed diesel (HSD), the diesel pricing formula has been adjusted for a 3-month period to reference the cost of domestically-refined HSD, with an additional premium added to ensure full cost recovery on imported diesel.
- As of April 30, 2026, FBR has collected PRs 327.7 billion (0.3 percent of GDP) from disputed taxpayer obligations meeting the prior action's target of PRs 322 billion. As anticipated, most of this amount (PRs 318.4 billion) was based on a recent court ruling confirming the legality of the super tax. As also required under the prior action, on April 21st, 2026, the Finance Secretary issued a decision reducing the FY26 expenditure ceilings by PRs 136 billion (0.1 percent of GDP).

2. Most end-March Indicative Targets (ITs) for which data is available have been met (see Table 1). The authorities met the ITs on (i) the floor on the net international reserves of the SBP; (ii) the ceiling on the net domestic assets of the SBP; (iii) the ceiling on the SBP's stock of net foreign currency swaps/forward position; and (iv) the ceiling on net accumulation of tax refund arrears. The authorities also met the continuous PCs on the zero new flow of SBP's credit to the general government and the zero ceiling on accumulation of external public payments arrears of the general

government. FBR net revenue collection reached PRs 9.306 trillion against the Second Review target of 9.917 trillion – a shortfall of 0.5 percent of GDP. Power sector payment arrears were PRs 420 billion through end-March, against a target of PRs 400 billion; this was driven by non-operational arrears that remain to be settled, despite continued strong performance on collections and losses.

3. Amid rising inflation pressures, the SBP increased the main policy rate by 100 basis points at its April 27 meeting. CPI inflation increased to 10.9 percent (yoy) in April, driven by a combination of higher fuel prices and adverse food price base effects, broadly in line with the staff report projections. Core inflation increased to 8.2 percent (yoy) in April, driven by the pass-through of higher fuel costs to transport service prices. According to the SBP, the tightening of the policy rate was aimed at containing emerging inflationary pressures and limiting second round effects from higher energy prices.

Table 1. Pakistan: Quantitative Performance Criteria and Indicative Targets 1/
(Billions of Pakistani rupees, at program exchange rates, unless otherwise indicated)

[illegible]

Table 1. Pakistan: Quantitative Performance Criteria and Indicative Targets 1/ (concluded)
(Billions of Pakistani rupees, at program exchange rates, unless otherwise indicated)

	FY2025/26		FY2026/27		
	end-Jun 2026	end-Sep 2026	end-Dec 2026	end-Mar 2027	end-Jun 2027
	Prog. (PC) CR 25/332	Proposed (IT)	Proposed (PC)	Proposed (IT)	Proposed (IT)
I. Quantitative Performance Criteria					
Floor on net international reserves of the SBP (millions of U.S. dollars)	-4,800	-5,300	-5,550	-4,050	-2,300
Ceiling on net domestic assets of the SBP (stock, billions of Pakistani rupees)	15,798	16,072	16,607	17,091	16,838
Ceiling on SBP's stock of net foreign currency swaps/forward position (negative, millions of U.S. dollars)	-1,500	-1,500	-1,500	-1,400	-1,250
Ceiling on the general government primary budget deficit (cumulative, excl. grants, billions of Pakistani rupees) 2/	-3,156	-1,955	-2,906	-3,229	-2,830
Ceiling on the amount of government guarantees (stock, billions of Pakistani rupees)	5,800	5,800	5,800	5,800	5,800
Cumulative floor on targeted cash transfers spending (BISP) (billions of Pakistani rupees)	694	124	363	593	815
Cumulative floor on the number of new tax returns (thousands)	1,000	100	600	800	1,000
Floor on net tax revenues collected by the FBR (cumulative, billions of Pakistani rupees) 3/	...	3,053	7,022	10,761	15,264
II. Continuous Performance Criteria					
Zero new flow of SBP's credit to general government	0	0	0	0	0
Zero ceiling on accumulation of external public payment arrears by the general government	0	0	0	0	0
III. Indicative Targets					
Floor on the weighted average time-to-maturity of the local currency domestic debt securities stock (years)	4.0	4.1	4.1	4.2	4.2
Cumulative floor on general government budgetary health and education spending (billions of Pakistani rupees)	3,470	731	1,462	2,643	4,227
Ceiling on the aggregate provincial primary budget deficit (cumulative, billions of Pakistani rupees) 2/	-1,464	-516	-1,116	-1,621	-1,937
Floor on net tax revenues collected by the FBR (cumulative, billions of Pakistani rupees) 3/	13,979	...	...	...	...
Floor on the consolidated net tax revenues collected by provincial revenue authorities (cumulative, billions of Pakistani rupees)	1,190	389	798	1,285	1,947
Floor on income tax revenues collected by the FBR from retailers (cumulative, billions of Pakistani rupees)	707	144	435	576	787
Ceiling on net accumulation of tax refund arrears (cumulative, billions of Pakistani rupees)	51	25	35	32	36
Ceiling on power sector payment arrears (cumulative flow, billions of Pakistani rupees)	400	250	300	350	300

Sources: Pakistani authorities; Fund staff estimates.

1/ Fiscal year runs from July 1 to June 30. All definitions as per the attached Technical Memorandum of Understanding.

2/ Cumulative from the start of each fiscal year. "-" means surplus.

3/ The quantitative indicative target on net tax revenues collected by the FBR will be converted into a quantitative performance criterion from December 2026 onwards.

**Statement by Mr. Bahador Bijani and Mr. Saif Ullah Dogar on Pakistan
May 8, 2026**

On behalf of the Pakistani authorities, we convey our sincere appreciation to the Fund staff and Management for their sustained engagement and constructive policy dialogue under the Extended Fund Facility (EFF) and the Resilience and Sustainability Facility (RSF). The program remains the central policy anchor for restoring macroeconomic stability, rebuilding external and fiscal buffers, and advancing structural reforms in a highly uncertain external environment. The authorities reaffirm their strong commitment to the objectives of both arrangements and to the policy framework set out in the Letter of Intent. Despite renewed pressures from global commodity price volatility, they have maintained firm ownership and continue to implement agreed measures in a timely and transparent manner. The authorities sincerely appreciate the unwavering trust and financial assistance provided by their bilateral and multilateral partners, especially the People's Republic of China and the Kingdom of Saudi Arabia.

I. Program Performance

Program implementation has remained on track, reflecting firm political ownership and institutional commitment. All seven quantitative performance criteria at end-December 2025 were met, including an overperformance on the net international reserves floor, zero accumulation of external payment arrears, and the ceiling on the general government primary deficit—underscoring disciplined macroeconomic management and improved policy coordination. Six of eight indicative targets were also met. Where shortfalls arose in Federal Board of Revenue (FBR) tax revenues and retailer income tax collection, they were diagnostic rather than systemic, reflecting sector-specific weaknesses in power, oil, and gas-related collections. Corrective actions are embedded in the program, including the proposed upgrading of the FBR revenue floor to a quantitative performance criterion from end-December 2026.

Five of six structural benchmarks were met, covering tax administration, governance, social support, energy sector sustainability, and investment zone reform. The one missed benchmark—on Sovereign Wealth Fund law amendments—reflected the need for extensive technical consultations; the draft amendments have been finalized and will shortly be submitted to Parliament. The continuous SB on preferential tax treatment was briefly missed due to an extension of the sugar import exemption, which was subsequently repealed with no utilization. Both RSF Reform Measures due at this review (RM7 on climate-related financial risk guidelines and RM8 on climate-related corporate disclosures) were implemented in December 2025. Taken together, performance under the EFF and RSF demonstrates that the program is functioning as a credible policy anchor rather than a narrow compliance exercise.

II. Macroeconomic Developments and Risks

Macroeconomic stabilization has continued to consolidate. Output growth averaged 3.8 percent year-on-year in FY26H1, inflation remained contained prior to the recent commodity shock, and gross reserves exceeded program targets—surpassing US\$16 billion at end-December 2025. The exchange rate has remained broadly stable, supported by proactive reserve accumulation and restored confidence.

The resurgence of geopolitical tensions in the Middle East has, however, materially intensified global uncertainty and introduced new downside risks through higher energy prices, tighter financial conditions, and pressures on remittances and capital flows. Pakistan's significant reliance on Gulf energy supplies and remittances makes it particularly exposed to these developments. While the external position has remained broadly stable—supported by sustained remittance inflows and contained import demand—it remains sensitive to oil price shocks, which could affect both the current account and inflation dynamics.

Under the updated baseline, GDP growth in FY26 is projected at 3.6 percent, with inflation expected to temporarily exceed 10 percent in FY26 before returning to the SBP's target range by FY28. The authorities' response is firmly anchored in program principles—allowing prices and the exchange rate to adjust, maintaining fiscal discipline, and deploying only targeted and budget-neutral support for vulnerable households—while preserving the flexibility to recalibrate as conditions evolve.

The authorities have carefully noted the scenario analysis presented by staff on the potential macroeconomic impact of a protracted regional war, including under adverse conditions. They consider this assessment a valuable analytical foundation and remain fully engaged with staff to develop and, if necessary, operationalize an appropriate and effective policy response should downside risks materialize. The authorities are committed to maintaining an open and proactive policy dialogue with the Fund to ensure that any significant deviation from the baseline is addressed swiftly, in a manner consistent with program objectives and the broader macroeconomic stability framework.

III. Fiscal Policy, Revenue Mobilization, and Public Financial Management

The authorities reaffirm their commitment to the FY26 underlying primary balance target of 1.6 percent of GDP. The primary surplus of 3.2 percent of GDP recorded in FY26H1 comfortably exceeded the program target of 2.5 percent of GDP, notwithstanding an FBR revenue shortfall that was offset by higher petroleum development levy collections, strong provincial revenues, and lower flood response costs. As prior actions, the authorities have committed to collecting 0.3 percent of GDP in overdue tax revenues following favorable court rulings, and to formalizing FY26 expenditure savings from unutilized emergency allocations. Domestic fuel prices have been fully realigned with international markets in line with program commitments. This sustained fiscal

consolidation has played a pivotal role in reducing macroeconomic imbalances, easing demand-side pressures, and supporting both disinflation and external account stabilization.

The FY27 budget is being formulated to deliver an underlying primary surplus of 2.0 percent of GDP. Permanent revenue measures of 0.3 percent of GDP are anchored in the FBR Transformation Plan—encompassing risk-based audits, mandatory digital invoicing, and sectoral production monitoring—alongside streamlining of tax expenditures and further expansion of the provincial GST on services base. Primary current spending growth will be capped at the projected inflation rate, while fiscal space is explicitly reallocated toward social protection, health, and education.

These efforts reflect a deliberate shift toward more durable, efficiency-enhancing revenue mobilization and expenditure prioritization, aimed at creating space for growth-supporting and pro-poor spending while preserving fiscal discipline.

Public financial management reforms—including TSA expansion, climate-weighted PSDP appraisal, procurement transparency through e-PADS, and PPP fiscal risk monitoring—continue to reinforce institutional credibility. Together, these reforms are strengthening expenditure control, improving allocative efficiency, and enhancing fiscal transparency—key pillars for sustaining market confidence and policy credibility.

IV. Energy Pricing and Energy Sector Reforms

The authorities have maintained full cost-recovery passthrough of international energy prices through regular fuel, power, and gas tariff adjustments. Any temporary relief measures adopted in the context of exceptional commodity price volatility remain explicitly financed, limited in duration, targeted to vulnerable households, and budget-neutral—consistent with the Letter of Intent and without compromising the sector's pricing framework.

In the power sector, improved DISCO operational performance and stronger enforcement measures supported the achievement of the end-December 2025 circular debt flow target, allowing the FY27 circular debt flow target to be set 25 percent lower than that of FY26. The authorities are finalizing IPP penalty payment settlements and advancing toward a competitive electricity market. DISCO private sector participation, transmission restructuring, and the first wheeling auction are progressing in line with the structural reform agenda. These reforms are expected to enhance efficiency, reduce losses, and gradually lower the structural cost of energy supply, thereby improving competitiveness and easing medium-term fiscal risks.

In the gas sector, semi-annual tariff adjustments aligned with cost recovery are being maintained. A comprehensive, audited gas circular debt dataset has been finalized and is being disseminated quarterly—a critical step toward a viable FY27 CD Management Plan. The National Integrated Energy Plan Secretariat is improving supply-demand coordination across the sector. Improved data transparency and coordinated planning are laying the groundwork for a more sustainable and predictable energy sector framework.

V. Social Protection and Human Capital

Protecting the most vulnerable remains a binding program commitment. Social spending floors were met at end-December 2025, and minor execution delays at the subnational level reflected administrative capacity constraints rather than any dilution of policy intent. The Kafaalat inflation adjustment was implemented on schedule. The FY27 BISP budget will increase quarterly UCT benefit levels by ~24 percent beginning January 2027, moving meaningfully toward the authorities' objective of quarterly benefits equivalent to 15 percent of the lowest income quintile's family consumption basket. Health and education spending rose by 0.3 percent of GDP in FY26 and is targeted to increase by a further 0.2 percent of GDP in FY27. The ongoing transition to digital delivery through Social Protection Wallets is improving transparency and payment efficiency. Digitalization is also expected to strengthen targeting accuracy, reduce leakages, and enhance the overall effectiveness of social spending.

VI. Monetary Policy, Exchange Rate, and Financial Sector Stability

Monetary policy continues to prioritize price stability and the durable anchoring of inflation expectations. Following measured easing in December 2025, the Monetary Policy Committee prudently held the policy rate at 10.5 percent in the subsequent meetings given renewed commodity-driven inflation risks. The SBP's commitment to price stability has been reinforced by concrete policy action. At its most recent Monetary Policy Committee meeting on April 27, 2026, the SBP raised its benchmark policy rate by 100 basis points to 11.5 percent—the first rate increase since June 2023—amid rising inflationary pressures and heightened global uncertainty. The decision was driven by the need to anchor inflation expectations and contain second-round effects stemming from supply-side shocks, including elevated energy costs, currency pressures, and volatile global oil prices linked to geopolitical developments. Notably, headline inflation had accelerated to 7.3 percent in March 2026—the highest since August 2024—breaching the SBP's 5–7 percent target range for the first time since October 2024. In this context, the SBP stands ready to tighten policy further as needed to prevent second-round effects from becoming entrenched, while continuing reforms to strengthen policy communication and the monetary transmission mechanism.

Exchange rate flexibility remains the primary shock absorber. The interbank market continues to function effectively, and the SBP is preparing a roadmap for gradual, phased, and conditionsbased FX market liberalization. In parallel, the authorities are taking deliberate steps to strengthen the external financing architecture and broaden the investor base. Plans to access the Panda bond market reflect a considered strategy to diversify external financing sources, extend the maturity profile of sovereign liabilities, and affirm Pakistan's commitment to debt sustainability and market credibility—complementing the recent successful return to the Eurobond market and the broader effort to rebuild the country's international financial standing. Financial sector stability is being safeguarded through proactive supervision: the previously undercapitalized private bank has met capital requirements, and decisive actions are underway to address vulnerabilities in the microfinance banking sector. A post-2027 financial sector strategy, the Virtual Assets regulatory

framework, and continued AML/CFT reforms—particularly on beneficial ownership transparency and trade-based money laundering mitigation—further reinforce systemic resilience.

VII. Governance, SOE Reforms, and Business Environment

The Economic Governance Reform plan, published at end-December 2025, provides a monitorable framework for delivering on the Governance Diagnostic Assessment's priority recommendations, with semi-annual progress reports and institutionalized stakeholder engagement. SOE governance reforms are advancing through legal harmonization with the SOE Act, full operationalization of the Central Monitoring Unit, IFRS-compliant financial reporting, and the incorporation of public service obligation frameworks into the FY27 budget. SWF law amendments—clarifying its mandate and strengthening fiscal safeguards—are pending parliamentary approval, with the SWF's operationalization contingent on their enactment. The privatization agenda is gaining momentum, led by the PIA agreement and advancing DISCO private sector participation. Business climate reforms through the National Tariff Policy, removal of non-tariff barriers, phase-out of special zone fiscal incentives by 2035, and the Asaan Karobar regulatory streamlining framework are progressively eliminating structural distortions and improving the investment environment.

VIII. Climate Agenda under the RSF

Both RSF Reform Measures due at this review were met in December 2025, strengthening Pakistan's climate information architecture and advancing the management of climate-related financial risks within the financial sector. Progress toward forthcoming reform measures is ongoing, covering disaster risk financing coordination, climate-weighted public investment appraisal, and the transition to a targeted electricity subsidy framework for low-income consumers linked to the BISP registry. These reforms are aligned with the program's objective of reducing climate-related balance-of-payments vulnerabilities while enhancing long-term macroeconomic resilience.

Conclusion

The Pakistani authorities remain fully committed to the programs' objectives. Strong performance at end-December 2025, combined with credible policy commitments and a principled response to the Middle East commodity shock, demonstrates the resilience of the policy framework and the depth of institutional ownership. The combination of disciplined macroeconomic policies, concrete structural reforms, and targeted social protection provides a credible pathway toward durable stability, inclusive growth, and enhanced resilience. The authorities reaffirm their determination to sustain reform momentum and navigate heightened external risks in close partnership with the Fund and development partners.